BY ORDER OF THE
SECRETARY OF THE AIR FORCE

DEPARTMENT OF THE AIR FORCE
INSTRUCTION 64-117

19 MAY 2022

Acquisition

GOVERNMENT PURCHASE CARD PROGRAM

COMPLIANCE WITH THIS PUBLICATION IS MANDATORY

ACCESSIBILITY: Publication and forms are available for downloading or ordering on the e-Publishing website at **https://e-publishing.af.mil**

RELEASABILITY: There are no releasability restrictions on this publication.

OPR: SAF/AQCA

Certified by: SAF/AQC
(Major General Cameron G. Holt)

Supersedes: AFI 64-117, 22 June 2018

Pages: 96

This publication implements Air Force Policy Directive (AFPD) 64-1, *The Contracting System*. This publication provides guidance and procedures for the management of the Government Purchase Card (GPC) program. It implements and supplements sections of the Department of Defense (DoD) *Government Charge Card Guide for Establishing and Managing Purchase, Travel, and Fuel Card Programs* (June 3, 2020, revised). Refer to the Department of Defense Government Charge Card Guide for Establishing and Managing Purchase, Travel, and Fuel Card programshttps://www.acq.osd.mil/asda/dpc/ce/pc/docs/guidesdocs/DoD_Govt_Charge_Card_Guide_06_03-20.pdf if information is not discussed in this Department of the Air Force Instruction (DAFI); if this DAFI is in conflict with the DoD GPC Policy, the DoD GPC Policy should be followed. This DAFI applies to all DAF GPC purchases utilizing appropriated funds. (Reference AFMAN 64-118, *Air Force Nonappropriated Fund (NAF) Government Purchase Card program for purchases using Nonappropriated Funds or* DAFMAN 52-107, *Chapel Tithes and Offerings Fund (CTOF) Management for purchases using CTOF.)***.** This publication applies to Department of the Air Force civilian employees and uniformed members of the United States Space Force, the Regular Air Force, Air Force Reserve, and Non-DAF tenant organizations issued GPCs or convenience checks through a DAF contracting activity. This instruction does not apply to the Air National Guard. Reference the *Department of the Army Government Purchase Card Operating Procedures* for Air National Guard GPC related matters. This instruction requires the collection and/or maintenance of information protected by the Privacy Act of 1974 authorized by Department of Defense Directive (DoDI) 5400.11, *DoD Privacy and Civil Liberties Programs*. The applicable SORN(s) [number and title] is (are) available at: **http://dpclo.defense.gov/Privacy/SORNs.aspx**.

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SUMMARY OF CHANGES

This document has been substantially revised from AFI 64-117, *Government Purchase Card Program* dated 22 June 2018 and needs to be completely reviewed. Major changes include incorporating DoD Defense Pricing & Contract (DPC) eContracting updates as related to SmartPay® 3 (SP3) GSA Contract, Department of Defense SP3 Government-wide Commercial Purchase Card Oversight, and Reporting – SP3 Transition Memorandums #1 through #12 and inclusion of the United States Space Force (USSF).

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Chapter 1

PROGRAM OVERVIEW

1.1. Overview. The Government Purchase Card (GPC) program provides DAF and supported organizations a simplified, streamlined method of purchasing and paying for supplies, services, construction projects, and making contract payments. The program complies with Federal, DoD, and DAF statutory and regulatory guidance, as well as the terms and conditions specified in the most current General Services Administration (GSA) SmartPay® Master Contract. Contracting authority flows from the Deputy Assistant Secretary (Contracting), Assistant Secretary (Acquisition) (SAF/AQC) to the Head of Contracting Activity (HCA). The HCA may re-delegate contracting authority to local procurement offices. The Chief of Contracting within those procurement offices may re-delegate their contracting authority to purchase cardholders (CH) and convenience check account holders through the Delegation of Contracting Authority Letter produced in the Joint Appointment Module (JAM) within Procurement Integrated Enterprise Environment (PIEE) **https://piee.eb.mil/xhtml/unauth/home/login.xhtml**. CHs must countersign to acknowledge this responsibility. **(T-0)** Failure to observe the prohibitions and mandatory provisions in paragraphs **8**, **13.1** and **13.6** of this publication by military members is a violation of Article 92 of the Uniform Code of Military Justice (UCMJ).

1.2. Purchase Card Benefits. The GPC program provides commercial purchase and payment services that replaces the paper-based, time-consuming purchase order process. The program, streamlines the acquisition of tactical requirements, and reduces procurement lead time and procurement office workload. The DAF has received permission from the Office of the Secretary of Defense (OSD) to utilize the pay and confirm process to maximize potential rebates. This process means payments must be certified within five (5) calendar days of receipt of supplies or services. Utilization of pay and confirm provides transaction cost savings, a reduction in interest payment, and allows for the DAF to receive rebates.

1.3. Purchase Card Uses. As stated in Federal Acquisition Regulation (FAR) 13.301, *Government-wide commercial purchase card*, the purchase card is authorized for use for: (1) micro-purchases (as defined in the (FAR 2.101; (2) placing task or delivery orders (if authorized in the basic contract, ordering agreement, or blanket purchase agreement); or making payments, when the contractor agrees to accept payment by the card. When using the GPC as a method of payment, CHs must follow FAR 32.1108, *Payment by government-wide commercial purchase card*. **(T-0)** Appropriated fund GPCs cannot purchase against non-appropriated funds contracts.

1.4. Information Process. CHs should direct all questions to their approving official (AO) as structured in the program hierarchy detailed at **figure 2.1** under **paragraph 2.1**. If the AO cannot resolve the issue, the AO should direct the issue to their agency/organization program coordinator (A/OPC) (Level 4). If the A/OPC (Level 4) cannot resolve an issue, the A/OPC (Level 4) should elevate the issue to their oversight agency/organization program coordinator (OA/OPC) (Level 3), and onto the component program manager (CPM) (Level 2) for guidance as necessary. Key policy, guidance, and GSA SmartPay® contractual information is accessible at Defense Pricing and Contracting website located at **https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html** and at the GSA SmartPay® website located at **https://smartpay.gsa.gov/**.

1.4.1. The authorities to waive wing/delta/garrison/unit level requirements in this publication are identified with a Tier ("T-0, T-1, T-2, T-3") number following the compliance statement. See DAFI 33-360, *Publications and Forms Management*, for a description of the authorities associated with the Tier numbers.

1.4.2. All waivers, exceptions, and deviations shall be in writing and routed to the appropriate level outlined below. Requests to waive, take exception to, or deviate from the rules, regulations or processes and procedures will be reviewed on a case-by-case basis. Submit requests for waivers through the appropriate Tier waiver approval authority.

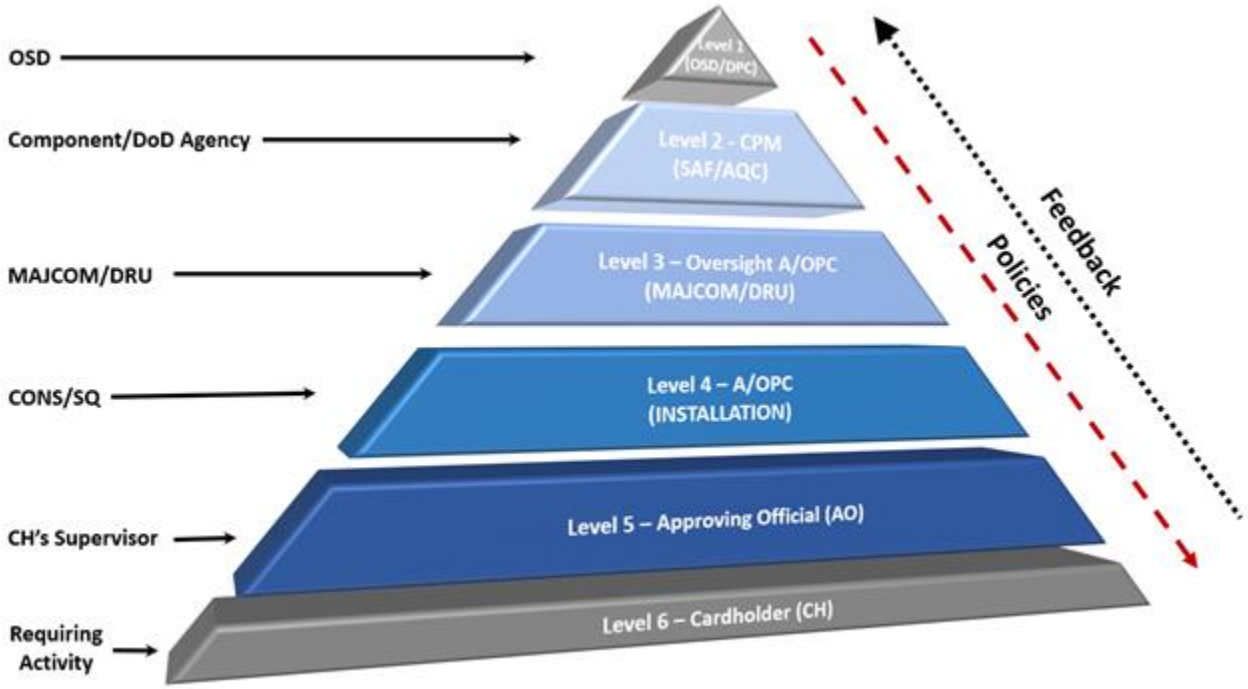
1.4.3. Copies of all approved waivers must be forwarded to the Department of the Air Force GPC CPM (Level 2) within 5 business days of approval. **(T-0)** The CPM (Level 2) will retain copies of all approved waiver packages. In times of emergencies, approval to waive DAFI requirements may be obtained through either email or telephone call from the CPM (Level 2) with a follow up waiver request letter from the requesting commander. The letter must detail the reasons for the request and what harm would happen if the waiver was not granted. **(T-0)**

Chapter 2

ROLES AND RESPONSIBILITIES

2.1. Program Structure. The GPC program is founded on a six-tiered hierarchal reporting chain of command system identified in **figure 2.1** below. The formal names associated with specific roles within this hierarchy are often used interchangeably with the corresponding level of authority within the hierarchy. For instance, A/OPC may be referred to as Level 4, and the CPM often called the Level 2.

Figure 2.1. GPC Hierarchy.



2.2. Responsibilities. All program personnel shall complete all GPC specific training and upload it to JAM prior to being appointed any responsibilities within the GPC program. **(T-0)** All appointments are made in the JAM that is mandated for use by GPC program participants to initiate, review, approve, store, and terminate GPC appointment and delegation letters (e.g., CH Delegation of Authority/Appointment Letters). Components are not required to issue or retain paper copies of appointments issued using JAM. In addition, all GPC appointed personnel shall maintain currency to continue to hold GPC positions. **(T-0)** Government contractor employees shall not be appointed as A/OPC (Level 4), AOs, or CHs; nor perform independent receipt of goods and services. **(T-0)** They may, however, be granted READ ONLY access to the card issuing bank's Electronic Access System. All program personnel must protect the information derived from use of the GPC. **(T-0)**

2.2.1. The Office of the Secretary of Defense, Defense Pricing and Contracting (OSD/DPC) (Level 1) (known as the Purchase Card Program Office) interprets and tailors federal statutory and regulatory laws and guidance for Department of Defense (DoD) usage; develops business rules common to all DoD corporate card programs (purchase, travel, air, fleet, and fuel), and codifies them in the DoD Government Charge Card Guide for Establishing and Managing Purchase, Travel, and Fuel Card programs. Refer to the Purchase Card Program Office website at https://www.acq.osd.mil/asda/dpc/ce/pc/docs/guidesdocs/DoD_Govt_Charge_Card_Guide_06_03-20.pdf.

2.2.2. The GPC CPM (Level 2) for the Department of the Air Force is appointed by SAF/AQC. CPM (Level 2) performs oversight of the GPC program for the DAF. **(T-0)** The CPM (Level 2) duties include:

2.2.2.1. Serve as the liaison between DAF organizations, the Government Purchase Card Program Office, the card issuing bank, GSA's Office of Credit Card Management and other federal agencies. Participate in the mandatory meetings and events including attending and representing the DAF on panel discussions and training events (e.g., GSA SmartPay® Training Forum). Communicate DoD and DAF instruction or guidance updates, data mining results or audit findings, procedure changes, and other information to the OA/OPC (Level 3).

2.2.2.2. Maintain and update all GPC guidance as required, i.e., DAFI 64-117, Express Contract Action Reporting System (ECARS) use guide. **(T-0)** Review and retain DAFI 64-117 waivers, exceptions and deviations. Maintain the currency of, and provide the field access to, all GPC related forms, publications, and guidance (as prescribed in DAFI 33-360, *Publications and Forms Management*). **(T-0)**

2.2.2.3. Review and submit monthly and semi-annual reports as required in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, procedures and Tools – SP3 Transition Memorandum #6 dated April 18, 2019 and Memorandum #12 dated July 16, 2020. **(T-0)** Seek out trends and best practices to improve the program. Implement innovative means of increasing rebates and lowering administrative costs and merchant prices.

2.2.2.4. Manage enterprise data mining processes in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, procedures and Tools – SP3 Transition Memorandum #6 shall use the Enterprise Data Mining (DM) Tool, MasterCard's® Insights on Demand (IOD), to document DM Case review results for all system generated and management added cases and suspend purchasing (e.g., reduce the managing account spending limit to $1) under account(s) with open DM cases, or Monthly A/OPC or Semi-Annual Head of Activity Reviews that are not completed within 55 days of the end of the billing cycle(s) under review. **(T-0)**

2.2.2.5. Monitor ECARS data. Export files from the ECARS and compare data against the Federal Procurement Data System-Next Generation (FPDS-NG) data for missing files. Send missing reports with information to the field for corrective action as needed. Update contract period of performance as required; provide support for proper and timely reporting of the ECARS transactional data. **(T-0)**

2.2.2.6. Maintain OA/OPC (Level 3) point of contact rosters; and ensure OA/OPC (Level 3) training records and appointments are in JAM. **(T-0)**

2.2.3. OA/OPC (Level 3). The HCA or delegated contracting authority shall appoint one (1) primary and one (1) alternate OA/OPC (Level 3) in JAM. Additionally, the Air Force Installation Contracting Center (AFICC) and supporting directors will provide sufficient primary and alternate OA/OPC (Level 3) to manage their GPC program. The OA/OPC (Level 3) is responsible for the implementation and administration of the AFICC Operating Location (OL)/Major Command (MAJCOM)/Field Command (FLDCOM), Direct Reporting Unit GPC program. **(T-0)** Headquarters Space Operations Command and Space Systems Command will continue to receive OA/OPC (Level 3) support from AFICC.

2.2.3.1. The OA/OPC (Level 3) serves as the liaison between SAF/AQC and the A/OPC (Level 4), the point of contact for all AFICC OL/MAJCOM/FLDCOM/DRU level inspections, and participates in mandatory meetings and events. They communicate DoD, DAF and AFICC/MAJCOM/FLDCOM/DRU guidance, findings, procedure changes, and other information to the A/OPC (Level 4).

2.2.3.2. The OA/OPC (Level 3) reviews and submits monthly and semi-annual reports as required in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, procedures and Tools – SP3 Transition Memorandum #6. Additionally, the OA/OPC (Level 3) assists the CPM (Level 2) program manager with implementing innovative means of increasing rebates and lowering administrative costs and merchant prices as well as seek out trends and best practices to improve the program**. (T-0)**

2.2.3.3. Manage enterprise data mining processes in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, procedures and Tools – SP3 Transition Memorandum #6 utilizing the Enterprise Data Mining (DM) Tool, MasterCard's® Insights on Demand (IOD), to document DM Case review results for all system generated and management added cases. This includes suspending purchasing (e.g., reduce the managing account spending limit to $1) under account(s) with open DM cases, or Monthly A/OPC or Semi-Annual Head of Activity Reviews that are not completed within 55 days of the end of the billing cycle(s) under review. **(T-0)**

2.2.3.4. Manage ECARS data. Update contract period of performance as required. Review and address, as necessary, information gleaned from the ECARS vs FPDS-NG report provided by the CPM (Level 2). Assist the field with operational use of the ECARS System to include proper and timely reporting of the ECARS transactional data. **(T-0)**

2.2.3.5. The OA/OPC (Level 3) reviews, at least quarterly, the listing of uncashed rebate checks as applicable.

2.2.3.6. Maintain an A/OPC (Level 4) point of contact roster ensures appointment and training certificates are updated in JAM.

2.2.4. A/OPC (Level 4). The A/OPC (Level 4) is the specific installation/organization program coordinator under each AFICC OL, MAJCOM, FLDCOM, or DRU. The contracting commander, or equivalent, shall appoint a primary and alternate A/OPC (Level 4) in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, procedures and Tools – SP3 Transition Memorandum #6 within JAM. **(T-0)** The

authority to appoint primary and alternate A/OPC personnel may only be delegated to the deputy in the absence of the commander. Primary and Alternate A/OPC (Level 4) shall be an 1102 contracting series civil servant, 6C0X1 enlisted contract specialist, 64PX officer contract specialist, or foreign national equivalent (for Outside the Continental United States (OCONUS) installations). **(T-0)** A/OPC (Level 4) is responsible for program implementation, administration, training, and monitoring at the installation/organization level. The A/OPC (Level 4) is also required to process information requests as it relates to the GPC program in accordance with DoDM 5400.07_AFMAN 33-302, *Freedom of Information Act*, 27 April 2018. **(T-0)**

2.2.4.1. The A/OPC (Level 4) serves as the liaison between the OA/OPC (Level 3), and the installation/organization GPC personnel. They also serve as the liaison between the financial and contracting communities as it applies to the certification of funds and payment of bank statements. A/OPC (Level 4) are also the installation or organization point of contact for bank related matters. They provide business advice to all CHs, check writers, AOs, small business specialist, the contracting commander, or equivalent, and the installation or organization commander. Additionally, A/OPC (Level 4) participate in any mandatory meetings, and communicate DoD, DAF, and MAJCOM/FLDCOM, DRU guidance, findings, procedure changes, and other information as necessary to installation or organization personnel and assist the OA/OPC (Level 3) with increasing rebates and lowing administrative/merchant costs.

2.2.4.2. The A/OPC (Level 4) shall ensure GPC program personnel are properly appointed, trained, maintain currency in training and capable of performing their respective duties. A/OPC (Level 4) personnel with authority to delegate procurement authority to CH or convenience check account holders shall be appointed via a Delegation of Authority Letter that clearly states their authority to further delegate procurement authority. **(T-0)** The A/OPC (Level 4) shall establish and maintain a file for each AO and CH utilizing the program directed filing system/database and retain in accordance with retention rules. **(T-0)** The A/OPC (Level 4) shall temporarily suspend (reduce credit limit to $1) any managing account or CH account that fails to maintain currency (30 calendar days after billing cycle end date). If any account is 120 days delinquent, the A/OPC (Level 4) will suspend the entire organization (all managing accounts (MACs) within the effected organization) and terminate the delinquent account. The contracting commander, or equivalent, has the authority to waive the 30 day suspension to avoid mission impacts; however, a Corrective Action Plan shall be submitted by the AO's organizational commander to and approved by the contracting commander or equivalent to preclude recurrence. **(T-1)** Ensure military and civilian out-processing checklists include a mandatory A/OPC (Level 4) sign off for AOs and CHs. **(T-0)**

2.2.4.3. The A/OPC (Level 4) shall accomplish duties and responsibilities in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, Procedures and Tools – SP3 Transition Memorandum #6. A/OPC (Level 4):

2.2.4.3.1. Must use IOD to document Daily DM Case Reviews (includes AO DM Case Questionnaires and A/OPC DM Case Questionnaires), Monthly A/OPC Reviews (includes Monthly A/OPC Check List and Monthly A/OPC Review Report) and Semi-Annual Head of Activity Reviews (includes Semi-Annual Head of Activity Review Report). **(T-0)**

2.2.4.3.2. Must use IOD to review and approve/disapprove all AO completed DM case reviews, and document any finding, determination, and corrective action taken by completing the A/OPC DM Case Questionnaire. Failure to timely complete required reviews will result in account suspensions. **(T-0)**

2.2.4.3.3. Are required to initiate and complete reviews and close cases for each finding and disciplinary category determination they independently identify (i.e., not flagged by IOD) during their review processes. **(T-0)**

2.2.4.4. The roles and responsibilities of the A/OPC (Level 4) are to:

2.2.4.4.1. Manage and ensure the integrity of the card program.

2.2.4.4.2. Complete initial and refresher training in accordance with DoD and DAF requirements. Complete the issuing bank's training to ensure A/OPC (Level 4) are familiar with all GPC related terminologies and the issuing bank's electronic access system (EAS).

2.2.4.4.3. Work with local Finance Office to minimize the payment of interest and penalties, and avoid suspension of accounts for past delinquencies.

2.2.4.4.4. Ensure appropriate training (including refresher training) is established, maintained, and tracked, and ensure that the required training has been completed before issuing cards.

2.2.4.4.5. Prepare reports on the program.

2.2.4.4.6. Ensure the proper oversight and management controls are in place and working.

2.2.4.4.7. Oversee or perform account maintenance.

2.2.4.4.8. Provide guidance/procedural advice to CH and charge card officials.

2.2.4.4.9. Serve as the issuing bank's point of contact.

2.2.4.4.10. Conduct compliance reviews.

2.2.4.4.11. Assist in dispute resolution.

2.2.4.4.12. Process card applications.

2.2.4.4.13. Maintain the required span of control in accordance with DoD and Component guidance.

2.2.4.4.14. Close accounts using the issuing bank (or, where appropriate, the DoD) automated tool.

2.2.4.4.15. Ensure financial controls are established in account profiles in coordination with applicable Financial/Resource Managers.

2.2.4.4.16. Assist CHs and AOs with account management and reconciliation.

2.2.4.4.17. Monitor transactions during the cycle in order to take timely action against questionable charges, using available automated tools.

2.2.4.4.18. Analyze accounts and specific CH activity.

2.2.4.4.19. Report program activity to appropriate levels of management.

2.2.4.4.20. Where required, attend training conferences as well as any other relevant meetings pertaining to the program.

2.2.4.4.21. Perform special processing as required.

2.2.4.4.22. Ensure respective A/OPC (Level 4) contact information is kept up to date.

2.2.4.4.23. Administer and record any waiver requests to MCC blocks. **Note**: CH account limitations should reflect the normal usage by that CH rather than defaulting to the maximum available.

2.2.4.4.24. Ensure necessary appointments and delegations are issued and retained.

2.2.4.5. The A/OPC (Level 4) shall accomplish the following monthly:

2.2.4.5.1. Recommend, to the organization commander, suspension of any accounts which have not been used within six (6) months, recommend suspension at 300 days and closure of any accounts which have not been used within 365 days. **Exception**: any accounts that have a documented need to remain active, e.g., contingency accounts, mortuary.

2.2.4.5.2. Coordinate with Financial Service Officers to ensure timely certification and payment.

2.2.4.5.3. Identify and monitor terminated accounts with outstanding credits until refunded to the government. **(T-0)**

2.2.4.5.4. Address program deficiencies and discrepancies identified in the IOD Finding and Determinations Report. **(T-0)**

2.2.4.5.5. Ensure the proper disposition of rebate checks in accordance with **paragraph 5.8**. **(T-0)**

2.2.4.6. The A/OPC (Level 4) should brief the local contracting commander, or equivalent, on a monthly basis but no less than quarterly to ensure the internal controls for the GPC program continue to be used efficiently, economically, and effectively to help manage and reduce fraud, misuse, and abuse. The briefing may include:

2.2.4.6.1. A summary of violations to include payment delinquencies that exceed 30 calendar days, unauthorized purchases, split purchases, fraud, misuse, abuse, purchases exceeding authorized limits, span of control ratios/functions and violations, non-use of mandatory sources, convenience check violations, and purchases over the MPT that were not properly competed and what corrective action should be taken;

2.2.4.6.2. FPDS-NG & ECARS comparison report;

2.2.4.6.3. Any tailored items necessary for situational awareness.

2.2.5. AO (Level 5). Each requiring activity commander, or equivalent is responsible for nominating a primary and alternate AO. **(T-1)** Appointment of AO personnel shall be accomplished by the contracting commander, or equivalent (delegable to A/OPC (Level 4)). **(T-0)** The following categories of personnel may be appointed AOs: government civilian employees, members of the armed forces, and foreign nationals at OCONUS locations (both

direct and indirect hires) subject to operational control and day to day management and supervision by US civilian and military personnel. The AO administers the program for the requiring activity and provides assistance and oversight of CH and managing account activities.

2.2.5.1. AOs are designated under the pay and confirm process. The authority to act as an AO shall be in accordance with the following references: Department of Defense (DoD) Government Charge Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs; Office of Management and Budget (OMB) Circular A-123; Federal Acquisition Regulation (FAR); Defense Federal Acquisition Regulation Supplement (DFARS); DoD 7000.14-R - Department of Defense Financial Management Regulation (DoD FMR) Volume 10, Chapter 23: 'Purchase Card Payments'; and Title 31 of the United States Code. **(T-0)** AO is responsible for approving the spending of public funds and held to a high standard of responsibility and accountability. AO roles and responsibilities are as follows:

2.2.5.1.1. Review and approve all purchases, CH statements, and reconciling where the CH fails to do so in a timely manner. Report questionable card transactions to the A/OPC (Level 4) and/or appropriate authorities for investigation.

2.2.5.1.2. Ensure all CH transactions are legal, proper, mission essential, and correct.

2.2.5.1.3. Ensure monthly billing account accuracy. Maintain documentation supporting certification in accordance with the record retention guidance reconciling the CH account, and payment of the applicable invoice.

2.2.5.1.4. Complete initial and refresher training in accordance with DoD requirements.

2.2.5.1.5. Conduct informal compliance reviews.

2.2.5.2. AOs act as a liaison between the requiring activity's commander and the A/OPC (Level 4) (e.g., reinstatement requests, corrective action plans). They serve as the point of contact for GPC compliance in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, Procedures and Tools – SP3 Transition Memorandum #6. AOs should complete reviews throughout the billing cycle (rather than waiting until the end of the month) to promote timely resolution (e.g., transaction dispute, CH retraining). AOs should complete reviews within five (5) days of the billing cycle end date; must complete reviews within 30 calendar days of the billing cycle end date. **(T-0)** ***Note:*** Any case the A/OPC (Level 4) refers back to the AO for additional review may require action through day 55.

2.2.5.3. Establish/recommend CH and managing account dollar limits to the A/OPC (Level 4) based on historical use. The AO shall ensure spending limits are set to the minimum amount necessary to meet mission requirements and established limits are not exceeded. **(T-0)**

2.2.5.4. The AO shall verify appropriate and sufficient funds are available prior to CH purchases. Approve/disapprove all purchases by the CH to ensure all transactions are for valid, official government requirements. Rotate sources when possible unless sourcing is

guided by policy or contract ordering guide/instrument. Ensure CHs are not splitting requirements to avoid exceeding the micro-purchase threshold (MPT).

2.2.5.5. Maintain a purchase log, to include supporting documentation, to track funds expenditures via US Bank's Electronic Access System, and the current Enterprise Data Mining tool as identified in accordance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, Procedures, and Tools – SP3 Transition Memorandum #6. Register for electronic data notifications within the bank Electronic Access System for automated e-mail alerts. Electronic data notifications will notify the A/OPC (Level 4) of time sensitive tasks and assist with monitoring issues within the GPC program. Ensure convenience check data is maintained; and IRS Form 1099 MISC, *Miscellaneous Income*, for the merchant has been completed (to include identification of the tax ID or social security number of the merchant) and reported. Refer to:**http://comptroller.defense.gov/Portals/45/documents/fmr/current/10/10_23.pdf**

2.2.5.6. If the CH is unable, the AO shall reconcile the card statement on behalf of the CH within three (3) business days after the billing cycle closes. **(T-0)** The AO shall review and approve the managing account statement of accounts within five (5) business days after the billing cycle closes. Managing accounts not reconciled and approved by the AO within 30 days after the end of the billing cycle shall be suspended by the A/OPC (Level 4). **(T-0)** Validate proper receipt, acceptance, and inspection of all items for payment certification (e.g., sign or initial each of the CHs transaction receipts legibly). Flag and track any transactions for items not yet received; ensure sales taxes are not paid, and document the file accordingly. Validating CH account documentation upon statement reconciliation is appropriate for certification and payment. Upon discovery of suspected unauthorized purchases (e.g., purchases that would indicate non-compliance, fraud, misuse and/or abuse), immediately notify the requiring activity commander, or equivalent, and the A/OPC (Level 4). **(T-0)**

2.2.5.7. Ensure end of fiscal year purchases that do not clear the bank's Electronic Access System before 30 September of fiscal year are reported to the Financial Management office and are clearly identified/logged in IOD.

2.2.5.8. Notify A/OPC (Level 4) of credits applied to terminated accounts (monitor credits until refunded to the government), personnel changes occur or extended leave of absence or deployment, and lost or stolen cards. If a CH finds a lost or stolen GPC, the AO will ensure the card is destroyed.

2.2.5.9. The AO is an accountable official and is subject to personal financial liability (including reimbursing the government for unauthorized or erroneous purchases through salary offsets) and/or appropriate adverse personnel action (including removal or other punishment) if they violate applicable GPC use and control regulations, are negligent, engage in GPC misuse, abuse, or fraud (10 U.S.C. 2784). For individuals subject to the UCMJ, GPC misuse is punishable under Article 92, UCMJ, 10 USC §892.

2.2.6. CH (Level 6). The requiring activity commander, or equivalent is responsible for nominating their organizations' CH (Level 6), and appointed by the contracting commander, or equivalent (delegable to A/OPC (Level 4)), via JAM as having procurement authority at a designated threshold: MPT, above the MPT, or up to the simplified acquisition threshold

(SAT). **(T-0)** CHs are legal agents using the charge card to buy supplies and services in support of official government business. This can be a non-acquisition person or an acquisition person.

2.2.6.1. The CH holds the primary responsibility for the card's proper use. See **Attachment 2** for JAM GPC Role Descriptions & paragraph 7.12 GPC Cardholder Special Designation Authority Types. For organizations with an established command support staff may assign the primary CH within the command support staff. If an organization does not have an established command support staff, then the primary CH duty will be assigned as the organization commander, or equivalent, directs. Organizations that have a mission of size and scope that exceeds a single CH and requires alternate CHs, those duties will be treated as an additional duty and may require additional CHs outside the command support staff. The following categories of personnel may be appointed CHs: government civilian employees, members of the armed forces, and foreign nationals at OCONUS locations (both direct and indirect hires) subject to operational control and day-to-day management and supervision by US civilian and military personnel.

2.2.6.2. CH authority is limited to purchases utilizing the GPC up to the threshold indicated on their delegation of authority in JAM. CHs must countersign their delegation of authority to acknowledge they have reviewed, understand, and concur with their GPC program responsibilities. **(T-0)** CHs do not have the authority to sign any agreements with terms and conditions. **(T-0)** The GPC shall only be used by the named individual on the card to pay for authorized, official US Government purchases. **(T-0)**

2.2.6.3. It is the CH's responsibility to safeguard and secure the GPC and account number at all times. If a CH is requested to participate in any type of illegal or unethical business arrangement, the CH should immediately report this to the A/OPC (Level 4). A CH who makes unauthorized purchases, allows others to use their assigned card or card number, or carelessly uses the GPC has committed a major violation and may be held liable to the government for the total dollar amount of the unauthorized purchase. The CH may also be subject to disciplinary action.

2.2.6.4. If the CH will be unable to perform their reconciliation duties, they must notify the AO and provide information necessary for the AO to act on the CH's behalf. **(T-0)** In addition, the CH must notify AOs and out-process with the A/OPC (Level 4) at least 60 days prior to permanent change of duty station move, separation, retirement, or absence of position. **(T-0)**

2.2.6.5. The CH shall:

2.2.6.5.1. Proper and adequate funding is available prior to any purchase by coordinating with AO. More than one (1) violation of this requirement may result in permanent termination of appointment. **(T-1)**

2.2.6.5.2. Screen all requirements for their availability from the mandatory government sources of supply as prescribed by FAR Part 8, *Required Sources of Supplies and Services* (also see AFICC Strategic Sourcing Launch Pad which can be found at: **https://usaf.dps.mil/sites/aficc/afcc/AFICC/KA/AFLaunch/**. **(T-0)**

2.2.6.5.3. Procure only authorized supplies or services and obtain any required specific approvals outlined in **paragraph 7.12** before purchasing.

2.2.6.5.4. Ensure sources are rotated.

2.2.6.5.5. Log transactions at the time of purchase, or within three (3) business days of the transaction appearing in Access Online (AXOL).

2.2.6.5.6. Reconcile posted transactions within three (3) business days.

2.2.6.5.7. Review and reconcile the monthly purchase card statement within three (3) business days of each cycle-end date.

2.2.6.5.8. Ensure that all charges are proper and accurate or have documented actions taken to correct the inaccurate charge.

2.2.6.5.9. Ensure that the transaction does not include sales tax. The CH should make every effort to obtain a credit for any tax costs from the merchant. (However, in some states, ordering agencies may be responsible for paying certain state tax fees.). If a credit is not obtained, the CH should seek restitution via the guidance provided by the *GSA SmartPay® Tax Exemption* website located at: **https://smartpay.gsa.gov**. The CH should document the file accordingly, however CHs shall not load any documents with a marking of "FOUO", Controlled Unclassified Information (CUI) or higher to AXOL. Supporting documentation with these markings shall be available off-line for purposes of account inspections and audits.

2.2.6.5.10. Upload the appropriate supporting documentation, (e.g., sales slips, documentation of receipt and acceptance, purchase log, approved purchase requests, additional approvals/waivers (if applicable), quotes, documentation required by Section§ 889 of the 2019 National Defense Authorization Act (NDAA) representations, etc.) on US Bank's Electronic Access System for the AO in a timely manner. If any of the documents are in foreign language, the CH shall add a statement with the details of the purchases in English. **(T-0)**

2.2.6.5.11. Notify their AO and the card issuing bank immediately of any lost or stolen card, or suspected fraudulent activity. If the CH finds the original GPC after reporting it lost or stolen, the CH shall relinquish the card to the AO for destruction. **(T-0)**

2.2.6.6. Protect the integrity of the procurement process by ensuring a proper separation of function. At a minimum, a two-way separation of functions for all purchase card transactions is defined as one (1) person making the purchase with the purchase card, and a separate person receiving, inspecting, and accepting the purchase. **(T-0)**

2.2.6.7. Requirements that exceed the MPT (see **Chapter 11**) must be purchased against appropriated funded, pre-priced contractual agreement such as a Federal Supply Schedules, Indefinite Delivery/Indefinite Quantity, or Blanket Purchase Agreement unless otherwise stated in this DAFI. CHs must follow the agreements ordering guide procedures regarding competition or Fair Opportunity. Unless stated otherwise in the ordering guide, CHs must review prices of at least three (3) contracted sources to select the best value for their requirement. If fewer than three (3) sources are available, the CH must justify the lack of competition in writing to their supporting contracting office for a Contracting Officer's determination of fair and reasonable pricing prior to purchase and maintain the determination in the purchase file. A Sample Determination of Fair and Reasonable Pricing is available in **Chapter 11**. **(T-0)**

2.2.6.8. Maintain a purchase log in the bank's Electronic Access System that documents all transactions. **(T-0)** At a minimum, the purchase log must include the following fields: a) date the item/service was ordered; b) name of the requestor; c) description of the item(s)/service(s). (If the purchases are valued less than $75, they may be entered at the summary level, e.g., office supplies); d) merchant's name; e) number of items purchased; f) unit price; g) total dollar value of the transaction; h) name of the recipient of the item/service; i) date received. **(T-0)**

2.2.6.9. Verify and document receipt/acceptance of goods or services, and properly mark those items which are individually valued at $5,000 or more or considered pilferable or sensitive as prescribed by the rules governing purchases requiring Item Unique Identification. **(T-0)**

2.2.6.10. Protect the government's rights by disputing transactions when receipt and acceptance of goods or services cannot be verified. The CH has 90 calendar days from the date the transaction has been processed/posted to the account to dispute it. Ensure fiscal year end purchases that do not clear in the bank's Electronic Access System before 30 September of the ending fiscal year are reported to the AO and are tracked.

2.2.6.11. Ensure pay and confirm procedures are followed. The CH shall reconcile each transaction and approve their statements at the end of each cycle in anticipation the supplies will be received. If there are billing errors or questionable transactions, the CH must dispute the transaction; however, reconciliation and statement approval are still required and shall not be delayed. Resolve any invalid transactions with the merchant. Confirm with the merchant the items ordered are in transit and track the transactions that have not been received by the current billing statement. If the billing errors or questionable transactions are not resolved, or supplies are not received by the next billing statement, the CH will dispute the item within 90 calendar days of the transaction posting date. **(T-0)** If there are damaged items, confirm with the merchant they will replace, modify, or repair any damaged item within the next billing cycle. If the merchant fails to replace, modify, or repair the damage by the allotted time, then follow the disputes procedures.

2.2.6.12. Ensure convenience check writer follows procedures in **paragraph 9.1** ensuring data is maintained for DFAS to provide Internal Revenue Service (IRS) Form 1099 MISC, (Miscellaneous Income) for each merchant (to include identification of the tax ID or social security number of the merchant) and reported. **(T-0)**

2.2.6.13. CHs should register for electronic data notifications within the bank's Electronic Access System for automated e-mail alerts to act on time-sensitive CH tasks (e.g., bank payments, unusual purchases reviews, dormant accounts).

2.2.6.14. Authorized CHs shall enter all purchases over the MPT up to $25,000 into the ECARS for A/OPC (Level 4) approval in accordance with local guidance (e.g., prior to purchase). **(T-0)** A manual ECARS is required when the system is down and must be accomplished in the system when the system returns to operational status but no later than 30 days after the purchase date. **(T-1)** CHs must have specific delegated authority to make purchases over the MPT (See **Chapter 11**).

2.2.6.15. Notify the AO of the following: credits applied to terminated accounts (monitor credits until refunded to the government); when personnel changes occur or there is an

extended leave of absence or deployment; when cards are lost or stolen cards (If a CH finds a lost or stolen GPC, the AO will ensure the card is destroyed).

2.2.7. Installation level program management responsibility rests with the installation commander, or equivalent; and they shall have overall responsibility for the GPC program for their installation. They are ultimately responsible for establishing and complying with mandated internal controls, which ensure the appropriate management, operation, and oversight of the local GPC program. The commander, or equivalent, is responsible for a command climate that prevents requiring activities and personnel from exercising undue influence over the actions of CHs.

2.2.7.1. The contracting commander, or equivalent, shall develop internal management controls to operate, manage, provide oversight, and maintain the integrity of the local GPC program. At a minimum, ensure adequate checks and balances are in place to manage local programs, ensure CHs are not subjected to undue influence over their actions by A/OPC (Level 4), AOs, or others within the command/organization. **(T-0)** Additionally, organizations are responsible for ensuring completion of the monthly A/OPC and Semi-Annual Head of Activity Review processes and DM case closure in accordance with Department of Defense SmartPay® 3 Government-wide Commercial Purchase Card Oversight and Reporting – SP3 Transition Memorandum #12. This includes enforcement of mandatory purchasing suspension for accounts with incomplete Monthly A/OPC or Semi-Annual Head of Activity Reviews or open DM cases for the period under review. On a case-by-case exception basis, CPM's (Level 2) are authorized to lift purchasing suspensions for mission critical purchases with open DM cases or incomplete reviews; this authority may not be delegated below the CPM (Level 2).

2.2.7.2. The contracting commander, or equivalent, must ensure separation of duties. **(T-0)** Ensure the roles and responsibilities of the individuals within the GPC program are not in conflict. Individuals designated as A/OPC (Level 4) shall not be simultaneously designated as AOs or CHs and individuals designated as AOs shall not be a CH on the same managing account. **(T-0)** No individual shall serve as a CH or AO with the responsibility of certification on the same funds. **(T-0)** Certifying Officers are defined as individuals responsible for certifying payment vouchers are correct and proper for payment.

2.2.7.3. Span of control shall be managed in accordance with the Government Charge Card Guide for Establishing and Managing Purchase, Travel, and Fuel Card programs as follows **(T-0)** Primary A/OPC (Level 4) shall not be responsible for more than 250 GPC accounts (250:1 CH and managing accounts combined). Additional A/OPC (Level 4) shall be appointed whenever the combined number of CH and managing account accounts exceed the 250:1 ratio. A/OPC (Level 4) can be alternates for each other's 250 accounts, but above 500 accounts, additional A/OPC (Level 4) shall be added to ensure proper oversight of the GPC program. A/OPC (Level 4) must have the resources to accomplish program oversight. In addition, the number of CH accounts assigned to a primary AO shall not be more than seven (7:1). A CH may not be assigned more than three (3) CH accounts**.** Additional AOs shall be assigned by the organization whenever the number of CH accounts exceed the 7:1 ratio. The A/OPC (Level 4) should routinely evaluate the effectiveness of each AO's ability to review, approve, and reconcile transactions by considering the number of transactions made by each CH under the AO's purview. **(T-0)** The CPM (Level 2) has authority to

approve deviation from the ratios listed in this paragraph on a case-by-case basis for specific agency locations provided the organization can establish sufficient local oversight and compensating controls are in place. **(T-1)**

2.2.7.4. The contracting commander, or equivalent, in coordination with the small business specialist, or equivalent, shall ensure all small business regulatory and statutory requirements are met, and that policies and procedures (i.e., local set-aside programs) support maximum participation of small business are developed. **(T-0)**

2.2.7.5. The contracting commander, or equivalent, may tailor the Delegation of Contracting Authority Letter to appoint CHs as necessary; however, the letter shall reflect all appropriate limits. **(T-0)** Do not unnecessarily appoint CHs; appoint only to meet mission requirements. OCONUS GPC personnel may be granted authority to make single purchases up to the threshold identified in **Attachment 1**, **Table A1.1**, GPC Micro-Purchases, per transaction in accordance with Defense Federal Acquisition Regulation Supplement (DFARS) 213.301(2). The restrictions to personnel designated as CHs also apply to convenience check writers. The contracting commander, or equivalent, should not issue multiple cards to one (1) CH without documented justification from the CH's commander, as multiple lines of accounting can be allocated to one (1) card/account through Financial Management's reallocation process. **(T-0)**

2.2.7.6. The contracting commander, or equivalent, shall provide program management reviews with the installation commander, or equivalent, on a semi-annual bases. **(T-0)**

2.2.8. The financial management office will nominate and appoint financial management personnel on a DD Form 577, *Appointment/Termination Record,* to serve as certifying officers under the DAF pay and confirm process. Financial management is responsible for training and advising CHs and AOs on financial issues and the appropriate use of funds. They provide certified funding documents for each account and certify bank statements for payment within five (5) calendar days of receipt. They serve as the liaison between the installation and Defense Financial and Accounting Service (DFAS) (the paying office). These Certifying Officers have pecuniary liability for payments they certify.

2.2.8.1. The financial management Level 2 shall maintain and provide a current list of MAJCOM/FLDCOM level Financial Service Officers to the GPC CPM (Level 2) for funding/payment issues.

2.2.8.2. The financial management Level 2 shall monitor reports and collaborate with finance personnel to ensure untimely certification of statements do not cause payment delinquencies.

2.2.8.3. Financial management shall alert A/OPC (Level 4) within 3 business days of notification or discovery of any potential or pending issues that can affect timely payment.

2.2.8.4. Financial management will assist the A/OPC (Level 4) in developing/providing initial CH and AO training. **(T-0)**

2.3. The Card Issuing Bank (the bank) . The bank establishes CH and managing accounts for use with the GPC program. The bank will provide dedicated customer service support, identified in the current overarching contract and task order, to both domestic and international CHs. The bank, at a minimum, will issue cards, billing statements, payment services, training in the utilization of the bank electronic access tools, assist with declined authorization inquires, lost or stolen cards and transaction disputes. The bank may also coordinate requests for CH account inquiries, reconciliation assistance services, and provide account information when required.

2.3.1. The bank will mail the GPC to the CH or designated distribution point within 24 hours of receipt of the electronic request, or notification of a lost or stolen card. For international card replacement, the bank will send the card within 24 to 48 hours, depending on the country/region; delivery times will vary. The bank will also manage convenience check reorders if unavailable through the bank's Electronic Access System. The A/OPC (Level 4) must inform the bank if the CH needs an expedited card delivered.

2.3.2. The bank will monitor mutual account performance goals/objectives and provide standard and ad hoc reports either through queries of its Electronic Access System or actual report submissions.

Chapter 3

GOVERNMENT PURCHASE CARD SYSTEMS

3.1. MasterCard® Insights on Demand (IOD) by Oversight. IOD is an artificial intelligence DM platform that automatically analyzes DoD's GPC data to identify high-risk transactions. IOD enables the Department to fulfill the 10 USC §2784 (as modified by Public Law (Pub. L.) 112-194, Government Charge Card Abuse Prevention Act of 2012) requirement to "use effective systems, techniques, and technologies to prevent or identify improper purchases." It also facilitates transaction reviews and enables documentation of any findings identified and corrective actions taken**. (T-0)**

3.2. ECARS. The ECARS is a secure web-based application that shall be used to document all GPC purchases above the MPT and below $25,000. **Exception:** contract payments. This system consolidates purchase data by contract number for each location for the Federal Procurement Data System - Next Generation reporting. If authorized to purchase above the MPT, the CH is responsible for ensuring all CH ECARS requests are reviewed and approved by the AO prior to submission to the A/OPC (Level 4). **(T-0)** The CH will create and submit the ECARS Approval/Data Form in accordance with local procedures (e.g., prior to purchase), but no later than the last day of the month in which the purchase was made. The ECARS User's Guide is available through the ECARS website Help tab and in the AF Contracting Central/GPC website. **(T-0)**

3.2.1. FPDS-NG & ECARS Comparison Reports assist in ascertaining if any data has not been reported correctly (e.g., mismatched records). These are sent the first and third week of the month from the CPM (Level 2) and can be accessed by GPC personnel through the ECARS website by clicking on "View;" then "Express Contract Action Reporting System & FPDS Report" and selecting their organization. A/OPC (Level 4) and OA/OPC (Level 3) program coordinators will correct mismatched records within five (5) business days of report issuance, but no later than 30 days after the purchase date. **(T-0)**

3.2.2. The ECARS Enhancement/Capability Change Requests are accessed via the ECARS Capability Request Form through the requestor's GPC hierarchy chain, to the DAF CPM (Level 2).

3.3. Federal Procurement Data System - Next Generation. FPDS-NG is a web based government central repository for collecting, developing, and disseminating procurement data to Congress, the Executive Branch and private sector. The federal government uses the reported data to measure and assess the impact of federal procurement on the nation's economy, the extent to which awards are made to businesses in the various socio-economic categories, the impact of full and open competition on the acquisition process and other procurement policy purposes. FPDS-NG contains data that the federal government uses to create recurring and special reports to the President, Congress, the Government Accountability Office, federal agencies and the general public (FAR 4.606, *Reporting Data*). Contracting office personnel shall manually enter the ECARS data into FPDS-NG on a monthly basis. **(T-0)** After the creation of the initial FPDS CAR per contract per FY, CAR updates are required monthly if additional purchases are made from that contract vehicle. FPDS-NG access, training, and instruction manuals are available on the fpds.gov website.

3.4. The Card Issuing Bank's Electronic Access System is a web-based data management and reporting tool. GPC personnel have access to account and transactional data, and execute banking activities related to GPC usage (e.g., initiate disputes, reallocate funds, and approve and reconcile transactions). The order management log and all data generated or processed in the bank's Electronic Access System is maintained by the bank in accordance with FAR 4.805, *Storage, handling, and contract files*. The Electronic Access System provides Electronic Data Notifications (automated e-mail alerts) which remind program personnel to act on time-sensitive CH and managing account tasks days before the deadlines (e.g., bank payments, unusual purchases reviews, dormant accounts) Local contracting activities can determine which electronic data notifications will be optional or mandatory for CHs, AOs, A/OPC (Level 4), and Financial Service Officer responsible for GPC funds certification and payments.

3.5. Defense Enterprise Accounting and Management System. Defense Enterprise Accounting and Management System is a major automated information system that uses commercial off-the-shelf enterprise resource planning software to provide accounting and management services. Defense Enterprise Accounting and Management System interfaces with approximately 40 other systems that provide travel, payroll, disbursing, transportation, logistics, acquisition, and accounting support. Financial management utilizes Defense Enterprise Accounting and Management System for processing GPC funding and reconciliation to improve financial management visibility.

3.6. Integrated Accounts Payable System. Integrated Accounts Payable System is a DFAS automated system. It supports the payment of commercial vendors and provides support for standard Electronic Data Interchange transactions, thus allowing full support for DoD and electronic commerce initiatives. Integrated Accounts Payable System is applicable to units still operating in legacy accounting systems until Defense Enterprise Accounting and Management System is completely fielded.

Chapter 4

TRAINING

4.1. Mandatory Training. Mandatory training is divided into initial online training and formal training. Prior to assuming their duties, program personnel shall complete the GPC training appropriate to their position. **(T-0)** GPC personnel must complete the training identified in **Attachment 4**, **Table 4.1**, DAF GPC Role Specific Training Requirements, per DPC Training and Communication webpage. The training requirements for CHs and AOs trained at a previous duty station may be abbreviated or waived, in writing, as determined by the A/OPC (Level 4). All CH/AO initial and refresher training certificates should be stored and maintained electronically in PIEE JAM. **(T-1)**

4.1.1. All prospective GPC personnel shall take the online training as prescribed on the DPC Training and Communication webpage located at https://www.acq.osd.mil/asda/dpc/ce/pc/training.html. **(T-0)**

Table 4.1. DAF GPC Role Specific Training Requirements.

	Training	Roles	Frequency
1	CLG 0010 – DoD Government-wide Commercial Purchase Card Overview **(T-0)**	- CPM - OA/OPC - A/OPC - AO - Certifying Officer - CH - Convenience Check Writer	Every 2 years
2	CLG 003 – Overview of Acquisition Ethics (or Agency Provided Annual Ethics Training). **(T-1)**	- OA/OPC - A/OPC - AO - CH - Convenience Check Writer	Annually
3	Micro-Purchases and Section 508 Requirements **(T-1)**	- A/OPC - AO - CH - Convenience Check Writer	Initial
4	CLM 023 - AbilityOne Contracting **(T-1)**	- A/OPC - AO - CH - Convenience Check Writer	Initial
5	CLC 046 - DoD Sustainable Procurement Program (Green Procurement) **(T-1)**	- A/OPC - AO - CH - Convenience Check Writer	Initial
6	CON 237 – Simplified Acquisition Procedures **(T-1)**	- AO with $25,000 transaction limit - CH with $25,000 transaction limit	Initial
7	CLG 006 Certifying Officer Legislation Training for Purchase Card Payment **(T-0)**	- CPM - Certifying Officer	- CPM (Initial) - Certifying Officer (Annual)
8	US Bank Access Online Training (Role Specific) **(T-1)**	- A/OPC - AO - CH	Initial *May occur after account establishment but must be completed prior to performance of duties
9	IOD-ABO - IOD Case Management Course for A/BOs **(T-0)**	- AO	Initial *May occur after account establishment but must be completed prior to performance of duties
10	IOD-A/OPC_CPM - IOD Case Management, Completing Monthly Checklist, and Performing Oversight Functions **(T-0)**	- CPM - A/OPC - AO	Initial *May occur after account establishment but must be completed prior to performance of duties

4.1.2. Formal training shall be provided by the A/OPC (Level 4) in coordination with the appropriate subject matter experts for all new CH/AO personnel prior to using the purchase card. The A/OPC (Level 4) shall establish the length and content of formal training, but at a minimum include**:**

4.1.2.1. Prohibition against splitting requirements. **(T-0)**

4.1.2.2. Mandatory Sources. (e.g., FAR Part 8, Small Business Administration, Mandatory Use Policies). **(T-0)**

4.1.2.3. Use of warranties and extended service agreements. The purchase of warranties are allowed; however, extended service agreements that require the agreement to terms and conditions and are prohibited. **(T-0)**

4.1.2.4. Use of existing contracts and agreements. **(T-0)**

4.1.2.5. Competition, best value and price reasonableness, and equitable distribution of purchases among suppliers (rotating sources). **(T-0)**

4.1.2.6. Account reconciliation and approval; and an overview of the program IT systems. **(T-0)**

4.1.2.7. Declared contingency procedures for GPC. **(T-0)**

4.1.2.8. Financial management should assist the A/OPC (Level 4) to develop training and/or train on funding document maintenance, Anti-Deficiency Act and the certification and payment process. **(T-0)**

4.1.2.9. Small business specialist should assist the A/OPC (Level 4) to develop training and/or provide training on FAR Part 19, *Small Business Programs* and achieving small business goals.

4.1.2.10. Hazardous Materials Management Process Team should assist the A/OPC (Level 4) to develop training and train on the procedures, approvals, and requirements for procurement, maintenance, and disposal of hazardous materials. **(T-0)**

4.1.2.11. Civil Engineering (CE) Operations flight should assist the A/OPC (Level 4) to develop training and train on procedures, approvals, and requirements to include AF Form 332 processing for construction purchases.

4.1.2.12. Logistics Readiness Squadron (LRS) should assist the A/OPC (Level 4) to develop training and/or train on the purchase of non-medical equipment items, Item Unique Identification markings, government furnished property, allowances standards, and placing equipment/accountable items on an organizational account after receipt. In addition, they will provide training on transportation requirements (e.g., GPC vs GSA Fleet Card, GSA vehicle leases, and all other transportation requirements).

4.1.2.13. GSA SmartPay® Training. **https://training.smartpay.gsa.gov/** which may be tailored to topics pertinent to the installations' needs. **(T-0)**

4.1.2.14. Insight on Demand Case Management Course for AO. **(T-0)**

4.1.3. A/OPC (Level 4) shall provide training on the following topics to AOs and non-warranted GPC CHs that request authority to make purchases above the MPT.

4.1.3.1. A/OPC (Level 4) will provide training on the relevant GPC topics from *Defense Acquisition University (DAU) Simplified Acquisition Procedures (SAP)*, Contracting (CON) 237. In accordance with the DoD GPC course requirements, CON 237 is mandatory for AO and CHs with $25,000 transaction limit. **(T-0)**

4.1.3.2. ECARS. **(T-0)**

4.1.3.3. Item Unique Identification Requirements – Items valued at $5,000 or above, or items considered highly pilferable. **(T-0)**

4.1.3.4. Processing contract payments. **(T-0)**

4.2. Refresher Training . GPC personnel shall take online refresher training as necessary for their respective positions located on the DPC website. A/OPC (Level 4) will retain copies of initial and refresher training certificates in the CH/AO personnel files.

4.3. Optional Training.

4.3.1. DAU's Web-based "Contracting for the Rest of Us," CLC 011. This training is mandatory for non-warranted CHs who hold contingency GPC accounts as described in **Chapter 10**. **(T-0)**

4.3.2. GSA "Guidance for Government Charge Card Usage in Emergency Situations" on GSA's SmartPay® website.

Chapter 5

FUNDING, PAYMENT AND REBATES

5.1. Financial Management Requirements. The Department of Defense (DoD) Financial Management Regulation (FMR) provides overall financial management policy governing all financial transactions within the DAF including purchase card transactions located at http://comptroller.defense.gov/FMR.aspx. Department of Defense SP3 Government-wide Commercial Purchase Card Policies, Procedures and Tools – SP3 Transition Memorandum #6 requires certifying officers be designated. **(T-0)**

5.2. AF Form 4009, *Government Purchase Card Fund Cite Authorization*. The AF Form 4009 is used to designate the accounting classification (also known as the line of accounting) for GPC funding. Financial management, through the organization Resource Advisor, should bulk fund according to funding distribution schedule, to the maximum extent practical, all purchase card accounts. AF Form 4009s are usually issued quarterly; however, additional funding may be needed to cover expenditures. Contingency Contracting accounts may be established in support of contingencies or emergencies with a minimum of $1.

5.2.1. Limit fund cites to the funds supporting the operation of the organization to which the funding document is issued. Funding documents may not be issued that would result in a cross disbursement or coded as "for other" in the system. Cross disbursement is when a disbursing offices is required to make a payment for an accounting office that reports to a DFAS center other than the center to which the disbursing office reports or when a non DoD agency makes a payment charged to a DoD account. Organizations will ensure only one (1) line of Accounting (LOA) and only one (1) line item is used on AF Form 4009s created in the Defense Enterprise Accounting and Management System. Funds certifiers will validate the LOA on the AF Form 4009, as well as the LOA populated in U.S. Bank AXOL and reject AF Form 4009 requests that cite multiple LOAs and/or multiple line items.

5.2.2. The single LOA listed on the AF Form 4009 should be the predominate LOA utilized for GPC purchases and match the default accounting code LOA for both the master account and CH(s) in AXOL. Organizations will use the reallocation function within AXOL rather than citing multiple LOAs on AF Form 4009 requests.

5.3. Funding. In coordination with the AO, the organization resource advisor establishes the funding limit on the AF Form 4009, which is then certified by financial management. Financial management will update the AXOL yearly velocity limit with the cumulative amount on the certified AF Form 4009. Sufficient funds, an amount equal to or greater than the amount of the purchase, must be certified prior to making a purchase. **(T-0)** In all instances, the AO shall obtain a certified funding document before the card can be used by the CH. Use of the purchase card without sufficient funds violates the Anti-Deficiency Act (Public Law 97-258, 96 Stat. 923); and a Contracting Officer must ratify the purchase. **(T-0)** Financial management must notify the A/OPC (Level 4) of any account that lacks sufficient funds to cover purchases; the organization's commander, or equivalent, will be notified, and the A/OPC (Level 4) must suspend the account, at a minimum, for 30 calendar days. **(T-0)**

5.4. Reallocation. Financial management is required to provide reallocation capability to CHs when necessary, per the DoD FMR, Volume 10, Chapter 23. **(T-0)** Reallocation allows the CH to choose which LOA is appropriate for a particular purchase, within the same fund, and precludes the CH from having multiple cards as multiple cards increase bank fees. Each alternate LOA may be titled for the purpose (e.g., training, printing). See SAF/FMFC GPC reallocation guidance for additional reallocation information and procedures.

5.5. Reconciliation Issues. In the event there are issues with any products or services, CHs shall try resolving problems directly with the merchant. If problems cannot be resolved with the merchant, the CH must dispute the item on their statement of accounts via the bank's Electronic Access System. Disputes must be filed within 90 calendar days of the posting date of the transaction; however, payment certification must be accomplished immediately under the pay and confirm process.

5.6. Financial Management Certification of the Bank Statement for Payment. OSD authorized the DAF to utilize the pay and confirm process to capitalize on rebates. Upon receipt of the bank statement, financial management will process the statement for payment within five (5) calendar days of receipt, even prior to receipt of goods or services, regardless if there is a dispute concerning said items. **(T-0)**

5.6.1. If the managing account LOA is not shown in the default accounting code line on the bank statement, financial management will annotate the appropriate funding document number and LOA for each account on the bank statement and certify the statement for payment on a pay and confirm basis. Financial management will contact the A/OPC (Level 4) to update the AOs account setup information if managing account numbers are missing. **(T-0)**

5.6.2. CHs and AOs will verify the statements and resolve any irregularities with the merchant to the maximum extent possible. If the dispute cannot be resolved with the merchant, the CH will submit a dispute to the bank (See **paragraph 7.13**, Disputes).

5.6.3. The financial management Level 2 shall monitor reports and collaborate with Finance personnel to ensure payment delinquencies are not caused by the untimely certification of statements.

5.7. Defense Financial Accounting Services Processing. The DFAS site supporting the activity for accounting and merchant payments is responsible for receipt and processing of all certified bank statements. The statements are generated by the bank on the first business day following the close of the monthly cycle. The DAF active component cycle close date is the 19th of each month or the last business day prior to the 19th if the 19th falls on a holiday or weekend. The cycle close date for the Air National Guard (Army) is the 23rd or the last business day prior to the 23rd if the 23rd falls on a holiday or weekend.

5.8. GPC Rebates/Credits.

5.8.1. The bank provides quarterly rebates in the form of credits to the managing accounts, based on volume of sales and prompt payments. Rebates are electronically returned to the managing accounts and appear in the form of a credit on the billing statement and automatically deducted from the outstanding balance. If a credit is not possible, then a rebate check made out to the U.S. Treasury will be issued to the A/OPC (Level 4). The rebate check will be mailed the following quarter after the rebate was posted to the managing account. A check made out the US Treasury shall be surrendered by financial management to the US Treasury with a DD Form 1131, *Cash Collection Voucher,* within ten (10) business days of receipt. **(T-0)**

5.8.2. Each A/OPC (Level 4) shall deliver all reimbursement checks to their financial management within five (5) calendar days of receipt; and is responsible for maintaining documentation of the reimbursement process to include the DD Form 1131, *Cash Collection Voucher*. **(T-0)** The A/OPC (Level 4) and financial management personnel must ensure appropriate redistribution per the itemized breakout listing of amounts associated with each LOA. Rebates/credits may be credited to the organization's bottom line and does not necessarily warrant adjusting the AF Form 4009. The CH, AO, and Resource Advisor shall have a process to ensure adequate controls are in place to track credits and rebates. Questions related to reimbursements in the form of a rebate or credit should be directed to financial management.

5.8.3. CH should take advantage of manufacturer/retailer rebates offered only when it is economically justified and advantageous to the DoD. If manufacturer/retailer rebates are not a credit on the billing, then they shall be made payable or endorsed to the United States Treasury. **(T-0)** All rebates shall be in the form of checks, and not cash, and forwarded to financial management within five (5) calendar days of receipt. **(T-0)** Rebates in the form of cash/gifts/prepaid cards are prohibited. Rebates will be processed as an appropriation refund to the applicable funding document.

5.8.4. Reimbursements, such as rebates or credits attributable to accounts terminated during the quarter, or accounts not having enough purchases to offset the credit, require the bank to issue checks to the applicable A/OPC (Level 4). Credits must be applied to the funding appropriation). **(T-0)** Per the DoD Financial Management Regulation, Volume 10, Chapter **2**, **020302**.E, DoD rebates attributable to the use of the GPC may be credited to operation and maintenance, and research, development, test and evaluation accounts which are current when the rebates are received. For example, if a rebate is received in the new fiscal year against a bill that was paid in September of the previous fiscal year, the rebate may be credited to the operations and maintenance and/or research, development, test and evaluation account(s) current after October 1 of the new fiscal year. This includes the operational portion of a non-appropriated or working capital fund account. When applied to an account that does not have enough purchases or debits to offset the credit, a reimbursement check will be sent to the appropriate A/OPC (Level 4).

5.9. 13th Month Billing Cycle.

5.9.1. On or about October 3, the bank will generate a special fiscal year end bill referred to as the "13th Month" cycle. The 13th Month cycle close date will be verified by US Bank DAF Relationship Manager and will include charges for all purchases received and posted by the bank between the September cycle close date and the 13th month cycle close date. The bank system is designed to generate bills based on the transaction post date. For that reason, and to allow for a normal processing time of two (2) calendar days between purchase date and posting date at the bank, all transactions with a post date of 30 Sep, or earlier will be included in the 13th Month billing cycle. Financial management will certify 13th Month cycles the same as all other monthly cycles. The bank will automatically update all appropriations to reflect new fiscal year values.

5.9.2. If an expense is erroneously charged to the incorrect fiscal year, the AO may provide receipts or other dated evidence that supports processing of a SF 1081, *Voucher and Schedule of Withdrawal and Credits* to transfer the charge to the correct fiscal year. Screen prints of the merchant bank's electronic order log (transaction log) are also considered acceptable evidence to support the transfer if it shows the purchase date was in a different fiscal year than was charged.

5.10. Fiscal Year End Close-out Procedures . The applicable financial system will roll any AF Form 4009 commitment balances of $1 or more from a commitment to an obligation balance. SAF/FM will provide Fiscal Year End GPC procedures to installations based on the applicable financial system.

5.10.1. For any residual commitment balances of $1 dollar or more, unless they are in status or expired, the financial system will generated an AF Form 406, Miscellaneous Obligation Reimbursement Document (MORD) to maintain funds for that FY's transactions for those accounts. The system will also create a one-time contract record for each obligation document generated. The MORD/contract number will be the same as the AF Form 4009 number used to fund the account.

5.10.2. To ensure an obligation document is generated and is available to pay subsequent bills, every AO and financial management must ensure that a commitment amount is recorded in the financial system for their AF Form 4009 and it is sufficient enough to cover unbilled charges. AOs, in coordination with unit resource advisors, must ensure all fiscal year charges, billed or unbilled, are accounted for on the AF Form 4009 prior to 30 Sep of each fiscal year.

5.10.3. MORDs will not be created for medical/dental working capital fund (Fund Code 6B) accounts and any unbilled charges will be charged against the master contract record for the account at the time of billing. The system will generate a 3-part report: a) **Part 1** is a Reconciliation Error List that shows all account numbers and reasons why a Miscellaneous Obligation Reimbursement Document was not generated; b) **Part 2** is the Converted Purchase Request to Miscellaneous Obligation Reimbursement Document List that provides the account numbers for those commitments that transferred to a Miscellaneous Obligation Reimbursement Document; and c) **Part 3** is a list of existing current year GPC Miscellaneous Obligation Reimbursement Documents.

5.10.4. All balances transferred to the Miscellaneous Obligation Reimbursement Document are de-committed and the Miscellaneous Obligation Reimbursement Document balance is recorded as an Accrued Expenditures Unpaid balance. Financial management and AOs will de-commit all remaining balances in all prior year AF Form 4009 records.

Chapter 6

GOVERNMENT PURCHASE CARD PROCESSES

6.1. Accounts. CH and Managing Accounts shall be established in the current Enterprise Data Mining tool, which will migrate to the bank's Electronic Access System. Accounts will only be established when a need exists for the GPC. The AO must request funding on an AF Form 4009 to fund the account. If the A/OPC (Level 4), AO, or CH suspect a GPC account number has been compromised, the CH's account shall immediately be cancelled and a new account established. All pending transactions will be transferred to the new account. The A/OPC (Level 4) must work with the bank to resolve any issues that arise from this action.

6.1.1. Depending on the Host Tenant Agreement, a hosting installation A/OPC (Level 4) may be required to initiate GPC accounts, provide training and surveillance audits for all tenants when the tenant's funds are maintained by the hosting installation's financial management. In cases where the tenant's funds are maintained by the CH's home station, the home station A/OPC (Level 4) will be responsible, but may request courtesy service by the hosting installation A/OPC (Level 4). Copies of all documentation will be maintained by the issuing installation. In cases of GPC disciplinary action, the issuing installation is responsible for supervision over GPC personnel transactions and shall coordinate with the GPC personnel's supervisor for any disciplinary actions. **(T-0)**

6.1.2. Spending limits shall be established: single purchase; CH billing cycle; and AO's billing cycle. **(T-0)** The single purchase limit is normally set to the MPT unless otherwise authorized. The monthly CH limit is the total dollar value of the CH's GPC purchases allowed for any given monthly billing cycle. The AO's billing limit encompasses all of the CHs' limits within the managing account.

6.1.2.1. Organizations will only utilize the credit limit, single purchase limit (SPL), and yearly limit when updating GPC account spending limits within AXOL.

6.1.2.2. The yearly limit must reflect the current certified AF Form 4009 funding limit in both areas. Utilizing any other limit and not ensuring funding limits are accurately reflected could allow for possible overspending and subsequent Anti-Deficiency Act violations. **Exception:** SPL. All limits must be realistic, based on actual spending patterns and available funding. **(T-0)**

6.1.3. Delinquency Procedures. The DAF utilizes the pay and confirm process to capitalize on rebates.

6.1.3.1. AOs shall make every effort to approve billing statements within five (5) business days. Accounts which have not been reconciled and approved 15 days after the billing cycle are considered delinquent. A/OPC (Level 4) shall temporarily suspend (reduce credit limit to $1) unreconciled accounts 30 days after the end of the billing cycle**.** The bank will suspend the managing account if the undisputed principle is not received by the 60 calendar day past due date. The suspension will automatically be lifted once the principle is paid.

6.1.3.2. The bank will notify the A/OPC (Level 4) and designated billing office, electronically or in writing, that on the 55th past due day that suspension will take place by the 5th calendar day after notification if the payment is not received. The bank will provide a point of contact from the bank to assist in resolving the issue.

6.1.3.3. Requests for suspension exemptions for managing accounts with operational emergencies may be granted on a case-by-case basis. Exemption requests must be submitted in writing from the A/OPC (Level 4), through the OA/OPC (Level 3), to the CPM (Level 2) point of contact. **(T-0)** These request must include written or electronic concurrence from the CONS/CC or equivalent that the suspension lift is operationally required.

6.1.3.4. Managing Accounts which exceed 120 days past the statement due date will result in the entire A/OPC (Level 4) being suspended. **(T-0)** The bank will suspend the entire A/OPC (Level 4) if the undisputed principle is not received by the 180 calendar day past due date down to $1 by the CPM (Level 2). **(T-0)**

6.2. Termination or Closure of Accounts. At least 60 calendar days prior to reassignment, separation, retirement, etc., a CH or AO shall notify the A/OPC (Level 4) of their change in status and begin to transition their duties over to another appointed organization representative. **(T-0)**

6.2.1. When a CH account is terminated or closed, the CH shall surrender the GPC and submit the account documentation to the AO. The AO will perform an in-depth surveillance of the CH's records within 30 calendar days of termination or closure. The AO will ensure all outstanding transactions (charges and/or credits) have cleared the bank and the card has been destroyed. The A/OPC (Level 4) will conduct an audit on the account during the next monthly summary assessment. **(T-0)** Additionally, the A/OPC (Level 4) shall ensure that all appointment termination actions are accomplished in AO and JAM.

6.2.2. When an AO vacates their assignment, and a new AO is assigned, all CH accounts remain active under the existing managing account. The departing AO must reconcile their account with financial management prior to vacating the position. **(T-0)** Additionally, the A/OPC (Level 4) shall ensure that all appointment termination actions are accomplished in AO and JAM.

6.2.3. When an AO requests termination of their managing account, all CHs shall surrender their GPC and submit the account documentation to the AO. The AO will perform an in-depth surveillance of the CH's records within 15 calendar days of termination **(T-0)** When all transactions (charges and/or credits) have cleared the bank and the card(s) has been destroyed, the AO shall process removal of the remaining funds and submit a request for account termination to the A/OPC (Level 4). The A/OPC (Level 4) will conduct a surveillance audit prior to terminating the account.

6.3. Data Access by Non-Program Officials. Provide GPC data to assist DoD and DAF audit/investigative organizations in the performance of their duties; however, they should not have online access to any GPC system.

6.4. Bank Secrecy and Patriot Acts . In order to comply, the bank may conduct Office of Foreign Asset Control screening. Office of Foreign Asset Control screening is a review of account holder names against the Specially Designated Nationals and Blocked Persons list. A/OPC (Level 4) shall provide requested information to the bank for Office of Foreign Asset Control screening and notify the OA/OPC (Level 3) of all requests. Failure to provide the information to the bank will prevent the individual from participating in the GPC program.

6.5. Records Management . Ensure that all records created as a result of GPC program management are maintained in accordance with AFI 33-322, *Records Management and Information Governance Program.* **(T-0)**

6.5.1. A/OPC (Level 4) documents shall include such records as CH and AO appointments and training, CH delegations of authority, AO appointments. **(T-0)**

6.5.2. AO and CH documents shall include all transaction details (such as order log, receipts, etc.) and account information**.**

6.6. Freedom of Information Act (FOIA) Requests. A/OPC (Level 4) should respond to FOIA requests, made from FOIA offices. FOIA requests will only be released as required by the Freedom of Information Act, 5 U.S.C. § 552, or other appropriate authority. **(T-0)** A/OPCs may release specific transactional data from non-classified accounts to include: merchant category code; transaction amount; merchant name; merchant city, state, ZIP code, and phone number; and transaction date provided a minimum of 90 days since those transactions have occurred.

Chapter 7

GOVERNMENT PURCHASE CARD USAGE

7.1. Authorized Use. Purchases below the MPT are exempt from the Competition in Contracting Act, Buy American Act, Economy Act, Service Contract Labor Standards Act, Wage Rates Requirements Act, and the Small Business Set-Aside Program.

7.1.1. The GPC shall be used for mission-essential purchases. The GPC shall not be used to split purchases to avoid exceeding the authorized MPT limit. See Department of Defense Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs, Appendix A, Unique Business Rules for Purchase Card Programs, Sections A.1.2.1 and A1.2.4, v. for more detail. **(T-0)**

7.1.2. The GPC shall only be used for authorized government purchases that are valid mission requirements using appropriated funds. **(T-0)** For those organizations that have non-appropriated funds, see AFMAN 64-118 *Air Force Nonappropriated Fund (NAF) Government Purchase Card Program*. For Chapel Tithes and Offerings Fund GPC usage, see DAFI 52-105, *Chaplain Corp Resourcing* and DAFMAN 52-107 *Chapel Tithes and Offerings Fund Management*. For Gift Fund GPC usage see USAFAI 51-601, *USAF Academy Management and Use of Gift Funds*. Use the Gift Fund GPC to make authorized gift fund purchases, which may include entertainment, at locations that can accept the card. Purchase of these items are not authorized for any credit card except the official Gift Fund Government Purchase Card (Gift GPC). Refer to USAFAI 51-601, *USAF Academy Management and Use of Gift Funds*. **(T-0)** Contact local comptroller and/or legal office if any doubt exists regarding the proper use of appropriated funds.

7.1.3. Ensure that a reasonable price is obtained through price comparisons and other market research methods as prescribed by FAR Part 10.001, *Market Research, Policy* and discussed in **paragraph 2.2.6.3**. **(T-0)** CHs should request discounts. When overseas, price comparisons may be made using available prices from existing schedules, other overseas merchants or commercial sources.

7.1.4. Purchases exceeding the MPT and below the SAT are reserved exclusively for small business. If the CH cannot identify a small business to meet their requirement, the CH will refer the purchase to their servicing contracting office**.** Dependent upon dollar value and local guidance, the contracting office may: 1) dissolve the small business set-aside and refer the purchase back to the CH who will make the purchase and retain the contracting officer's determination in the purchase file; or 2) make the purchase at the contracting office. Prior to any purchase over MPT, the CH will confirm the vendor's size status through System for Award Management and maintain verification in the purchase file. **(T-0)**

7.1.5. The GPC may be used for non-personal recurring services performed at regular intervals; however, recurring services requirements estimated to exceed the MPT per FY is not authorized. Services exceeding the MPT shall be acquired through the Contracting Office. **(T-0)** Overseas locations see **Attachment 2, Table A2.2 – GPC Cardholder Special Designation Authority Types** item 7.

7.1.6. The GPC may be used for non-personal non-recurring services involving one-time, unpredictable, or occasional requirements.

7.1.7. The Bureau of Fiscal Service. U.S. Department of Treasury currently limits government-to-government card transactions to a daily maximum, identified in **Attachment 2**, **Table A2.2**, Section 10, per card. **(T-0)** This includes inter-governmental (i.e., from another DoD agency) and intra-governmental (i.e., from another DAF entity). This rule does not apply to purchases from commercial merchants, either via open market or through GSA Advantage, GSA Global Supply or GSA's retail stores, as well as from Personal Property or GSA Fleet and Defense Logistics Agency (DLA) Printing Services. Consult financial management for inter-governmental and intra-governmental purchases in excess of thresholds using other mechanisms (e.g., the Intra-Governmental Payment and Collection, or the Invoicing Payment Platform). **(T-0)**

7.1.8. When placing GPC charged telephone orders, the CH should confirm with the merchant to charge the GPC only when items are shipped.

7.1.9. Internet purchases must be limited to those web sites that provide secure transaction safeguards.

7.1.10. CHs are responsible for procuring green products and services under the Green Procurement Program as prescribed by *Executive Order 13693*, which includes reference to applicable laws and DAF regulations such as Clean Air Act, Energy Policy Act, Section§ 9002 of the Farm Security and Rural Investment Act, and section§ 6002 in the Resource Conservation and Recovery Act**.** Green procurement applies to the purchase of recovered materials, energy and water efficient products, alternative fuels and fuel efficiency, bio-based products, non-ozone depleting substances, environmentally preferable products and services, and toxic and hazardous chemicals. The following are mandatory Green Procurement purchases: paper, toner, office products, office recycle containers, and office trash cans. **(T-0)** **Exceptions**: if the pricing is considered unreasonable; does not meet reasonable standards; will not meet the time frame needed, and must be documented. Sources for green products are: AbilityOne, FEDMALL, and GSA Advantage.

7.1.11. Education & Training Section personnel shall use the GPC to pay for government or commercial off-the-shelf training and education up to $25,000 for an individual event or planned series of the same training event, activity, or course material. Air Force Force Development Integration Division (AF/A1DI) approval is required if course curriculum includes more than 50% of leadership content. **(T-0)** For AF/A1DI approval, submit request via the Civilian Automated Training Input Program (CATNIP). **(T-0)**

7.1.12. Organizations may pay for government or commercial off-the-shelf training and education with their organization funds up to $25,000; however, if the government has a need for tailored training or tailored training materials, the requirement shall be placed on government contract by a warranted contracting officer. In accordance with DoD Financial Management Regulation, Volume 10, DoD Administrative Instruction Number 40, an SF 182, *Authorization, Agreement, Certification of Training* must be submitted to the Education & Training Section, and approval obtained, before an individual may attend training. The approval process requires coordination/concurrence from an individual's supervisor, second-level supervisor, and the organization's training coordinator before submitting to the Education & Training Section for review and approval, prior to the training start date. The Employee Development Manager/Specialist (EDM/S) will ensure requested training is in compliance

with all statutory, legal, and administrative requirements. The CH must have an approved SF 182 prior to obligating payment to a vendor.

7.1.13. CHs may only purchase Individual Equipment/Organizational Clothing items that are organization funded and from priority sources identified in FAR 8.002, *Priorities for Use of Mandatory Government Sources*. **(T-0)** Purchases from GSA schedules may be processed through the GSA Advantage website unless the CH does not have access to the Internet. **(T-0)** CHs should be aware that when using any commercial merchant catalog with mixed GSA schedule and non-schedule (open market) items, only the specific GSA approved items may be purchased with the GPC for Individual Equipment/Organizational Clothing items. Large purchases of individual gear/equipment that can be forecasted in advance (and exceed the GPC threshold) cannot be viewed as separate requirements, even for individual personnel, and must be purchased on a contract. **(T-0)** However, the GPC may be used as a payment against an existing contract up to $25,000. CHs should consult their A/OPC (Level 4) for clarification. Replacement Individual Equipment/Organizational Clothing must be processed as specified in AFI 23-101*, Materiel Management Policy*. **(T-0)**

7.1.14. Cost Per Flying Hour (CPFH). Expenses and use of the GPC is primarily focused on the consumable items (Element of Expense/Investment Code 605, 609, and 61952) associated with the Cost per Flying Hour program. All items directly related to aircraft, aircraft maintenance, and the production of sorties and/or flying operations which falls within these cost categories are Cost per Flying Hour expenses. Cost per Flying Hour funding will not be used to pay for any labor/service charges tied to aircraft maintenance procedure, such as aircraft washes, PMEL calibration of support equipment, or de-icing. **(T-0)** MAJCOM/FLDCOMs may submit waiver requests with written or electronic coordination through the respective MAJCOM/FLDCOM fund holder to HAF/A4PY. Waivers should be submitted via email to **usaf.pentagon.af-a4.mbx.a4py-workflow@us.af.mil** for review/approval. Any item covered by the categories in the following list are a Cost per Flying Hour expense:

7.1.14.1. Replacement tools (only those used on the flight line to directly support aircraft maintenance for sortie generation, for example those used for maintenance of aircraft/engines, of aircraft equipment, and of test/support equipment, and those left on the aircraft). **(T-0) Note**: Cost Per Flying Hour GPC use is not authorized to support tool replacements for back shops, Aerospace Ground Equipment (AGE), vehicle maintenance, or any other activity outside of direct aircraft flight line maintenance**. (T-0)**

7.1.14.2. Aircrew Flight Equipment whether on or off the aircraft, as long as its use is solely for flying operations, not considered a Uniform of the Day, and as long as it meets the above criteria for Element of Expense/Investment Code 605 and 61952. **(T-0)**

7.1.14.3. Consumable items associated with aircrew safety/mandatory for flight (including harnesses, G-suits, helmets, masks, cold weather coveralls, and gloves) as long as they meet the above criteria for Element of Expense/Investment Code 605, 609, and 61952. **(T-0)**

7.1.14.4. Consumable items associated with aircrew survival (life vest, life rafts, batteries for such, parachutes, etc.) as long as they meet the above criteria for Element of Expense/Investment Code 605, 609, and 61952. **(T-0)**

7.1.14.5. Components of equipment on the aircraft (food preparation, probes, testers, etc.). **(T-0)**

7.1.14.6. Consumable items used to repair Aerospace Test Equipment and Support Equipment Consumable items used for aircraft washes. **(T-0)**

7.1.14.7. Consumable items used for aircraft washes. **(T-0)**

7.1.14.8. Consumable items used to repair Aerospace Ground Equipment (AGE) in direct support of aircraft maintenance. **(T-0)**

7.1.14.9. Consumable items used to repair Information Technology (IT) Processing Equipment installed on the aircraft. **(T-0)**

7.1.14.10. All other expense categories (e.g., 602, 627, 628, 637, 639, and identified with Expendability, Reparability, Recoverability Category ND or NF) are not Cost per Flying Hour expenses and are not allowable GPC expenses. **(T-0)**

7.1.14.11. AvFuel used for aircraft test and support equipment is a CPFH expense. Non-fly fuel used for motorized vehicles/MOGAS for vehicles is not a CPFH expense. **(T-0)**

7.1.15. Reservists participating in drill status may use the host unit's GPC for lodging ONLY when the GPC is used as a payment against an order placed under a contract or Blanket Purchase Agreement.

7.1.16. Any waivers, deviations, or exceptions to GPC policy require authorization in writing from the appropriate tier level authority as stated in **paragraph 1.4.1** shall be for that instance only unless specified otherwise in the authorization. **(T-0)**

7.2. Continental United States (CONUS) Purchases for Overseas. If purchases are made from the CONUS, as defined in DFARS 213.301(1), merchants for use overseas, the MPT remains the same as stateside. **(T-0)** For stateside purchases being shipped OCONUS, the CH must contact their local LRS for assistance regarding transportation and packaging requirements prior to contacting the merchant. CHs must ensure the final price includes all costs associated with the mode of packaging, transportation, customs import duties, and any other charges that may accrue**.** Consult DoD 4500.54-E, *Foreign Clearance Program*, prior to the purchase to ensure compliance with host nation requirements.

7.3. Outside the Continental United States (OCONUS) Purchases. Purchases made OCONUS, as defined in DFARS 213.301(1), from merchants located OCONUS for use OCONUS are authorized to use the GPC to make commodity and services purchases up to thresholds identified in DFARS 213.301(2). The Overseas Simplified Acquisition CH must have the appropriate delegation in JAM. Further, non-commercial purchases (e.g., construction purchases) may use the GPC up to the MPT as defined in FAR 2.101. Unless dictated otherwise by a Host Country Agreement, these purchases are subject to the requirements prescribed in FAR 8.002(a)(1), *Priorities for Use of Mandatory Government Sources*.

7.4. Merchant Category Code. A merchant category code is a four-digit number assigned by the credit card associations to a business that defines what products or services that business offers. When establishing GPC accounts, the A/OPC (Level 4) should incorporate the Merchant Category Codes that are necessary for the requiring organization's mission. Subsequent changes to codes may be requested from the A/OPC (Level 4) by the AO. DoD has blocked purchase card transactions for certain categories of merchants, such as casinos, jewelry stores, drinking

establishments, etc. These Merchant Category Codes are automatically blocked from CH account profiles at the time of set-up. A/OPC (Level 4) can further limit transactions by blocking additional codes for use by a particular CH, or by all activity CHs. When a card is declined for an erroneously identified code, the A/OPC (Level 4) can request a manual override for such instances or extenuating circumstances on regular blocks. The request should contain the following information: (1) exact dollar amount of the transaction, (2) last four digits of CH account number, name of CH, managing account number, merchant name, and (3) justification for the purchase. The request must be submitted up the GPC chain to the CPM (Level 2); if approved, the CPM (Level 2) will contact the bank to have the restriction temporarily lifted. **(T-0)** Once approval is given, the CH has five (5) business days to complete the transaction; have the merchant call the bank and identify the transaction is complete.

7.5. Order Management Log. CHs must document all GPC transactions in the electronic order management log provided by the bank at the time of purchase. **(T-0)**

7.5.1. Itemized receipts for each purchase and other supporting documentation such as special approvals shall be maintained in the purchase log and be available for end of cycle review by the AO and the A/OPC (Level 4) upon request. **(T-0)** These include cash register receipts or tickets, invoices, shipping/packing documents or receiving reports, documentation required by Section Pub. L. 115-232, § 889 of the 2019 NDAA, and electronic purchase confirmations. All management log documentation shall be retained as prescribed by the *AF Records Disposition Schedule*, Table 64-04, Rule 26 (R26). **(T-0)**

7.5.2. CHs shall ensure compliance with Pub. L. 115-232, § 889(a)(1)(B) by ensuring vendors provide/or have provided a documented representation and verification of compliance. **(T-0)** CHs and AOs are to follow the requirements for reporting and obtaining representation and certification as outlined in the 21 September 2020 DoD Memorandum "Recording Implementation of § 889(a)(1)(B) Prohibition on Contracting with Entities Using Certain Telecommunications and Video Surveillance Services or Equipment when using the Government-wide Commercial Purchase Card."

7.6. Pick Up (of items), Shipping, Delivery.

7.6.1. In cases where the CH is picking up the material at the merchant's location, the end user or other designated receiving personnel shall legibly print their name and title, then sign and date the receipt confirming independent receipt and acceptance of the material or services. **(T-0)** In the event the CH is the end user, they may sign the merchant receipt; however, the CH shall ensure another government employee within the organization co-signs, along with their printed name and title, and dates the receipt. **(T-0)**

7.6.2. AOs have the discretion to authorize partial shipments; however, CHs must track the remaining items to ensure they are received in a timely manner. If the item will not be received in the billing cycle, the merchant should not invoice for the item until shipped.

7.6.3. CHs should instruct the merchant to include the following information on the shipping document or packing slip to alert the receiving/requisitioning offices (i.e., not LRS): a) CH name, organization and office symbol; b) building number, room number, street address, city and state; c) CH telephone number; and d) identify the purchase is a GPC purchase. CHs should ship packages through use of DoD's Next Generation Delivery Service (NGDS). Ordering

guide and contract details for this contract are located on the Acquisition Gateway at **https://hallways.cap.gsa.gov/app/#/solutionsfinder**.

7.6.4. Ensure shipping costs are borne by the merchant, if possible. The merchant should provide free delivery to the location the CH identifies when ordering, referred to as Free on Board, Destination. If the merchant charges shipping costs on an invoice, these costs will be included against the single transaction threshold for the GPC. All items purchased/ordered should, in most cases, be available by the end of the next billing cycle. The item should be received or the service completed before the item appears on the bank statement.

7.7. Receipt, Accountability and Disposal of Property. All accountable property acquired with the GPC shall be properly recorded in the appropriate accountable property system of record in accordance with DoDI 5000.64. **(T-0)** Accountable property includes (1) government property purchased or otherwise obtained, having a unit acquisition cost of $5,000 or more; (2) property of any value that is controlled or managed; (3) leased items of any value; (4) assets that are sensitive or classified; and (5) other items as specified by Component property instructions. Examples include pilferable property subject to theft, property hazardous to public health, property designated as heritage assets, information technology property, and government-furnished property. The CH is responsible for obtaining and retaining a copy of the receiving report and including it in the transaction file. When WAWF is used to create and accept the receiving report, no hard copy is required in the GPC transaction file.

7.7.1. The CH shall obtain independent verification of receipt of all items purchased using the GPC. **(T-0)** Upon receipt, the CH shall notify the property custodian of all accountable or sensitive property, including pilferable items, regardless of their dollar value. **(T-0)** Items deemed highly pilferable, and items individually valued at $5,000 or more, shall follow Item Unique Identification procedures as identified in the DoD Procurement Toolbox. **(T-0)** The person verifying receipt of those items must print, sign, date and write "received" on the merchant receipt, sales receipt, shipping document, credit card receipt, or equivalent document. **(T-0)** The individual verifying receipt may be the CH's, supervisor or other designated individual, as appropriate. For accountability requirements of equipment items valued in excess of the MPT see AFI 23-101, *Materiel Management Policy*. **(T-0)**

7.7.2. The organization commander, or equivalent, is responsible for the accountability of equipment items equal to or under the MPT. **(T-0)** Organization commanders, or equivalent, should establish a locally devised program that provides visibility and audit trail capability. This may include use of hand receipts and spreadsheets. These records shall include all items considered pilferable or easily resalable on the open market. The organization commander, or equivalent, must also have adequate controls in place to ensure items are accounted for in the appropriate property book such as the Air Force Equipment Management System, or Standard Base Supply System, and/or Information Technology Asset Management. Reference DoD Manual 5000.64, *"Accountability and Management of DoD Equipment and Other Accountable Property"* and AFI 23-111, *Management of Government Property in Possession of the AF*. CHs managing contracts containing government furnished property (GFP) must have documented notification to the Contracting Officer's Representative to notify the appropriate Property Book Office, and the contractor to capture the GFP in Wide Area Work Flow (WAWF) (**https://piee.eb.mil/**). **(T-0)**

7.8. Tuition Assistance Program.

7.8.1. Civilian tuition assistance program. The GPC shall be used for the payment of civilian tuition assistance invoices that do not exceed a consolidated total of $5,000,000 per invoice from a single institution. **(T-0)**

7.8.1.1. The AFPC Financial Management Office will establish fund controls and initiate an AF Form 4009 for each account required. **(T-0)** Civilian tuition assistance funds are requested by the student using the Air Force Virtual Education Center; which generates an AF Form 4306, *Air Force Civilian Employee Tuition Assistance*. Once approved, the AF Form 4306 must be used as an approval document, which equates to a commitment, but not as an obligation document.

7.8.1.2. The Career Field Teams will receive school invoices after each add/drop period for the applicable school term. The team will reconcile each invoice to ensure it is accurate and complete prior to payment. **(T-0)** A record of each transaction will be maintained with each invoice. Once reconciled, the AFPC Financial Management Office will provide the GPC account number to the school along with a copy of the reconciled invoice. Each CH will reconcile, and the AO will validate and approve, all CH transactions in the bank's Electronic Access System.

7.8.2. The GPC shall be used for the payment of Voluntary Military Tuition Assistance invoices that do not exceed a consolidated total of $5,000,000 per invoice from a single institution. **(T-0)**

7.8.2.1. The military tuition assistance chief, or designee, will establish fund controls and initiate an AF Form 4009 for each account required. **(T-0)** Military tuition assistance funds are requested by the student using the forms and processes directed by the supporting Education Services Office.

7.8.2.2. The Military Tuition Assistance Central Office (AFPC/DP1SSB) will receive school invoices after each add/drop period for the applicable school term. **(T-0)** The military tuition assistance chief, or designee, will reconcile each invoice to ensure it is accurate and complete prior to payment. **(T-0)** A record of each transaction will be maintained with each invoice in the Air Force Automated Education Management System. **(T-0)** Each record of transaction must include a statement certifying the accuracy and receipt of services. Once reconciled, the military tuition assistance chief, or designee, will provide the GPC account number to the school along with a copy of the reconciled invoice via the Academic Institution Portal within Air Force Automated Education Management System. Each AFPC/DP1SSB CH will reconcile, and the AO will validate and approve, all CH transactions in the bank's Electronic Access System. **(T-0)**

7.9. Third-Party Payment Service (e.g., PayPal ®, Google Pay®). See the 17 October 2007 DoD Memorandum "Use of Third Party Payments –Policy Change" and Department of Defense Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs, Section A.1.8 for more detail. **(T-0)** While certain dispute rights may accrue by using the third-party payment service, these rights are not as favorable to the CH/government as those provided pursuant to the GSA SmartPay® contract because the CH has to resolve the dispute instead of the bank. If it is necessary to procure using a third party payment service, the AO must ensure there is adequate supporting documentation showing that there was a detailed review of the

purchase and that the use of the third party payment service was unavoidable. Supporting documentation shall be kept in the CH's files.

7.10. Advance Conference Registration Fee. Use of the GPC for Advanced Conference Registration Fees are authorized; follow the directions as prescribed by the *Joint Travel Regulation* (JTR, Chapter 5, section 0302: *Conferences* (FTR §301-74). **(T-0)**

7.11. Improper Purchases. An improper purchase is any purchase that should not have been made or that was made in an incorrect amount under statutory, contractual, administrative, or other regulatory requirements. Incorrect amounts include overcharges and undercharges. An improper purchase can be one of three types: (1) Abuse, (2) Internal Fraud, or (3) Misuse (DoDI 5154.31, Volume 4).

7.11.1. Abuse. Intentional use of the government issued charge card in violation of applicable regulations. Evidence of intentionality shall be inferred from repeat offenses of the same violation, following administrative and/or disciplinary action taken for this violation. Examples include, but are not limited to, intentionally: failing to purchase from mandatory sources, exceeding the applicable MPT, purchasing items such as a day planner costing $300 rather than one costing $45, or splitting requirements to avoid card thresholds.

7.11.2. Internal Fraud. Any felonious act of corruption or attempt to cheat the government or corrupt the government's agents by charge card program officials. Use of the charge card to transact business that is not sanctioned, not authorized, not in one's official government capacity, not for the purpose for which the card was issued, not as part of official government business. Examples include, but are not limited to, a CH intentionally: purchasing power tools for personal use, paying for repairs of privately owned equipment, purchasing items or extra quantity of items for resale or to give away to relatives.

7.11.3. Misuse. Unintentional use of a government issued Charge Card in violation of applicable regulations. These actions are the result of ignorance and/or carelessness, lacking intent. Examples include, but are not limited to, unintentionally: purchasing excessive quantities of an item with limited shelf life, violating a specific-use policy such as an agency that requires headquarters to buy all furniture, failing to certify "Purchase Card Certification Statements" on time, costing the government maximum rebates and incurrence of prompt payment interest.

Figure 7.1. Violation Category Decision Framework.



7.12. Purchases Requiring Additional Authorization or Documentation . All purchases requiring additional authorizations must be documented. **(T-0)** Coordination via electronic mail is the most practical method for document approval. If verbal approval is obtained from the controlling/servicing organization, a memorandum for record shall be completed to document the date and identity of the authorizing official. Requests for the following supplies, equipment, or non-personal services require the CH to contact the specified controlling/servicing organization before making the purchase. If any of the following purchases require additional terms and conditions, contact the servicing contracting office; unless the purchase is against an existing contract or blanket purchase agreement. **(T-0)**

7.12.1. In accordance with DFARS 219.201 (c)(10)(A), small business specialists / Procurement Center Representatives are required to review all requirements expected to exceed $10,000 (to include awards against GSA instruments) except for those under the SAT that are totally set aside for small businesses. **(T-0)** CHs shall contact the A/OPC (Level 4) for coordination with the contracting officer and small business specialist. **(T-0)** Purchases for large businesses over $10,000 and below the SAT shall be documented using the Department of Defense (DD) Form 2579, *Small Business Coordination Record*, and maintained in the CH's file. **(T-0)**

7.12.2. Construction requirements must be processed through the Base Civil Engineer work order approval process. **(T-0)** The Base Civil Engineer is the authorizing official for all real property and real property-installed equipment.

7.12.3. Documented approval of the Civil Engineering Real Property Officer is required for rental of temporary storage to facilitate office reconfiguration not to exceed 90 calendar days, provided the total price of rental does not exceed the MPT, and the rental period does not cross the fiscal year. Otherwise, the General Services Administration prohibits the long-term rental or lease of land or buildings exceeding 30 calendar days. (Contact the GSA Office of the Public Buildings Service Commissioner for more information.). **(T-0)**

7.12.4. Hazardous and potentially hazardous material is authorized by the Installation's Hazardous Materials Management Program Team. No hazardous or potentially hazardous material may be purchased by any means or brought onto an installation without authorization and approvals from the Installation's Hazardous Materials Management Program Team. **(T-0)**

7.12.5. Information Technology (IT) Hardware (HW) and Software (SW) Procurement

7.12.5.1. All IT HW, as defined in AFMAN 17-1203 including telephone instruments, cell phones, and expansion plug-in cards computers, network equipment, printers, scanners, and servers must be approved through the local Communications Squadron. **(T-1)** All Air Force IT hardware will be acquired using the applicable enterprise buying programs through AFWay (e.g. Quantum Enterprise Buy (QEB), Digital Printing & Imaging (DPI), Cellular Services and Devices Blanket Purchase Agreements) or future AF approved EIT ordering system and contracts in accordance with AFMAN 17-1203 unless waived by the MAJCOM/FLDCOM CIO/A6 through the AFWay process. **(T-2)** Secure telephones may not be purchased directly from merchants using the GPC. **(T-0)** All secure phones must be requisitioned through the standard Base Supply System.

7.12.5.2. All Commercial of the Shelf (COTS) software including those procured as part of IT programs must be first approved through the local Communications Squadron. **(T-1)** All COTS SW procured through Enterprise License Agreements should follow the process prescribed in AFMAN 17-1203.

7.12.5.3. This policy applies to all Mission Areas in order to ensure full configuration control, compatibility with AF and joint systems, and compliance with Section 508 of the Rehabilitation Act, as amended in 1998 (PL 105-220). Technical solution documentation provided by the Communications and Information Officer should be maintained in the cardholder files.

7.12.6. The Base Medical Supply Officer is the authorizing official for all medical related purchases.

7.12.7. Paid advertisements in newspapers will be approved as prescribed by Air Force Federal Acquisition Regulation Supplement 5305.502(a), *Paid Advertisements*. **(T-1)** Advanced authorization is not required to place advertisements in media other than newspapers as prescribed by FAR 5.502(b), *Paid Advertisements Authority,* unless the agency head determines otherwise.

7.12.8. The following applies to organizational purchases of Morale, Welfare, and Recreation items: for fitness center equipment (Federal Supply Class 7830) and authorized food purchases, documented approval must be obtained prior to purchase, at the appropriate level and in compliance with AFMAN 34-204, *Property Management*, AFI 34-266, *Fitness, Sports, and World Class Athlete Program*, AFI 65-106, *Appropriated Fund Support of Morale, Welfare and Recreation (MWR) and Nonappropriated Fund Instrumentalities (NAFI)* and DAFMAN 65-601V1, *Budget Guidance and Technical Procedures.* **(T-0)** Contact the local Force Support Squadron (FSS) or Contracting Office for specific determinations.

7.12.9. Use the subsistence GPC to make food service purchases from the commissary or other approved source at locations that can accept the card (CONUS and some overseas locations). HQ AFSVA/SVOHF must approve any other local sources for food related services as prescribed in AFMAN 34-240, *Appropriated Fund (APF) Food Service Program Management*. **(T-0)** Purchases on this card are only for emergency purposes; HQ AFSVA/SVOHF will approve all emergency purchases when Defense Commissary Agency (DeCA) or the DSCP Prime Vendor cannot satisfy the requirement. **(T-0)**

7.12.10. Purchase of items for Chaplain Corps using the Chaplain Tithes and Offerings Fund are not authorized for any credit card except the official Chapel Tithes and Offerings Fund Government Purchase Card (CTOF GPC). **(T-0)** The CTOF GPC may not be used in support of the direct mission; items required for worship authorized use of appropriated funds as identified in DAFI 52-105, *Chaplain Corps Resourcing*. **(T-0)**

7.12.11. Visual Information, Electronic Digital Imaging and Video Equipment and Services. The Public Affairs (PA) Office will review and approve all procurement requests for film/digital photographic cameras, video cameras, video production services, and photographic printers to ensure compatibility with existing imagery infrastructure and to verify there is no duplication of imagery services available in the PA Office as prescribed in AFH 35-115, *Visual Information.* **(T-0)**

7.12.12. Single Manager of DoD Document Services are considered an inter-governmental transaction and as such, the MPT does not apply; however, the limits in **Attachment 2**, **Table A2.2**, section 10, do apply DAF. **(T-0)** DAF activities will use the GPC as a payment method to procure printing and high speed-high volume duplicating products and services from Single Manager of DoD Document Services in accordance with DODI 5330.03. If transactions do not meet the Single Manager of DoD Document Services criteria, as stated above (i.e., over the single purchase daily limit) then activities will use other funding vehicles (DD Form 448, *Military Interdepartmental Purchase Request*, DD Form 282, *DoD Printing Requisition/Order).* DODI 5330.03, *Single Manager of DoD Document Services*. This requirement does not apply to document services for Intelligence Agencies and Activities. **(T-0)**

7.12.13. Purchase of commercially printed business cards. Reference DAFMAN 65-605V1, *Budget Guidance and Technical Procedures*, for the five (5) categories of individuals authorized to have business cards commercially printed, which includes DLA Document Services. **(T-0)**

7.12.14. Books, periodicals, and manuals purchases must be coordinated with the library to determine if central library funds are authorized and available to purchase authorized mission essential information publications. **(T-0)** If central library funds are not available, offices may use organization funds to purchase mission essential commercial publications (See AFI 34-101). Use of appropriated funds for non-mission essential publications is not authorized.

7.12.15. Professional services are those services rendered by persons who are members of a particular profession or possess a special skill (e.g., accountants, lawyers, architects, engineers, physicians, dentists). State law may require that services rendered by these individuals be performed or approved by a person who is licensed, registered or certified to provide the service. Organizations must consult the Contracting Office to ensure that there is not an existing contract providing the same services requested and to verify that such services are not of a personal services nature. **(T-0)**

7.12.16. Repair services for general equipment must be coordinated and documented with the Contracting Office and the requiring organization’s equipment custodian, to verify the repair is not already covered by an existing preventative maintenance agreement. **(T-0)**

7.12.17. General equipment, vehicles, and other government motor vehicle conveyance/low speed vehicles require an approved authorization for the organization to possess the asset prior to obligation and expenditure of appropriated funds. For general equipment assets, contact the Logistics Readiness Squadron, or equivalent, (Equipment Accountability Element); and for vehicles and other government motor vehicle conveyance/low speed vehicles, contact the LRS Vehicle Management & Analysis Element, the Logistics Readiness Squadron's Customer Service Element and installation occupational safety. Equipment custodians must contact the Base Supply Equipment Management Element immediately upon receipt of the asset to ensure the asset is recorded in an approved Accountable Property System of Record. **(T-0)**

7.12.18. Rental or lease of material handling equipment or aircraft support equipment (e.g., aircraft staircases; baggage handling equipment) requirements must be routed through the LRS and the Contracting Office. **(T-0)** When required to sustain operations at deployed locations, consult the contracting office.

7.12.19. For test, measuring, and diagnostic equipment, the Precision Measurement Equipment Laboratory must approve, in writing, all purchases of equipment and repair services from non-organic repair sources as prescribed by Technical Order (TO) 00-20-14, *AF Metrology and Calibration Program*. Additionally any purchase of Test Measurement and Diagnostics Equipment must be accompanied by the purchase of supporting technical data (calibration, troubleshooting, maintenance, etc.). **(T-0)**

7.12.20. Modifications of equipment listed in Air Force Master Nuclear Certification List, must be coordinated with the Base/Center Weapons Safety Office and Chief Vehicle Maintenance (for motor vehicles/powered aerospace ground equipment). **(T-0)**

7.12.21. Non-Stock Listed/Part Number Requisition Budget Code 8 items, regardless of dollar value, require approval by the designated depot maintenance product directorate chief. **(T-0)**

7.12.22. Non-expendable (Budget Code 9) Equipment Assets over $5,000 must have accountability records established through the LRS or supply activity. **(T-0)** Coordinate with LRS Equipment Accountability Element to determine if an authorization is required and if so, that a valid authorization exists for the purchase of the equipment item. **(T-0)** If an authorization does not exist and is required, the individual requiring the item must submit AF Form 601, *Authorization Change Request*, and have it approved, prior to obligation and expenditure of appropriated funds. **(T-0)**

7.12.23. When purchasing centrally managed consumable XB/XF items directly related to weapon systems, the weapon systems program director (or delegated official) is the authorizing official. For items that are not related to a weapons system, the item manager, equipment specialist, or equivalent, is the authorizing official. Submit a request (include a qualified source) to the applicable approving authority for local purchase authorization if a part is back ordered, the estimated delivery date is unacceptable, the requirement is equal to or below the MPT, and the CH has received the applicable Certification of Conformance. **(T-0)** Approved purchases will use only flying hour funds (AF Element of Expense/Investment Code (AFEE/IC) 619XX, or other funds identified by MAJCOM/FLDCOMs); or funds allocated to the using activities are authorized to be used. Items will not be purchased for resale to other end-users. Depot maintenance product directorate personnel are authorized to procure weapon system and commodity consumable parts under emergency surge conditions or when such actions achieve best value for the government considering cost, schedule, performance, and

supportability factors. These actions will require approval by the designated depot maintenance product directorate chief. When purchasing items not directly related to a weapons system that are sourced through GSA, no longer centrally managed, or no longer available through a supply system, these items are considered available from local sources and may be approved for purchase at the lowest level, i.e., supervisor or equivalent. **(T-0)**

7.12.24. Only small arms and light weapon (SA/LW) parts and accessories (e.g.,. grips, slings, butt stocks, aiming lasers, optics, lights) approved by the Air Force Security Forces Center, Combat Arms Branch (AFSFC/FGWL) may be purchased listed on the USAF Authorized Small Arms and Light Weapons Accessories may be purchased by the approved users/units identified. Authorized Small Arms/Lightweight Weapons parts and accessories listing and details may be accessed on HQ/AF Combat Arms. The authorized SA/LW parts and accessories listing may be accessed via the USAF Combat Arms SharePoint site at **https://usaf.dps.mil/teams/12150/default.aspx**. Other than parts and accessories already identified on this list for local or commercial-off-the-shelf purchase, organizations/personnel are not authorized to obtain any Small Arms/Lightweight Weapons parts or accessories via local or commercial purchase without prior approval from HQ AFSFC/SFXW and the AF Small Arms Program Office without prior approval from AF/A4S, AFSFC and the AFLCMC/EBW Small Arms Program Office. **(T-0)**

7.12.25. Bird aircraft strike hazard program purchases require coordination with the installation Munitions Accountable Systems Officer and OO-ALC/WM, Commercial Off-the-Shelf (COTS) munitions program manager, or integrated materiel manager prior to using the GPC for bird aircraft strike hazard-related munitions. The requestor will have final documented approval from OO-ALC/WM and follow the COTS approval procedures in DAFMAN 21-201, *Munitions Management*, before the purchase of the munitions item using GPC**. (T-0)**

7.12.26. For leadership education and training, AF/A1DI approval is required if course curriculum includes more than 50% of leadership content **(T-0)** For AF/A1DI approval, submit request via the CATNIP. **(T-0)** Additional information regarding civilian education and training may be found in DAFI 36-2670, *Total Force Development*.

7.12.27. The use of small package delivery services (e.g., FedEx, UPS, DHL) must be approved in writing by the installation transportation officer (TO) through the local LRS or Aerial Port Squadron (APS), in accordance with AFI 24 602v2. **(T-0)** All approval and supporting documentation must be maintained in the CH's file. Approved CHs must utilize Next Generation Delivery Service (NGDS) or subsequent GSA-negotiated contract to receive discounted government rates. CHs are not authorized to ship classified, sensitive or hazardous materials unless specifically authorized in writing by the TO. **(T-0)** CHs are not authorized to use accessorial services, such as declared value (additional insurance), home delivery, etc., except as approved in advance by the TO. **(T-0)** Accounts opened without TO approval or those that are dormant for more than 12 months must be closed/inactivated. **(T-0)**

7.12.28. Pub. L. 115-232, § 8892019 NDAA, Section (a)(1)(B) prohibits contracting with entities using certain telecommunications and video surveillance services or equipment. Equipment. **(T-0)** As such, CHs must obtain documented contractor representation before making any purchases and maintain this documentation as outlined under **paragraph 7.5**. **(T-0)**

7.13. Disputes, Defective Items and Fraudulent Transactions.

7.13.1. If items or services purchased are faulty or defective, the CH shall obtain a replacement or repair of the item or re-performance of the service as soon as possible. If the merchant refuses to replace, repair the faulty item or re-perform the service to satisfaction, the CH will consider the transaction in dispute.

7.13.2. If the CH discovers fraudulent transactions (i.e., use of a lost or stolen card) on the statement, the CH shall immediately contact the bank's customer service department, who will, in turn, transfer the CH to the Fraud Department to investigate. The CH should also notify their A/OPC (Level 4) and AO of any fraudulent activity. If fraudulent activity is confirmed (which means a third party has gained access to the account), the account will be terminated and replaced with a new account number. All account information will transfer to the new account and the CH will continue to work with the Fraud Department to resolve the fraudulent transactions. If the CH fails to work with the bank, the transaction will be billed to the account.

7.13.3. Disputes, such as duplicate billing, non-receipt or cancellation of supplies or services, returned supplies, invoice amount discrepancies, transaction was paid by other means (e.g., split payments w/another organization), must be handled initially between the CH and the merchant. If the merchant is unwilling to accommodate a resolution, then, the CH will file a dispute with the bank. **(T-0)** If a dispute is resolved in favor of the CH, a credit will be placed on the CH's statement. If the dispute is resolved in favor of the merchant, a letter will be sent to the CH explaining the decision and, since the charge was already paid, no further action will be taken.

7.14. Non-Disputable Charges.

7.14.1. Charges that involve misuse or abuse by the CH are not disputable with the bank. If the transaction was processed in accordance with established controls (e.g., within the purchase limits, not from a merchant with a blocked Merchant Category Code, see **Attachment 3**), then the bank has fulfilled its responsibilities under the contract and the government is obligated to make payment for the transaction. The government will seek recourse, as prescribed in **Chapter 13**, *Disciplinary actions,* and seek restitution from the employee as a result of their improper misuse or abuse. **(T-0)**

7.14.2. If a charge involves sales tax erroneously invoiced by the merchant, the amount of the tax cannot be disputed. The CH should make an effort to obtain a credit from the merchant. If a credit is not obtained, the CH should advise, and request assistance from, the A/OPC (Level 4). The CH should seek restitution via the guidance provided by the *GSA SmartPay® Tax Exemption* website located at: **https://smartpay.gsa.gov**. The CH should document the file accordingly.

7.14.3. If a charge involves shipping costs erroneously invoiced by the merchant, the amount of the erroneous shipping costs cannot be disputed. The CH should try to obtain a credit for the amount of the transportation costs from the merchant. If a credit is not obtained, the CH should advise, and request assistance from, the A/OPC (Level 4). The CH should document the file accordingly.

7.14.4. There is no convenience check dispute process with the bank. Any concerns with a purchase made by check must be resolved directly with the merchant. The check writer is responsible for securing restitution and/or credit for disputed purchases. The check writer will

notify the A/OPC (Level 4) and request assistance to resolve disputes if necessary. Each organization is responsible for checks written on the account, unless it is determined fraudulent activity is involved.

7.14.5. If a dispute with a merchant involves a third party payer (e.g., Google Pay, PayPal), the dispute is not with the third party payer, but with the merchant, the bank has no privity to the transaction and the CH must discuss the dispute with the merchant and/or the credit card company.

Chapter 8

PROHIBITIONS FOR GPC AND CONVENIENCE CHECKS

See "Department of Defense Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs" for prohibited purchases, paragraph A.1.2.4. as necessary as policy may be updated.

8.1. Prohibited Purchases. CHs should contact local authorities (e.g., the A/OPC (Level 4), servicing legal office, and Financial/Resource Manager) prior to purchasing any items that seem questionable or may have the appearance of being inappropriate. All exceptions must be on a per-transaction basis after consultation with legal counsel, the HCA, and the Financial Manager.

8.1.1. Multiple requests for the same exception must be approved by the Commanding Officer of the Component responsible for issuing the GPC accounts. A copy of each approved exception must be provided to the CPM (Level 2) as well as the DoD GPC CeB office at **dodpcpo@sterlingheritage.com**. **(T-0)**

8.1.2. There may be exceptions to the guidance in this section. For example, the armed escort of prisoners may be a legitimate use of the GPC despite the fact that "escort services" qualify as a prohibited transaction. CHs should consult with their legal counsel prior to executing a purchase for these type of services. CHs should also include the results of their consultations and documented determination to use the GPC in this manner with their transaction supporting data.

8.1.3. If a valid procurement requirement has resulted in the award of a government contract, the GPC may be used as a method of payment against the contract, even if the acquisition would otherwise be for a GPC prohibited item. The following list, which is not all inclusive, identifies some services and supplies that are prohibited from purchase with the GPC (this list also applies to convenience checks):

8.2. Aircraft fuel and oil. The AIR Card® rather than the GPC is to be used for aircraft-related expenses. **(T-0)**

8.3. Appliances Acquired for Personal Use in a Work Environment. The GPC is to be used only for official, mission-related purposes; it cannot be used for personal expenses of any kind. DAFMAN 65-605v1, *Budget Guidance and Technical Procedures* paragraph 5.8. **(T-0)**

8.4. Bail and Bond Payments. Use of the GPC (or convenience check) for bail and/or bond payments is prohibited because personal expenses cannot be charged to the GPC. The card is to be used only for official, mission-related purposes. **(T-0)**

8.5. Betting, Casino Gaming Chips, and Off-Track Betting. Use of the GPC for betting, casino gaming chips, and off-track betting is prohibited and cannot be charged to the GPC. The card is to be used only for official, mission-related purposes. **(T-0)**

8.6. Cash Advances. Use of the GPC to purchase cash advances, including money orders, wire transfers, and travelers' checks, is prohibited because cash and cash equivalent is easily misappropriated. **(T-0)**

8.7. Cash Refunds. For non-receipt of items, returned merchandise, or damaged items that were initially purchased using a GPC, the CH shall only accept credit to the account, or a refund check made payable to the U.S. Treasury. **(T-0)**

8.8. Checkout Fees. The CH should not pay merchant checkout fees; however, certain governing CONUS and OCONUS locations permit merchants to impose surcharge/checkout fees for charge/credit card purchases and therefore cannot be avoided. Merchants are required to notify CHs in advance of these charges and include the fee on the receipt. CHs must ensure the total amount of the purchase, to include the checkout fee, does not exceed the CH's single purchase limit. Furthermore, the CH must ensure the price with the fee is considered fair and reasonable. **(T-0)**

8.9. Classified Requirements. The use of the GPC (or convenience checks) to fulfill classified requirements for matters of national security is prohibited. **(T-0)**

8.10. Construction Services over $2,000 . FAR 22.403-1 addresses application of the 40 USC chapter 31, subchapter IV, formerly known as the Davis-Bacon Act, to the acquisition of construction services. It states that contracts in excess of $2,000 to which the United States or the District of Columbia is a party for construction, alteration, or repair (including painting and decorating) of public buildings or public works within the United States, shall contain a clause (see FAR 52.222-6) that no laborer or mechanic employed directly upon the site of the work shall receive less than the prevailing wage rates as determined by the Secretary of Labor. Use of the GPC to purchase construction services shall comply with this provision. **(T-0) Note**: GPC accounts used to pay for construction under $2,000 are usually issued to CHs in the public works office (or other office responsible for the facility/building). If a CH is not a public works office employee, the CH should obtain written or electronic approval from the public works office to ensure the anticipated construction work does not duplicate, interfere, or directly relate to other ongoing efforts at the same facility.

8.11. Purchases from Military or Civilian Government Employees. Use of the GPC to make purchases from contractors or contractor agents who are military personnel or civilian employees of the government is prohibited. **(T-0)**

8.12. Court Costs, Alimony, and Child Support. Use of the GPC for court costs, alimony, and child support is prohibited because personal expenses cannot be charged to the GPC. The card is to be used only for official, mission-related purposes. **(T-0)**

8.13. Dating and Escort Services . Use of the GPC to purchase dating and escort services is prohibited because personal expenses cannot be charged to the GPC. The card is to be used only for official, mission-related purposes. **(T-0)**

8.14. Donations to or Payment of Expenses for Private Organizations or Membership Dues in Professional Organizations. The use of GPC (or convenience check) for charitable and social organizations memberships is prohibited. **(T-0)**

8.15. Entertainment Items. Party supplies, serving material, food, meals and beverages are considered entertainment items and prohibited unless an exception outlined in DAFMAN 65-601V1, *Budget Guidance and Technical Procedures* applies. Official Representation Funds used to bestow official courtesies on specified foreign and U.S. civilian dignitaries are allowed as provided for in AFI 65-603, *Use of Emergency and Extraordinary Expense Funds* chapter 55,

Authorized Categories of Official Courtesies. Documented coordination with legal and financial management is required prior to any purchase. **(T-0)**

8.16. Equal Employment Opportunity (EEO) Settlements . Use of the GPC for payment of EEO settlements is prohibited. **(T-0)**

8.17. Equipment, Systems, and Services Using Covered Telecommunications Equipment or Services as a Substantial Component or Critical Technology. FAR 13.2 *Actions At or Below the Micro-Purchase Threshold*, section 01(j)(1) prohibits use of the GPC, to procure or obtain, or extend or renew a contract to procure or obtain, any equipment, system, or service that uses covered telecommunications equipment or services as a substantial or essential component of any system, or as a critical technology as part of any system, unless an exception applies or a waiver is granted. **(T-0)** (See FAR 4.21 for related definitions)**.**

8.18. Fines . Use of the GPC to settle commercial and government fines is prohibited. **(T-0)**

8.19. Food and Meals. Generally, use of the GPC to purchase food and meals is prohibited. Reference DAFMAN 65-605V1, *Budget Guidance and Technical Procedures* for additional guidance.

8.20. Foreign Currency . Use of the GPC to purchase foreign currency is prohibited because cash is easily misappropriated. **(T-0)**

8.21. Gift Certificates and Gift Cards. Gift certificates and gift cards are considered to be cash advances and shall not be purchased with the GPC, even to obtain items from merchants that do not accept the GPC. As with cash and cash equivalent, gift certificates and gift cards are prohibited because they are easily misappropriated. **(T-0)**

8.22. Hardware, Software, and Services Developed or Provided by Kaspersky Lab. FAR 13.201 prohibits use of the GPC to purchase any hardware, software, or services developed or provided by Kaspersky Lab that the government will use on or after October 1, 2018. (See FAR 4.2002 for more information). **(T-0)**

8.23. Items/Services for the Personal Benefit of Government Employees. In the absence of specific statutory authority, purchase of items for the personal benefit of government employees, such as gifts (e.g., retirements, farewells), and promotional items for conferences, meetings, symposia (e.g., coins, mugs, coasters), gift certificates, gift cards and cash incentive awards are not permitted. **(T-0)** This does not apply to Health Promotion Programs funded with the Defense Health Program appropriation (97X/X0130.1883 - FC 2X). See DAFMAN 65-601V1, *Budget Guidance and Technical Procedures* and AFMAN 34-201, *Use of Nonappropriated Funds* for further information. In addition, a CH is not permitted to retain gift checks, rebates or other incentives for personal use. Incentives/rebates should be used to immediately reduce the amount of the transaction, at the point of sale, if possible. Otherwise, they should be submitted to the unit comptroller for evaluation.

8.24. Long-Term Lease of Land and Buildings. GSA prohibits use of the GPC to lease real property (e.g., land or buildings) for a term longer than one (1) month. **(T-0)**

8.25. Personal use. The use of the GPC (or convenience checks) for personal purchases for any reason is prohibited. **(T-0)**

8.26. Preferred Use Memberships. Preferred use memberships (e.g., Amazon Prime, Wholesale Clubs) are prohibited for purchase with the GPC or convenience checks. **(T-0)**

8.27. Purchases Requiring Advance Payments. Except for subscriptions or training based on an SF 182, Authorization, Agreement, Certification of Training, advance payments are prohibited. **(T-0)**

8.28. Recurring or Repeat Purchases . Categories of purchases that are logically associated or purchased together should be identified and aggregated together to obtain lower prices, standardize requirements, and standardize procurement processes whenever possible. **(T-0)** For example, large purchases of deployment/IEU gear/equipment that can be reasonably forecasted in advance, shall not be viewed as separate requirements, even for individual personnel, and should be purchased on a contract; however, the GPC may be used as a payment against an existing contract up to $25,000. Units should not establish "charge accounts" with contractors whereas make multiple orders over time and reconcile at regular intervals (i.e., monthly) or at certain dollar thresholds (i.e., MPT or $25,000). For recurring requirements, CH's shall contact their Supporting Contracting Office to establish the appropriate support contract for this requirement.

8.29. Salaries and Wages. Salaries and wages of government employees cannot be paid with the GPC. However, use of the card as a method of payment for labor contracts with doctors, dentists, and other service providers is authorized if a government contract has been negotiated for these services. **(T-0)**

8.30. Savings Bonds. Use of the GPC to purchase savings bonds is prohibited because savings bonds, as cash equivalent, are easily misappropriated. **(T-0)**

8.31. Services Acquisitions Greater than $2,500. The GPC cannot be used to acquire services when the value of the requirement exceeds $2,500. Title 41, USC Chapter 67, Service Contract Labor Standards (SCLS) applies to every contract entered into by the United States or the District of Columbia, the principal purpose of which is to furnish services to the United States through the use of service employees. The SCLS requires contractors and subcontractors performing services on covered Federal or District of Columbia contracts in excess of $2,500 to pay service employees in various classes no less than the monetary wage rates and to furnish fringe benefits found prevailing in the locality, or the rates (including prospective increases) contained in a predecessor contractor's collective bargaining agreement. Safety and health standards also apply to such contracts. **(T-0)**

8.32. Short Term Lease/Rental of Banquet Halls or Similar Facilities for Non-Mission Related Events . The use of GPC (or convenience check) to for non-mission related events, such as retirement, promotion or farewell functions, is prohibited. **(T-0)**

8.33. Split Purchases. Making split purchases with the GPC to circumvent purchase limits is prohibited by FAR Subpart 13.003(c)(2). **(T-0)** A split purchase occurs when; a CH splits a known requirement, at the time of the purchase, into several transactions in order to circumvent their authorized dollar thresholds; or to avoid sending the requirement to contracting for appropriate contract award. When a known requirement exceeds the MPT, it must be procured on a government contract. **(T-0)** The following are examples of split purchases: A CH processing multiple purchases from the same merchant on the same day, the total of which exceeds the single purchase limit, when the total requirement was known at the time of the first purchase. A CH purchasing the same or similar item(s) from multiple merchants on the same day, the total of which exceeds the single purchase limit, when the total was known at the time of the first purchase. A CH holding known requirements exceeding the MPT to purchase the items from the same or multiple merchants over a period of time when the total requirement was known at time of the first

purchase and the value exceeds the CHs single purchase limit. More than one (1) CH under the same AO purchasing the same or similar item(s) the same day or during a timeframe when the total known requirement(s) exceeds the MPT. **(T-0)**

8.34. Taxes. Use of the GPC for personal tax payments is prohibited because personal expenses cannot be charged to the GPC. **(T-0)** The card is to be used only for official, mission-related purposes. In addition, as a federal entity, DoD is exempt from paying most taxes to any other federal, state, or local authority. Some states, like New Mexico, levy taxes the Federal Government must pay. See the GSA SmartPay® website for tax exemption information. The CH will inform the merchant that the purchase is for official U.S. Government purposes and not subject to state or local sales tax. Some states require completion of a tax exemption form prior to or after purchase. Each CH is responsible for providing the tax-exempt number to the merchant if requested. Overseas CHs are not exempt from paying foreign taxes unless foreign tax agreements specify otherwise.

8.35. Telecommunication Systems. The purchase of major telecommunication systems, such as Federal Telecommunications System (FTS) or Defense Switched Network (DSN) systems, with the GPC is prohibited. **(T-0)** A contract vehicle is required because such purchases include special terms and conditions. DFARS Subpart 239.74 governs the Department's acquisition of telecommunications**.**

8.36. Travel Advances, Claims, or Expenses. The GPC shall not be used for any expenses associated with official government travel**.** These expenses include rental/lease of motor vehicles, purchase of airline, bus, train tickets, fuel, meals, drinks, lodging, or other travel or subsistence costs. The Government Travel Card (GTC) is the only authorized card for official government travel-related expenses in accordance with DoDI 5154.31, Volume 4. **(T-0)**

8.37. Vehicle-Related Expenses. Vehicle-related expenses are to be paid with the travel or fleet card (as appropriate). Use of the GPC to purchase repairs on GSA fleet-operated vehicles is prohibited. **(T-0)**

8.38. Video Surveillance Cameras. Use of the GPC to purchase video surveillance cameras is prohibited. **(T-0)**

8.39. Weapons, Ammunition, and Explosives. Use of the GPC for purchases of these items is prohibited. **(T-0)** As controlled DoD commodities, weapons, ammunition, and explosives are assigned to the Army (see DFARS Sub- part 208.70), which has contracting responsibility to supply all DoD Components with weapons, ammunition, explosives, and other commodities listed in DFARS PGI 208.7006. DoD Components are to submit their commodity requirements via MIPR to the assigned Component in accordance with DFARS 208.7002 and DFARS PGI 208.7002-1. **(T-0)**

8.40. Use of Merchant Category Code 000 . This is prohibited by the DoD purchase card program office. **(T-0)**

Chapter 9

CONVENIENCE CHECK ACCOUNTS

9.1. Convenience Check Accounts. The management controls, procedures, and restrictions included in this DAFI for the purchase card also apply to the use of convenience checking accounts. Convenience checks are an alternative only when the GPC is not feasible; and the activity has evaluated all alternatives and determined the checks as the most advantageous. Before a check is issued, the requiring organization must document their effort to find a merchant that accepts the GPC. For DFAS 1099 tax reporting CHs must acquire the Individual's or vendor's social security number or Tax ID number prior to writing a 1099 reportable check (Additional Information: **https://www.dfas.mil/contractorsvendors/taxinfo/Convenience-Check-1099PRO/**).
Convenience check must not be used for more than one half (1/2) of the MPT per public law 115-91. **(T-0)** See Department of Defense Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs, Appendix A Section A.1.4 and Appendix B.3.4 for more detail. The CH and AO need to be mindful of check fees applied by US Bank as these will be added to the total costs.

9.1.1. The organization's commander, or equivalent, shall justify yearly the necessity to maintain a convenience checking account. The organizational commander, or equivalent, must control and monitor the convenience checking account. Organizations must have an active (in good standing) GPC managing account before approval of a convenience checking account. The number of convenience checking accounts per installation must be kept to a minimum and be limited to no more than one (1) convenience checking account per organization. The contracting commander, or equivalent, is the approval authority for additional convenience checking accounts. **(T-0)**

9.1.2. The organization's commander, or equivalent, shall provide written or electronic justification and the convenience check writer's nomination letter (see **Attachment 2**) to the A/OPC (Level 4). The contracting commander, or equivalent, will appoint the convenience check writer via a Delegation of Contracting Authority Letter as having procurement authority at a designated threshold (i.e., micro- purchase threshold). The following categories of personnel may be appointed Check Writers: government civilian employees; members of the armed forces; and foreign nationals (both direct and indirect hires) subject to operational control and day-to-day management and supervision by US civilian and military personnel. All check writers are considered legal agents; and must countersign their delegation letters to acknowledge they have reviewed, understand, and concur with their GPC convenience check program responsibilities. A discrete account must be set up in order to issue convenience checks. Convenience check and GPC card accounts may be issued under a single managing account but must remain separate accounts. The convenience checking account number must be unique and cannot be used jointly with an existing GPC CH account number; however, a GPC CH may also be a Convenience Check Writer. **(T-0)** The requirement owner shall not be the same individual who holds the convenience checking account. **(T-0)**

9.1.3. The convenience checks bear the check writer's name and shall only be used by the named individual to pay for authorized, official government purchases. **(T-0)** It is the check writer's responsibility to safeguard and secure the convenience checking account number at all times. The Convenience Checks will be pre-numbered and maintained by the check writer.

Checks are negotiable instruments and must be stored in a locked container, such as a safe or metal filing cabinet. Checks must be accounted for appropriately to prevent loss, theft, or potential forgery. Lost checks are the responsibility of the check writer (see DoD 7000.14-R, Volume 5).

9.1.4. Check writers must reconcile convenience checking accounts in the same manner as GPC transactions. **(T-0)** Checks should be printed on duplicate paper to facilitate tracking and reconciliation. Duplicate copies of checks must be retained as a part of the account holders' original documentation files. Check writers must maintain a check register of all expenditures, fees and deposits. **(T-0)**

9.1.5. AO responsibilities for convenience checking accounts are the same as those for the GPC. The AO is responsible for the implementation of appropriate internal controls. AOs shall complete the convenience check section of the surveillance checklists every quarter for each convenience check account. **(T-0)** The A/OPC (Level 4) will review each convenience checking account as part of the organization's annual surveillance of accounts. **(T-0)**

9.1.6. Copies of posted checks are retained on file at the bank. Contact the bank's customer service if a check copy is needed. If a fee is charged, it must be accounted for in the purchase log/funding document balance associated with the account. **(T-0)**

9.1.7. If a check has not yet posted to an account, in some cases, payment can be stopped on a convenience check. Call the bank's customer service for assistance to stop payment on a check, which may only be temporary. If the check has already posted to the account, a request to stop payment cannot be honored.

9.1.8. DFAS provides the convenience check payment data to the applicable A/OPC (Level 4), Account Manager, and Convenience Check Account Holder for determining the tax reporting requirements and completion of specifically identified data not available to, or captured by, the contracted bank. The Convenience Check Account Holder is responsible for ensuring the completion and return of the data to DFAS. **(T-0)**

9.2. Unauthorized Use. The A/OPC (Level 4) shall suspend the account immediately for any assigned check writer who issues a check(s) for any unauthorized use or violation. **(T-0)** The A/OPC (Level 4) will notify the AO to remove all remaining checks from the check writer. Surveillance will be conducted on the account by the A/OPC (Level 4). Check writing privileges shall be permanently canceled for any organization in violation of this instruction more than twice in a 24 month period. The contracting commander, or equivalent, may authorize an account if there is a compelling need for the account and a different check writer can be appointed. Justification, including disciplinary actions, procedures implemented to prevent recurrence, and the results of the account surveillance by the A/OPC (Level 4), shall be submitted to the contracting commander, or equivalent, and forwarded to the OA/OPC (Level 3). **(T-0)**

9.2.1. Convenience checks shall be issued in accordance with the MPT (See **Attachment 1** for definitions) and shall not exceed the thresholds identified in **Attachment 1**. **(T-0)**

9.2.2. The same unauthorized uses associated with the government purchase card apply to the convenience checks; however, the following also applies: convenience checking accounts cannot be used for recurring services; convenience checks cannot be used to reimburse students for tuition assistance; checks shall not be used as a method of contract payment. **(T-0)**

9.3. Funding. AF Form 4009s will be used to fund convenience checking accounts. **(T-0)** The organization is responsible for all administrative costs associated with the use of checks including any costs for checks and bank surcharges. The total purchase amount, plus the bank checking account fee, must be entered in the check writers check registers and deducted from the funding document balance. Likewise, all checks must be entered into the bank's Electronic Access System in the same manner as a GPC transaction. Checks may not immediately post when written, and therefore, may not reflect in the current month's convenience checking account statement of account. When a check is presented to the bank for payment, there must be enough funds to cover the check. In addition, a check cannot exceed the single purchase limit assigned to the account or a Non-Sufficient Funds notification may be returned to the merchant. A Non-Sufficient Funds fee will be charged against the check writer's account (and must be accounted for on the purchase log/funding document balance). **(T-0)**

Chapter 10

GOVERNMENT PURCHASE CARD USE FOR EMERGENCY ACQUISITIONS

10.1. Emergency Acquisition Flexibility (EAF). There will not be a blanket increase of CH authority. EAF is defined in DFARS 218.2—*Emergency Acquisition Flexibilities,* and include: Contingency Operations; Defense or Recovery from Certain Attacks; Incidents of National Significance, Emergency Declaration, or Major Disaster Declaration; Humanitarian or Peacekeeping Operation; and Head of Contracting Activity Determinations. Emergency Acquisition Flexibilities increase the MPT and SAT with respect to the emergency identified in DFARS 213.201(g). Increased thresholds shall be authorized in writing by the head of the contracting activity as defined in FAR 2.101. **(T-0)** When using emergency acquisition flexibilities, including the increased MPTs defined in paragraph (4) of the "micro-purchase threshold" definition at FAR 2.101 revised procedures in support of contingency contracting may be authorized. Mandatory: A/OPC (Level 4) must take affirmative steps to ensure that emergency acquisition flexibilities are used solely for transactions that have a clear and direct relationship with the event and that appropriate management controls are established and maintained to support the use of the increased authorities. Additional information regarding use of the GPC in support of contingency contracting appears in Department of Defense Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs, Appendix B.

10.2. Emergency Thresholds.

Table 10.1. Table10.1. GPC MPT Values for Contingency Contracting

Supplies	
Government Purchaser's Physical Location	**Authorized MPT**
Inside United States	$20,000
Outside United States	$35,000

Services (Including Services Acquisitions Subject to Service Contract Labor Standards, 41 U.S.C. Chapter 67)		
Government Purchaser's Physical Location	**Place of Performance**	**Authorized MPT**
Inside United States	Inside or Outside United States	$20,000
Outside United States	Inside United States	$20,000
Outside United States	Outside United States	$35,000

10.3. Responsibilities

10.3.1. CPM (Level 2). CPM (Level 2) program coordinators will establish reporting categories in the ECARS system for transactions associated with declared events if required. CPM (Level 2) and OA/OPC (Level 3) program coordinators will disseminate declarations to the effected installations.

10.3.2. Installation Contracting Squadron. The contracting commander, or equivalent, shall identify contingency contracting officers with pre-positioned GPC accounts in advance of need. These CHs shall have a card with an initial spending limit of $1 until an emergency acquisition flexibility is declared and purchase limits are increased. **(T-0)** To meet the requirements of FAR subpart 2.101, HCAs must ensure APOC directs CHs to retain all GPC transaction determinations to use elevated acquisition thresholds in support of each such operation. Transaction supporting data is to be logged using AXOL (Transaction Management – Attachments). HCAs must ensure APOCs instruct their CHs to enter NIA Codes in AXOL Order Management for transaction made in support of applicable operations. NIA Codes can be found in the Federal Procurement Data System at **https://fpds.gov**. **Note:** assignment of NIA Codes is rare; not all disasters or contingency operations will be assigned an NIA Code. HCAs must designate officials to conduct follow-up reviews of transactions in support of each event pursuant to the related law and DPC Policy Memo Government-wide Commercial Purchase Card Guidance Related to Recording Transactions involving National Interest Action Codes and Emergency Acquisition Authorities (GPC 2021-1).

10.3.2.1. Upon declaration of an emergency the contracting squadron commander shall ensure contracting officer warrants and/or delegations of authority are modified to reflect applicable procurement limits**. (T-0)**

10.3.2.2. All deployable contracting personnel will receive GPC training and maintain copies in the individual's deployment folder. **(T-0)** In some cases, the Contingency Contracting Officer may be issued a GPC specific to the operation or exercise. Designated deployment Contingency Contracting Officers will be notified of unique GPC requirements, if any, through their Personnel Readiness Unit for the operation they are tasked to support.

10.3.2.3. Contingency Contracting Officers should be issued a GPC by their home station for use during the deployment or operation unless exempted by the supported command. When functional control of the deployed Contingency Contracting Officer shifts to another Head of Contracting Activity, home station-issued GPCs may continue to be used unless prohibited by either the home station or the gaining command. GPCs may be issued to the Contingency Contracting Officer under the authority and direction of the supported command's Head of Contracting Activity. In all cases the Contingency Contracting Officer will follow the guidance provided by the GPC-issuing office. When the Contingency Contracting Officer deploys, the limits can be raised by the A/OPC (Level 4) via the bank's Electronic Access System. The limits should be raised to a realistic level based on the expected purchase volume for that operation. Upon return of the Contingency Contracting Officer to home base, the spending limits should be lowered to the previous level unless the organization requires that Contingency Contracting Officer to continue purchasing for that organization's purpose in a non-contingency environment.

10.3.3. A/OPC (Level 4). The A/OPC (Level 4) shall distribute governing policy and guidance with respect to use of the GPC for each event to all effected GPC officials. **(T-0)**

10.3.3.1. Ensure letters for delegation of procurement authority appointed in JAM to CHs with increased authority. **(T-0)**

10.3.3.2. Increase GPC spending limits to AOs and CHs only where appropriate. **(T-0)**

10.3.3.3. Maintain a discrete record of all AO and CH accounts with increased purchase and monthly limits, including convenience check accounts. **(T-0)**

10.3.3.4. Coordinate GPC account fund availability for contingency contracting operations with Financial/Resource Managers. Work with Financial/Resource Managers to add alternate LOAs earmarked for each event to appropriate managing accounts.

10.3.3.5. Contact the card-issuing bank to remove velocity limits from appropriate accounts.

10.3.3.6. Develop and issue instructions to enable the identification and capture of all contingency contracting GPC purchases (transactions and dollars), regardless of whether the cost is reimbursable. The ECARS should be used to identify transactions associated with an event; however, the system may not be available and an alternate method may be used.

10.3.3.7. Develop and implement a supplemental oversight program for all accounts with elevated spending limits.

10.3.4. AOs shall conduct follow-up reviews of all transactions made in support of each event. These reviews should take place as soon as practicable, but no later than 30 calendar days after any transaction. **(T-0)** This review shall include**:**

10.3.4.1. Ensure CH compliance with all governing statute and regulatory guidance regarding the use of the GPC. **(T-0)**

10.3.4.2. Ensure CHs maintain a discrete record of purchases made using the GPC in support of each event to include: merchant name, item being purchased, cost of each item, date of purchase, and any other relevant information. **(T-0)**

10.3.4.3. Ensure CHs use the correct LOA for purchases made in support of each event. **(T-0)**

10.3.4.4. Ensure convenience checks written in support of the event do not exceed authorized spending limits and the sources of supply for the items or services purchased with the convenience check do not accept the GPC. **(T-0)**

10.3.4.5. Ensure purchases are entered into the ECARS where required and correctly identify the event supported. **(T-0)**

10.3.5. CH and Convenience Check Account Holder. CHs and convenience check writers must ensure they receive the proper delegation of authority prior to making purchases in support of a declared event.

10.3.5.1. Competitive procedures should be used to the maximum extent practicable.

10.3.5.2. CHs are responsible for ensuring that prices are reasonable. The CH should make common-sense determinations and may take into consideration the extraordinary nature of the emergency environment.

10.3.5.3. CHs using CONUS emergency procurement authority are expected to provide small businesses maximum practicable opportunity under the circumstances, either as prime contractors and subcontractors. Where possible, and consistent with efficient acquisition of needed supplies and services, local small businesses should be given priority.

10.3.5.4. Section 307 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (P.L. 93-288) establishes a preference, to the extent feasible and practicable, for contracting with local organizations, firms, or individuals for debris clearance, distribution of supplies, reconstruction, and other major disaster or emergency assistance activities.

10.3.5.5. If making a purchase on behalf of another agency, the agency making the purchase will ensure the requesting agency has the authority to make the purchase and fully document the GPC transaction, including the date and time of the request, the name and contact information of the requesting official, and the funding authorization.

10.3.5.6. CHs and check writers shall**:**

10.3.5.6.1. Establish and maintain a discrete record (i.e., separate from non-emergency transaction records) of the number of transactions and dollars spent in support of each event, regardless of whether the cost is reimbursable. **(T-0)** The bank's system and the ECARS are required for use. Coordinate with the A/OPC (Level 4) to determine reporting and tracking requirements. At a minimum, record: merchant name, item being purchased, cost of each item, date of purchase, NIA, and any other relevant information.

10.3.5.6.2. Coordinate with the AO and financial management and follow agency accounting procedures. **(T-0)** If finance has no guidance for accounting, provide notation in the CH purchase log that the purchase is associated with a declared event.

10.3.5.6.3. Ensure each GPC transaction is charged to the LOA specifically established for that event. **(T-0)**

10.3.5.6.4. Write convenience checks only when necessary and within authorized MPT; i.e., confirm that the supplier source does not accept the GPC or a formal contract. **(T-0)**

10.3.5.6.5. For contingency contracting construction contracts, ensure the GPC is used only as a method of payment. **(T-0)** An existing contract vehicle must be in place prior to the use of this authority. Otherwise, the CH is limited to the construction MPT defined in FAR 2.101. **(T-0)**

10.4. Deviations and Risks. Deviation from normal separation of functions controls is authorized when mission accomplishment requires such deviation and potential conflicts of interest are mitigated. Internal control principles generally require a four-way separation of the contracting, receiving, voucher certification, and disbursing functions. Commanders, or equivalents, should be aware of the increased possibility of the risk of errors, theft, and fraud that may result from the merging of functions. Every effort to mitigate these risks should be made, such as post-payment reviews, rotation of duties, and management review of financial data and reports.

10.5. Reconciling Transactions in an Emergency Environment. If Internet capability is available at the deployed location, the CH will reconcile all transactions via the bank's Electronic Access System using normal procedures. If not, the CH will coordinate with the AO so the AO will reconcile all transactions on behalf of the CH.

Chapter 11

PURCHASES ABOVE THE MICRO-PURCHASE THRESHOLD

11.1. Purchases Above the MPT. Purchases above the MPT are not automatically exempt from the Competition in Contracting Act, Buy American Act, Economy Act, Service Contract Labor Standards Act, Wage Rates Requirements Act, and the Small Business Set-Aside Program. CHs may be appointed specific authority to make purchases above the MPT up to the SAT. **(T-0)** See **Attachment 2** for JAM GPC Role Descriptions & Table 2 GPC Cardholder Special Designation Authority Types. This Appointment can only be granted to individuals who have completed training commensurate with their delegated authority and as approved by the CPM (Level 2). Duly appointed Contract Ordering Officials may make purchases for services and supplies purchased through pre-priced contractual vehicles, mandatory DAF sources and all others identified in FAR Part 8, *Required Sources of Supplies and Services*, as stipulated in their Delegation of Authority Letter. Contracting Officers may also make GPC purchases using the limits of their warrants, not in excess of the SAT, but need to have the special designation in JAM as a Contract Ordering Official. **(T-0)**

11.1.1. Pre-Priced Contracts. Contract Ordering Official CHs can make purchases using the GPC above the MPT up to the SAT on Pre-Priced contracts. To execute these purchases, a "purchase call" document must first be routed through the end user, AO, PCO and finally the CH making the purchase. The purchase call document will be uploaded alongside required purchase documentation when recording the purchase in ECARS.

11.1.2. CH Training Requirements for Above MPT up to SAT Purchases on Pre-Priced Contracts. CHs shall be appointed as a "Contract Ordering Official" in PIEE/JAM to be authorized to spend up to the SAT. **(T-0)** This requires CHs, who are not Contracting Officers, to take CON 237 – Simplified Acquisition Procedures, prior to receiving authorization to spend up to the SAT on pre-priced BPAs and Indefinite Delivery/Indefinite Quantity contracts. Additional mandatory training includes: CLC046 – DoD Sustainable Procurement Program (Green Procurement), CLM 003 – Overview of Acquisition Ethics, CLM 023 – AbilityOne Contracting, and finally GSA § 508 Training. **(T-0)**

11.2. Contract Payment Method. Contracting Officers are encouraged to incorporate GPC as a payment method on contracts when more advantageous to the government. Contracting Officers should consider pricing (rate), process savings (including DFAS fees and administrative time) and industry norms as part of that consideration. Contracting Officers are required to ensure contractor invoices are accurate (e.g., charge against line items, totals). Formal contract payments are not limited to the SAT. Inter-governmental payments (DAF Organizations-to-Other Federal Agency or DoD Component) must be made through use of the Intra-Governmental Payment and Collection (IPAC) system. **(T-0)** Intra-governmental payments (DAF Organization-to-DAF Organization) must be made through use of the Invoice Processing Platform (IPP).

11.3. Guidance on Program Setup for Contract Ordering Officials. A/OPC (Level 4) may apply the following steps to use of the GPC above the MPT and up to the SAT.

11.3.1. Develop Training Charts**.** A/OPC (Level 4) may develop training charts to brief along with initial standard training in accordance with DAFI 64-117. These training charts may include Fair & Reasonable Price Determinations in accordance with FAR 13.106 *Soliciting*

competition, evaluation of quotations or offers, award and documentation, subsection 3 and ECARS for inputting consolidated and individual Contract Action Reports (CAR) into FPDS-NG Reporting.

11.3.2. Appointing Fair & Reasonable Price Determination Officials. CHs must follow the ordering guide procedures regarding competition or Fair Opportunity. A fair and reasonable price determination is an assessment by the government that a proposed price for a supply or service can be considered "fair and reasonable" by applying one or more price analysis techniques. Before authorizing a transaction above the MPT, a Contracting Officer must determine that the proposed price is fair and reasonable as prescribed by FAR 13.106-3(a.). **(T-0)**

11.3.2.1. Since A/OPC (Level 4) are usually heavily involved in approving and reviewing transactions above the MPT in ECARS, it is highly recommended that A/OPC (Level 4) with warrants serve as GPC Fair & Reasonable Price Determination Officials.

11.3.2.2. A sample Contracting Officer's Fair & Reasonable Price Determination template is provided below in **Attachment 3**, Sample Determination of Fair and Reasonable Pricing. Completed Determinations of Fair and Reasonable Pricing must be retained in the transaction file.

11.3.3. Reporting GPC purchases above the MPT. In accordance with FAR 4.606, Reporting Data, actions above the MPT shall be reported to FPDS-NG as applicable in accordance with FAR 4.606. **(T-0)**

11.3.3.1. For actions above the MPT and below $25,000, CHs and AOs must use ECARS to report individual actions. (T-0) At the end of the month, A/OPC (Level 4) can use ECARS to generate a consolidated listing of contract actions between MPT and $25,000, which are then reported as summary level activity in FPDS-NG (see ECARS Users Guide for detailed instructions). Express Reporting should be done at least monthly.

11.3.3.2. An "individual" CAR must be completed in FPDS-NG by the contracting officer CH. **(T-0)** Actions above $25,000 cannot be consolidated by contract into a single report.

11.4. Pre-Transaction. Actions associated with pre-transactions for buys include those of compliance, purchases requiring authorization, competition, fair and reasonable pricing and Procurement Instrument Identifier (PIID) Assignment. Prior to making purchases CHs shall ensure:

11.4.1. Compliance. Abide by the procurement, small business, and finance guidance, and regulations prescribed within DAFI 64-117 or DPC guidance as identified in DAFI 64-117 paragraph 2.2.1.

11.4.2. Purchases Requiring Authorization. Obtain the proper pre-purchase authorizations (e.g., Hazardous materials, IT Support, Medical) per DAFI 64-117 paragraph 7.12.

11.4.3. Competition & Fair Opportunity. As per FAR Subpart 13.203(a)(1), to the extent practicable, micro-purchases shall be distributed equitably among qualified suppliers. For actions above the MPT Competitive procedures should be used to the maximum extent practicable in accordance with FAR 13.104. In accordance with FAR Part 8, screen for and use required sources of supply.

11.4.4. Fair & Reasonable Price Determinations. These determinations must be completed through a Contracting Officer's Determination of Fair & Reasonable Pricing as referenced above. **(T-0)**

11.4.5. Procurement Instrument Identifier (PIID) Assignment. Each GPC transaction above the MPT must be assigned a unique agency/organization ID number - known as a PIID (in accordance with FAR 4.605) – for reporting purposes in FPDS-NG. **(T-0)** Reference the ECARS User's Guide for more direction.

11.5. Post-Transaction. Actions associated with post-transaction for buys include those of delivery and acceptance, ECARS and FPDS-NG Contract Action Reporting. Once the transaction has been completed, CHs shall ensure:

11.5.1. Delivery & Acceptance of Goods. Acceptance of deliverables must comply with DAFI 64-117 paragraph 2.2.6.5. If an individual item is deemed highly pilferable and/or is individually valued at $5,000 or above, it must be properly Item Unique Identification (IUID) marked in accordance with DFARS 211.274-1. **(T-0)**

11.5.2. Expressed Contract Action Reporting. Under expanded use, transactions exceeding the MPT up to $25,000 must be reported in ECARS. **(T-0)**

11.5.3. FPDS-NG Contract Action Reporting CAR. If the GPC is used for a purchase over $25,000, the Contracting Officer must complete a CAR in FPDS-NG. **(T-0)**

11.6. Program setup for GPC as method of Contract Payments.

11.6.1. FAR 13.3(c)(3) authorizes expanded use of the GPC to include its use for contract payments. Contracting Officers are encourage to use this method of payment to maximize rebates, reduce the administrative costs and prompt payment issues often encountered with the processing of traditional written contracts. The contract must include the third party payment clauses required by FAR 32.1108, Payment by government-wide commercial purchase card and be fully funded. **(T-0)**

11.6.2. Contract Payment & PIEE (WAWF) Procedures. In accordance with Department of Defense Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs, Contracting Officers awarding contracts authorizing use of the GPC as a method of payment must ensure contractor compliance with the requirement for vendors to use PIEE WAWF module to create and submit the receiving report to ensure compliance with Title 31 USC, Chapter 39, known as the Prompt Payment Act, requirement for acceptance. **(T-0)** These requirements are addressed in DFARS 232.7002(a)(2) and 232.7003(a), and DFARS PGI 253.213-70. Use of PIEE WAWF module to create and accept receiving reports is mandatory when the GPC is used as a method of payment against a contract. **(T-0)** In order to ensure proper routing of contract transactions paid with the GPC, use the code "CRCARD" in the Pay Official/DoDAAC field. The contractor is required to generate the receiving report in WAWF, and the government acceptor is required to accept the receiving report in WAWF. **(T-0)** The CH is required to verify acceptance has occurred in WAWF prior to submitting the invoice to the Certifying Officer for certification. **(T-0)**

Chapter 12

OVERSIGHT

12.1. GPC Oversight Requirements. The oversight of the GPC program responsibility rests with the Activity to ensure compliance with Department of Defense SP3 Government-wide Commercial Purchase Card Policies, procedures and Tools – SP3 Transition Memorandum #6. Additionally, roles & responsibility as outlined in **Chapter 2** provide key information to ensure a successful program.

12.2. Monthly Reviews . Monthly A/OPC reviews shall be conducted to promote and measure compliance with purchasing and management internal controls and provide reasonable assurance of the effectiveness of these controls to mitigate program risk. This review may be considered complete only if 100 percent of all DM cases open during the billing cycle under review have been closed in IOD or granted "Deferred" (i.e., deployment or exemption) status. A/OPC (Level 4) are required to conduct a Monthly A/OPC Review each billing cycle.

12.2.1. Monthly A/OPC Review must:

12.2.1.1. Validate that all DM cases are closed.

12.2.1.2. Assess the key purchasing and management internal controls (e.g., span of control, delinquencies, training). Key GPC program controls are calculated and displayed in the Monthly A/OPC Review Report that is generated by IOD.

12.2.1.3. Perform a summary assessment that includes 100 percent of all transactions NOT flagged by IOD to (1) ensure awareness of purchasing activity within their hierarchy; and (2) identify purchasing and behavior patterns not otherwise identified by IOD (e.g., patterns that span multiple CH and/or Managing Accounts) or that may otherwise require A/OPC (Level 4) action. AXOL transaction detail reports are available for use in performing these reviews. At their discretion, the A/OPC (Level 4) may identify additional transactions for review using the IOD tool. The AO is required to assess these transactions as part of the normal DM case review process and timeline. A/OPC (Level 4) are required to ensure a DM case is created for each of their findings and disciplinary category determinations. Complete records of findings and disciplinary category determinations are necessary to automate GPC reporting requirements and ensure accurate information is available for use by individuals responsible for management and oversight of GPC programs.

12.2.1.4. A/OPC (Level 4) are required to document completion of their review in IOD by completing the A/OPC Monthly Check List.

12.2.1.4.1. The IOD tool ensures A/OPC Monthly Check Lists are automatically submitted to the OA/OPC (Level 3) (can include up to two (2) OA/OPC (Level 3) tiers). OA/OPC (Level 3) are required to log in to IOD each cycle to spot-check the Monthly Reviews conducted by the A/OPC (Level 4) and/or OA/OPC (Level 3) directly below them in the hierarchy. OA/OPC (Level 3) must electronically certify in IOD that they conducted their monthly reviews. IOD includes a dashboard showing completion of the process at each level.

12.2.1.4.2. If the monthly review cannot be completed using IOD because the AO and/or A/OPC (Level 4) and their alternates are deployed and have insufficient access

to the application, the OA/OPC (Level 3) may then mark them as DEPLOYED in IOD and approve completion of the monthly review cycle. The AO and or A/OPC (Level 4) will complete the monthly review manually then update the audit tool upon completion of the deployment.

12.2.1.4.3. A/OPC (Level 4) must complete their monthly review within 30 calendar days of the end of the billing cycle. OA/OPC (Level 3) each have 10 calendar days to complete their monthly review.

12.2.2. Monthly CPM Reviews will be completed to ensure the activities have satisfied the requirements of **paragraph 12.2.1**.

12.3. Semi-Annual Reviews . Semi-Annual Reviews shall be conducted and performed in IOD at the end of the March and September billing cycles and are a consolidation of the previous six (6) monthly reviews (20 March – 19 September and 20 September – 19 March each year). They are conducted to ensure adherence to internal controls and facilitate senior management's awareness of their GPC program's health (e.g., strengths and areas requiring improvement), and to help them promote the interdisciplinary communication necessary for successful GPC program operations (e.g., is the program appropriately resourced, do supervisors engage to resolve performance issues and take disciplinary action when warranted, are Resource Managers vested in supporting timely resolution of payment issues to maximize refunds).

12.3.1. The Semi-Annual Review shall be initiated by the A/OPC (Level 4) in IOD. It is an aggregation of the A/OPC (Level 4) organization's six (6) previous Monthly A/OPC Reviews. Reference I shows the Monthly and Semi-Annual Review Reports Format, Data Sources, and Calculation Methodologies.

12.3.2. A/OPC (Level 4) are required to brief their review results to their own HA (apprising the HA of program strengths and any concerns within their organizations). They must also obtain the HA's signature on the Semi-Annual Head of Activity Review Report and provide a scanned version of the signed report and other review documents (if any/as required) to the OA/OPC (Level 3) at the next higher tier above them in the hierarchy by attaching scanned files on the IOD messages tab, and certify they have completed their Semi-Annual Head of Activity Reviews in IOD.

12.3.3. A/OPC (Level 4) are required to retain their final signed documents. OA/OPC (Level 3) (up to two tiers), if assigned, are required to:

12.3.3.1. Summarize the reports provided by the A/OPC (Level 4) or OA/OPC (Level 3) at the tier directly below them in the hierarchy. **(T-1)**

12.3.3.2. Review the results with their HA and obtain their signature on their Semi-Annual Head of Activity Review Report. **(T-1)**

12.3.3.3. Provide a scanned version of the signed report and other consolidated review documents (as required) to the OA/OPC (Level 3) or CPM (Level 2) at the next higher tier above them in the hierarchy by attaching scanned files on the IOD messages tab, and certify they have completed their Semi-Annual Head of Activity Reviews in IOD. **(T-1)**

12.3.3.4. OA/OPC (Level 3) are required to retain their final signed documents. **(T-1)**

12.3.4. All HA reviews must be completed and provided to the CPM (Level 2) no later than 15 June and 15 December of each year. CPMs (Level 2) are required to brief their component HA and provide their review results to the agency program management office no later than 15 July and 15 January of each year. **(T-0)**

12.4. CPM (Level 2) Program Management Review (PMR) . The CPM (Level 2) will periodically review the activity to ensure compliance via a PMR process.

12.4.1. HCAs or their Chief of Contracting Office (COCO) will conduct GPC PMRs on contracting activities, to include subordinate contracting offices, regardless of the level, at least once every 36 months and provide the schedule of reviews no later than 31 August of the preceding fiscal year to the CPM (Level 2). CPM (Level 2) may grant, in writing, an extension up to four (4) years on a one-time basis when circumstances are justified. Additionally, the CPM (Level 2) may require, in writing, more frequent reviews of contracting activities as deemed necessary.

12.4.2. Types of GPC PMRs. The GPC PMR is a tiered program that includes the following:

12.4.2.1. GPC PMR reviews by the CPM (Level 2) to DAF Contracting Activities.

12.4.2.2. GPC PMR reviews by the HCA to the COCOs and other subordinate contracting offices.

12.4.2.3. GPC PMR reviews by the COCOs to subordinate contracting offices.

12.4.2.4. Special assistance, review and assessment, DAF-wide, as required.

12.4.3. Approach of Procurement Management Reviews.

12.4.3.1. GPC PMRs will be collaborative and will emphasize effectiveness of strategic planning, identification and effectiveness of metrics, and the flow of information among organizations at the headquarters and COCO levels. GPC PMRs will evaluate effectiveness along with compliance with procurement laws, regulations, policies, and best practices at the contract execution level. PMRs will identify improvements needed in GPC policies and procedures.

12.4.3.2. GPC PMRs will provide for the exchange of information and advice on lessons learned, best practices, mitigation of barriers to effective change, and opportunities for continuous improvement.

12.4.3.3. Participation by the CPM (Level 2) in COCO GPC PMRs will address GPC PMR objectives and enhance the COCO team in achieving its responsibilities.

12.4.4. Preparation for GPC PMRs. Notify procurement organizations, if reasonable, 30 days before planned virtual or in person GPC PMRs. The activity shall provide the following in advance: metrics, GPC AXOL reports and Insights on Demand data mining reports, copies of previous reviews/corrective action plans, procurement authority, and training materials. Additionally, the activity may request additional areas of emphasis and assistance during the GPC PMR.

12.4.5. Results of Procurement Management Reviews.

12.4.5.1. Reports of GPC PMR results will contain a risk assessment, analysis of issues, commendations, observations, findings, and recommendations as appropriate. GPC PMR report findings must be specific and include sufficient information to enable root cause analysis. GPC PMR recommendations must be based on supported findings and be actionable.

12.4.5.2. Contracting activities at all levels will perform timely GPC PMRs. Untimely reporting erodes the effectiveness of the review.

12.4.5.3. Reviewers shall submit the initial PMR report to the reviewed activity within 30 business days of the Out-brief.

12.4.5.4. The GPC contracting activity reviewed shall submit a Corrective Action Plan (CAP) within 30 business days of report receipt if a CAP is recommended for a high risk rating.

12.4.5.5. The responsible review official must review and approve the CAP and prepare a Final PMR report within 30 business days of CAP receipt.

12.4.5.6. The reviewed activity must complete corrective actions - if any - within the agreed timeframe, inform the GPC PMR Team Lead of corrective actions taken, and request closure of the CAP.

12.5. Purchase Card Oversight Module (PCOM). DPC will deploy a new PIEE module called the Purchase Card Oversight Module (PCOM). Once fully functional PCOM will facilitate conduct of Data Mining Case Validation Reviews (CVR) on a quarterly basis. The CVR process will consist of a review of a statistically valid sample of closed data mining cases to determine whether AOs and A/OPC (Level 4) documented accurate conclusions.

Chapter 13

CORRECTIVE ACTIONS

13.1. Corrective Actions of Violations. Improper, fraudulent, abusive, or negligent use of any government charge card is prohibited. The agency may take corrective action, impose disciplinary action (including removal for serious or repeated infractions), and take other administrative actions for charge card infractions. The GPC shall only be used by the named individual on the card to pay for authorized, official US Government purchases. The GPC is specially imprinted with the United States Seal and the words, "United States of America" to avoid being mistaken for a personal credit card. All GPC officials have a shared responsibility to take appropriate action and report to higher authority any potential program-related fraud, waste, abuse, and misuse. Each Command and/or organization shall formalize policies and procedures and identify corrective measures that will be implemented as a result of non-compliance. **(T-2)**

13.2. Discovery. If a potential GPC violation is discovered, GPC personnel shall ensure suspected fraud, misuse, and/or abuse of the purchase card is appropriately investigated. In cases of suspected fraud, charge card managers must refer these instances to independent investigatory agencies (e.g., Air Force Office of Special Investigations) for investigation**.**

13.3. Major Violations.

13.3.1. Exceeding purchase authority limit. If a CH has exceeded their limit, they exceeded their authority and a ratification (where possible) by Contracting must be processed. (If a report was already processed, a purchase order will not be accomplished; however, an approved ratification authorizing the purchase must be accomplished.).

13.3.2. Exceeding available funding. **(T-0)**

13.3.3. Purchases by individuals other than the authorized CH.

13.3.4. Cash advances. **(T-0)**

13.3.5. Returns for cash or credit vouchers. **(T-0)**

13.3.6. Betting, Casino Gaming, Off-track Betting, Lotteries, or any other forms of gambling or games of chance. **(T-0)**

13.3.7. Items/Services for the personal benefit of government employees, to include the CH keeping points, discount coupons, rebates, or other bonus and incentive refunds for personal use. **(T-0)**

13.3.8. Internal Fraud. Internal fraud is any felonious act of corruption or attempt to cheat the government or corrupt the government's agents by charge card program officials. For example, CH purchasing items for personal use or to receive a personal benefit. **(T-0)**

13.3.9. Card Abuse. Card abuse is the intentional use of the GPC in violation of applicable guidance and regulations. Intentionality may be determined from repeat offenses of the same violation after corrective action/retraining has occurred. For example, repeatedly exceeding the MPT or splitting requirements to avoid the MPT.

13.4. Disputing and Resolving Fraudulent and Erroneous Transactions. A/OPC (Level 4) shall verify that all potentially fraudulent and erroneous transactions that have been identified are disputed and properly resolved. The A/OPC (Level 4) shall document a substantiated violation as well as any action taken to resolve the noncompliance. **(T-0)** For major violations, the A/OPC (Level 4) shall reduce the CHs purchase limit for a period of not less than 30 days. For mission essential requirements, the CONS/CC may waive the 30 day suspension after completion of corrective action. Evidence of deliberate misuse, abuse, or fraud shall be referred to the CH's and/or AO's commander, or equivalent, by the contracting commander, or equivalent, for appropriate action.

13.5. Corrective Actions. A/OPC (Level 4) shall ensure the suspension and revocation of GPC account privileges for individuals (CHs and AOs) who consistently violate GPC procedures. Any determinations to cancel or permanently suspend a CH or AO account shall be made by the contracting commander, or equivalent, in writing, and their findings forwarded to the CH's and/or AO's organizational commander, or equivalent. Continual violation of GPC procedures by an individual CH or AOs shall result in termination of GPC privileges. **(T-1)** The violating organization commander, or equivalent, shall be responsible for completing, signing, and providing a Corrective Action Plan and submitting to the contracting commander, or equivalent, within 14 calendar days. The contracting commander, or equivalent, has the authority to waive suspension limits, if required, to avoid mission impacts; however, a corrective action plan shall be accomplished to preclude recurrence.

13.5.1. The GPC program office personnel shall conduct the necessary audit oversight to identify possible improper purchases, document, and retain findings in the account file. **(T-0)** The A/OPC (Level 4) will be responsible, as deemed necessary, to accomplish refresher training, make changes to account limits, terminate accounts, and document GPC files. **(T-0)** At a minimum, retraining is required.

13.5.2. The A/OPC (Level 4) will reduce accounts to $1 for 30 calendar days if the managing account exceeds their available funding, or if payment is delinquent after 30 calendar days past the bank statement date; and the entire organization is suspended at 90 calendar days past the bank statement date. **(T-0)** The A/OPC (Level 4) will also ensure any accounts delinquent 120 calendar days or more will be terminated. **(T-0)** Upon discovery, A/OPC (Level 4) shall immediately suspend managing accounts that exceeds their funding twice in a FY by reducing the account to $1. This suspension shall remain in place until a new AO is trained and appointed in JAM. **(T-0)**

13.5.3. At a minimum, organization CCs, or equivalents, shall notify each violator that repeated violations may result in termination of GPC privileges. The CH account will remain suspended until the CH's organizational Squadron Commander, or equivalent provides a corrective action plan to the contracting commander, or equivalent, and shall include documented assurance steps that have been put in place to ensure the violation will not occur again. Organizational commanders, or equivalents, must sign all corrective action plans for accounts to be restored. **(T-0)**

13.5.4. Financial management will review purchase(s) and regulatory guidance necessary to make final determinations regarding any abuse or misuse of fiscal policies and law. When the review is complete, the financial management point of contact will notify the A/OPC (Level 4) of the determination. If financial management confirms the purchase was improper, they

will apply the appropriate remedy to recoup the funds, ensure the funds are returned to the correct billing account, and in turn provide the GPC program office with all pertinent information. **(T-0)**

13.6. Pecuniary Liability. The government is liable for unauthorized purchases that cannot be ratified.

13.6.1. A CH who makes unauthorized purchases, allows others to use the card, or carelessly uses the GPC shall be liable to the government for the total dollar amount of unauthorized purchases made in connection with the misuse or negligence. The CH may also be held pecuniary liable, as Accountable Official to the government, for any payment certified and paid based on false or negligent information provided to the Certifying Officer.

13.6.2. As a Departmental Accountable Official, the AO may be held pecuniary liable to the government for any payment certified and paid based on false or negligent information provided to the Certifying Officer. AOs are considered Departmental Accountable Officials under the pay and confirm process. As such, AOs provide information, data, or services to Certifying Officers upon which the latter rely to certify vouchers for payment. In accordance with the provisions of DoD FMR Volume 5, Chapter 5, Paragraph 050701(C), AOs are not subject to the presumption of negligence, but may be held pecuniary liable under USC Title 10, Subtitle A, Part IV, **Chap 165**, Sec 2773a for an illegal, improper, or incorrect payment resulting from information, data, or services they negligently provide to a Certifying Officer and upon which that Certifying Officer relies when certifying a payment voucher. Any pecuniary liability of an AO for a loss to the United States resulting from an illegal, improper, or incorrect payment may be joint and several with that of any other officer or employee of the United States or member of the uniformed services who is also pecuniary liable for that loss.

13.7. Disciplinary Actions. At a minimum, organization CCs, supervisors, or equivalents, shall notify each violator that repeated violations may be result in consideration of appropriate disciplinary action using the UCMJ disciplinary processes or civilian disciplinary rules. The contracting commander, supervisors, or equivalent, retains responsibility of addressing with the organizational commander, or equivalent, the need for any disciplinary action against the CH and/or AO.

13.7.1. Supervisory Responsibility. It is DoD policy that the supervisor of the individual(s) or parties responsible for violating applicable GPC regulations be informed in a timely manner. Supervisors, who receive information indicating personnel have engaged in any fraud, misuse or abuse of a purchase card, have a duty under AFI 36-704 to gather (including further investigation if needed), analyze and carefully consider available facts and circumstances before taking or recommending disciplinary action. Supervisors shall consider appropriate disciplinary/adverse action for individuals who have violated applicable GPC regulations.

13.7.2. The circumstances of each individual case will determine the appropriate type of disciplinary/adverse action of civilian employees, if any, that may be imposed. There is no single response appropriate for all cases. A progression of increasingly severe penalties is often appropriate in the case of minor instances of misuse. However, cases that are more serious may warrant a more severe penalty for the first offense if abuse or fraudulent activity is evident. For civilians (except senior executives), the supervisor considering disciplinary action should contact the servicing Human Resources Office for assistance in taking any disciplinary/adverse action. (For senior executives, AF/DPS serves as the servicing Human Resources Office and

must be contacted before any disciplinary action is considered.) Coordination with the appropriate legal office should occur early in the process, where possible. References: For civilians, full consideration must be given to the Douglas Factors as provided in *Douglas v. Veteran's Administration, 5 M.S.P.R 280 (1981)* and supervisors should use AFI 36-704, *Discipline And Adverse Actions of Civilian Employees,* for guidance. Military may be subject to non-judicial punishment and potentially to judicial punishment, if warranted.

13.8. Clearance Revocation. In addition to corrective or disciplinary action, personnel who misuse their government purchase card may have their access to classified information modified or revoked in the interest of national security, if warranted. Commanders, or equivalent, and supervisors shall follow previously issued guidance to ensure that security clearance reviews are conducted when the holder of a government Purchase Card comes under investigation for card misuse. Prompt action is required in response to allegations of charge card misuse or abuse by DAF military or civilian personnel. Accordingly, the commander, or equivalent, shall review and adjust the suspect's access to classified information accordingly (not as a disciplinary action, but as a prudent safeguard of sensitive information). The commander, or equivalent, has the authority, per DoD 5200.2-R, *Personnel Security Program,* to suspend the individual's classified access.

13.9. Criminal Prosecution . In appropriate cases, referral for criminal prosecution in civilian courts should be considered as a way to hold civilian and military personnel personally accountable for charge card misuse. Under 18 USC 287, misuse of the purchase card could result in a fine of not more than $10,000 or imprisonment for not more than five (5) years or both. Military members who misuse the purchase card are subject to court-martial under 10 USC 921a, UCMJ Article 121a.

Chapter 14

REPORTS

14.1. Reports in General . In addition to the reports listed within this instruction, maximize utilization of other reports available on the GPC Business IT systems web sites such as IOD Reporting Application and the bank's Electronic Access System. The reports can assist with conducting periodic and annual surveillance inspections along with overall GPC program management. Commanders, or equivalents, and GPC personnel should make maximum use of the IOD to identify and correct program deficiencies and discrepancies. The CPM (Level 2) will utilize the following reports as prescribed and will refer through the GPC chain to the appropriate level to manage the GPC program. A/OPC (Level 4) should, at a minimum, review reports semi-annually to identify accounts that have not been used within 6 months and recommend suspension at 300 days. **Exceptions**: any accounts that have documented approval from the OA/OPC (Level 3) or above to remain active, e.g., contingency accounts, mortuary. If these accounts have been inactive for 6 months, the A/OPC (Level 4) should recommend the account be terminated. A/OPC (Level 4) will exercise discretion when recommending termination of accounts; e.g., contingency and mortuary accounts are seldom used, but should not be terminated.

14.2. ECARS vs FPDS-NG Comparison Report. The CPM (Level 2) generates this report found in the ECARS and send to the OA/OPC (Level 3) the first and third week of the month and weekly during fiscal year end OA/OPC (Level 3) can also generate this report for their organization. GPC personnel will review FPDS-NG & ECARS Comparison Reports to ensure those GPC transactions above the MPT are recorded in the ECARS within five (5) business days of purchase; and transferred into FPDS-NG within 30 business days of purchase. The report lists all transactions and dollar values in both systems and records any transactions/values not listed in both as "mismatched." The report also identifies all ECARS transactions that are less than 30 calendar days old and more than 30 calendar days old by MAJCOM/FLDCOM for reconciliation purposes.

14.3. The Bank Reports. The CPM (Level 2) will review and ensure the reports provided by the bank are sent to the OA/OPC (Level 3) to facilitate appropriate management of accounts (the bank may send them directly to the OA/OPC (Level 3).

ANDREW P. HUNTER
Assistant Secretary of the Air Force
(Acquisition, Technology & Logistics)

Attachment 1

GLOSSARY OF REFERENCES AND SUPPORTING INFORMATION

References

AFI 23-101, *Materiel Management Policy,* 22 October 2020

AFI 23-111*, Management of Government Property in Possession of the Air Force,* 19 November 2018

AFI 33-322, *Records Management and Information Governance Program,* 28 July 2021

AFI 34-204*, Property Management,* 09 October 2018

AFI 34-266, *Fitness, Sports, and World Class Athlete Program,* 25 September 2018

AFH 35-115, *Visual Information*, 24 November 2020

DAFMAN 52-107, *Chapel Tithes and Offerings Fund Management*, 20 January 2021

AFPD 64-1, *The Contracting System*, 06 November 2018

DAFMAN 65-601V1, *Budget Guidance and Technical Procedures,* 31 March 2021

AFI 65-603*, Use of Emergency and Extraordinary Expense Funds,* 29 April 2020

AFMAN 34-240, *Appropriated Fund (AFP) Food Service Program Management,* 19 April 2019

DAFMAN 21-201, *Munitions Management,* 26 March 2019

Defense Transportation Regulation, Part 1, Chapter 108

DoDI 5330.03, *Defense Logistics Agency (DLA) Document Services,* 31 August 2018

Federal Acquisition Regulation (FAR) Part 13

Prescribed Forms

AF Form 4009, *Government Purchase Card Fund Cite Authorization*

Adopted Forms

AF Form 332, *Base Civil Engineer Work Request*

AF Form 406, *Miscellaneous Obligation/Reimbursement Document*

AF Form 601, *Authorization Change Request*

AF Form 4306, *Air Force Civilian Employee Tuition Assistance*

DAF Form 679, *Department of the Air Force Publication Compliance Item Waiver Request/Approval*

DAF Form 847, *Recommendation for Change of Publication*

DD Form 282, *DoD Printing Requisition/Order*

DD Form 448, *Military Interdepartmental Purchase Request*

DD Form 577, *Appointment/Termination Record – Authorized Signature*

DD Form 1131, *Cash Collection Voucher*

DD Form 2579, *Small Business Coordination Record*

IRS Form 1099, *Miscellaneous Income*

SF Form 182, *Authorization, Agreement, and Certification of Training*

SF Form 1081, *Voucher and Schedule of Withdrawal and Credits* IRS Form 1099 MISC, *Miscellaneous Income*

SF 1402*, Certification of Appointment*

Abbreviations and Acronyms

A/OPC—Agency/Organizational Program Coordinator (Level 4)

AF—Air Force

AF/A1DI—Air Force Force Development Integration Division

AFI—Air Force Instruction

AFICC - OL—Air Force Installation Contracting Center - Operating Location

AFMAN—Air Force Manual

AFPD—Air Force Policy Directive

AO—Approving Official

AXOL—Access Online

CAR—Contract Action Report

CH—Cardholder

COCO—Chief of the Contracting Office

CONUS—Continental United States

CPM—Component Program Manager (Level 2)

DAF—Department of the Air Force

DAFI—Department of the Air Force Instruction

DAFMAN—Department of the Air Force Manual

DAU—Defense Acquisition University

DEERS—Defense Eligibility and Enrollment Reporting System

DFARS—Defense Federal Acquisition Regulation Supplement

DFAS—Defense Finance and Accounting Service

DLA—Defense Logistics Agency

DoD—Department of Defense

DODI—Department of Defense Instruction

DRU—Direct Reporting Unit

ECARS—Express Contract Action Reporting System

FAR—Federal Acquisition Regulation

FLDCOM—Field Command

FMR—Financial Management Regulation

FOIA—Freedom of Information Act

FPDS-NG Federal Procurement Data System—Next Generation

FSS—Force Support Squadron

FY—Fiscal Year

GPC—Government Purchase Card

GSA—General Services Administration

IDIQ—Indefinite Delivery/Indefinite Quantity

IOD—Insights on Demand

IT—Information Technology

JAM—Joint Appointment Module

LOA—Line of Accounting

MAJCOM—Major Command

MPT—Micro-Purchase Threshold

OA/OPC—Agency/Organizational Program Coordinator (Level 3)

OCONUS—Outside Continental United States

OMB—Office of Management and Budget

OSD/DPC—Office of the Secretary of Defense/Defense Pricing and Contracting

PIEE—Procurement Integrated Enterprise Environment

SAF/AQC—Deputy Assistant Secretary (Contracting), Assistant Secretary (Acquisition)

SAP—Simplified Acquisition Procedures

SP3—SmartPay®3 GSA Contract

sUAV—Small Unmanned Aerial Vehicle

UCMJ—Uniform Code of Military Justice

USC—United States Code

Terms

Agency/Organization Program Coordinator (Level 4)—Designated servicing contracting office employee responsible for managing the installation's/organization's GPC program including establishment, training, and surveillance.

Approving Official—The official appointed in writing by the organizational commander, or equivalent who is responsible for the oversight of one (1) or more CHs. Must review and approve each CH's monthly reconciliation of the Statement of Account (SOA).

Billing Cycle—The period of time, usually 30 calendar days, in which all accumulated merchant charges or credits are posted by the bank to the CHs' accounts. The billing cycle period for the DAF is usually from the 20th of each month to the 19th of the following month.

Cardholder (CH)—The legal agent using the charge card to buy supplies and services in support of official government business. This can be a non-acquisition person or an acquisition person. The CH holds the primary responsibility for the card's proper use.

Communications and Information Officer—The individual in the Communications Squadron who works with the user to devise, implement and approve the technical solution to meet their communications and information requirements.

Head of the Contracting Activity (HCA)—The person designated in the Air Force FAR Supplement 5301.601 (or authorized designee).

Managing Account—An account consisting of a single or multiple CH accounts managed by the AO.

Merchant Category Code—The bank categorizes each merchant according to the type of business in which the merchant is engaged, and the kinds of goods and services provided. The bank then assigns each merchant a corresponding 4 digit merchant code.

Micro—purchase threshold - "Micro-purchase threshold" means $10,000 (10 U.S.C. 2338), except for: for acquisitions of construction subject to 40 U.S.C. **chapter 31**, sub- chapter IV, Wage Rate Requirements (Construction), $2,000; acquisitions of services subject to 41 U.S.C. **chapter 67**, Service Contract Labor Standards, $2,500; for acquisitions of supplies or services that, as determined by the head of the agency, are to be used to support a contingency operation; to facilitate defense against or recovery from cyber, nuclear, biological, chemical or radiological attack; to support a request from the Secretary of State or the Administrator of the United States Agency for International Development to facilitate provision of international disaster assistance pursuant to 22 U.S.C. 2292 *et seq.*; or to support a response to an emergency, or major disaster (42 U.S.C. 5122), as described in 13.201(g)(1), except for construction subject to 40 U.S.C. **chapter 31**, subchapter IV, Wage Rate Requirements (Construction) (41 U.S.C. 1903) $20,000 in the case of any contract to be awarded and performed, or purchase to be made, inside the United States; and $30,000 in the case of any contract to be awarded and performed, or purchase to be made, outside the United States. For acquisitions of supplies or services from institutions of higher education as defined in 20 U.S.C. 1001(a), related or affiliated nonprofit entities, nonprofit research organizations, independent research institutes- (i) $10,000; or (ii) A higher threshold, as determined appropriate by the head of the agency and consistent with clean audit findings under 31 U.S.C. **chapter 75**, Requirements for Single Audits; an internal institutional risk assessment; or State law.

Pilferable Items—Items that are easily stolen in small amounts and often. See DoD Instruction (DoDI) 50000.64 for definition.

Simplified Acquisition Threshold—"Simplified acquisition threshold" means $250,000 (41 U.S.C. 134), except for—Acquisitions of supplies or services that, as determined by the head of the agency, are to be used to support a contingency operation; to facilitate defense against or recovery from cyber, nuclear, biological, chemical, or radiological attack; to support a request from the Secretary of State or the Administrator of the United States Agency for International Development to facilitate provision of international disaster assistance pursuant to 22 U.S.C. 2292 *et seq.*); or to support a response to an emergency or major disaster (42 U.S.C. 5122), (41 U.S.C. 1903), the term means $750,000 for any contract to be awarded and performed, or purchase to be made, inside the United States; and $1,500,000 for any contract to be awarded and performed, or purchase to be made, outside the United States; and Acquisitions of supplies or services that, as determined by the head of the agency, are to be used to support a humanitarian or peacekeeping operation (10 U.S.C. 2302), the term means $500,000 for any contract to be awarded and performed, or purchase to be made, outside the United States.

Single Purchase Limit—The maximum amount authorized for a single purchase on a GPC. This limit cannot be exceeded. A single purchase, however, may include multiple items.

Working Capital Fund—a type of revolving fund that is intended to operate as a self- supporting entity to fund business-like activities of the Department of the Air Force.

XB/XF—centrally managed consumable items directly related to weapon systems.

Attachment 2

COMMERCIAL PURCHASE CARD (GPC) ROLES AND GPC CARDHOLDER SPECIAL DESIGNATION AUTHORITY TYPES

A2.1. Purpose . This document lists the PIEE/JAM Government-wide Commercial Purchase Card (GPC) roles and GPC Cardholder Special Designation Authority Types.

A2.2. JAM GPC Roles. Table A2.1. lists the PIEE JAM GPC roles.

Table A2.1. JAM GPC Roles.

	GPC JAM & PIEE Roles	Who Submits Request	Additional Guidance/Information	JAM Appointment Issued	How is the Process Initiated? PIEE Registration (Note 1) / Self-Initiate or Nominate (Note 2)	Warrant Issued
1	GPC DoD Program Management Office (PMO)	- Office of the Undersecretary of Defense (OUSD) / Acquisition and Sustainment (A&S) / Defense Pricing and Contracting (DPC) / Contracting e-Business (CeB). The PIEE Hierarchy Level 1.	None	None	PMO Representative Registers for PIEE Access & Requests Role	No
2	Component Program Manager (CPM)	- GPC Lead(s) for each Defense Component (Service, Defense Agency/Activity). The PIEE Hierarchy Level 2.	None	CPM Appointment Letter	CPM Registers for PIEE Access & Requests Role	No
3	GPC Delegating/Appointing Authority (DAA)	- Individual(s) (other than the A/OPC or OA/OPC with delegating authority) who have retained or been delegated authority to electronically sign GPC Delegation of Procurement Authority and GPC Appointment Letters (e.g., the Director of Contracts or Army PARC)	- Servicing Agency A/OPCs - Direct any individual at a "Requesting Agency" who has been delegated authority to sign delegation and appointment letters to request this role during PIEE account registration These individuals must have been issued an SF-1402 authorizing them to further delegate procurement authority	None	DAA may register for PIEE access & request role or Complete actions using only tokenized emails See paragraph 4 "**JAM GPC Delegation** , Oversight Agency/ Organizational Program Coordinator Authority **Signatories (DAS)**" below for additional information	No

	GPC JAM & PIEE Roles	Who Submits Request	Additional Guidance/Information	JAM Appointment Issued	How is the Process Initiated? PIEE Registration (Note 1) / Self-Initiate or Nominate (Note 2)	Warrant Issued
4	Oversight Agency/Organization Program Coordinator (OA/OPC) • With Delegating Authority (Note 3)	- Primary and Alternate A/OPCs with responsibility for managing / overseeing other A/OPCs	None	OA/OPC Appointment Letter	OA/OPC Registers for PIEE Access & Requests Role	✓
5	OA/OPC • Without Delegating Authority	- Primary and Alternate A/OPCs with responsibility for managing / overseeing other A/OPCs	None	OA/OPC Appointment Letter	OA/OPC Registers for PIEE Access & Requests Role	No
6	A/OPC • With Delegating Authority (Note 4)	- Primary and Alternate A/OPCs responsible for day-to-day management and oversight of CH and Managing Accounts (Note 5)	None	A/OPC Appointment Letter	A/OPC Registers for PIEE Access & Requests Role	✓
7	A/OPC • Without Delegating Authority	- Primary and Alternate A/OPCs responsible for day-to-day management and oversight of CH and Managing Accounts (Note 5)	None	A/OPC Appointment Letter	A/OPC Registers for PIEE Access & Requests Role	No
8	Approving/Billing Official (A/BO)	- Program Officials responsible for reviewing and approving GPC Managing Account (MA) Billing Statements (GPC bank Invoices) and transaction supporting data for compliance with applicable Acquisition Policies - DAF	None	A/BO Appointment Letter	OA/OPC or A/OPC Nominates A/BO using JAM A/BO Responds to JAM Generated Email Direction to Register for PIEE Access When A/BO Uses the Identical Email Entered During Nomination the Role Request and Required DoDAACs are Pre-Populated	No

	GPC JAM & PIEE Roles	Who Submits Request	Additional Guidance/Information	JAM Appointment Issued	How is the Process Initiated? PIEE Registration (Note 1) / Self-Initiate or Nominate (Note 2)	Warrant Issued
9	Certifying Officer	- Program Officials responsible for reviewing GPC MA Billing Statements in accordance with DoD Financial Management Regulations (FMR) requirements and **certifying** GPC Managing Account Billing Statements (GPC bank Invoices) for payment. - DAF	- Certifying Officer responsibilities are addressed in DoD FMR Volume 10, Chapter 23 (230406) and DAU CLG-006 - Certifying Officer appointments are made in accordance with DoD FMR Vol. 5, Chapter. 5.	DD Form 577 Certifying Officer Appointment	OA/OPC, A/OPC or DD 577 Appointing Authority (AA) Nominates Certifying Officer using JAM Certifying Officer Responds to JAM Generated Email Direction to Register for PIEE Access When Certifying Officer Uses the Identical Email Entered During Nomination the Role Request and Required DoDAACs are Pre-Populated	No
10	Cardholder (CH)	- Individuals who have been issued GPC CH accounts	- Includes carded, cardless and convenience check accounts - 10 types of "Special Use" CH delegations are available - 2 of the 10 CH delegations are equivalent to issuance of a Standard Form 1402 Certificate of Appointment	GPC CH Appointment Letter	O A/OPC or A/OPC nominates CH using JAM CH responds to JAM generated email direction to register for PIEE access When CH uses the identical email entered during nomination the role request and required DoDAACs are pre-populated	See Table A2.2.
11	Component Resource Manager (CRM)	- The Comptroller/FM for the Component	None	None	CRM registers for PIEE access & requests role (Note 6)	No
12	Oversight RM	- Individuals responsible for approving RM access to PIEE; they can also perform all RM functions	None	None	Oversight RM registers for PIEE access & requests role	No

	GPC JAM & PIEE Roles	Who Submits Request	Additional Guidance/Information	JAM Appointment Issued	How is the Process Initiated? PIEE Registration (Note 1) / Self-Initiate or Nominate (Note 2)	Warrant Issued
13	Resource Manager (RM)	- Individuals responsible for providing appropriate GPC account funding, entering associated lines of accounting (LOAs) into applicable systems, and working with the A/OPC to establish spending limits tied directly to funding allocated for each Managing and CH account	None	None	RM Registers for PIEE access & requests role	No
14	Supervisor	- Supervisors of individuals with PIEE roles	- Supervisor information is available to JAM from the data the individual enters during their PIEE registration - Future PIEE releases are planned to connect to DEERS for supervisory information	None	Not Required (Note 7) PIEE users identify their supervisor in their PIEE account profile	No
15	DD577 View Only	- Individuals in paying offices (e.g., DFAS) who need to view DD Form 577 appointments - Other individuals who require access to view DD Form 577s o May be granted to contractor personnel	None	None	DD 577 View Only User Registers for PIEE Access & Requests Role	No
16	DD577 Appointing Authority	- Individuals authorized by Component-level Financial Management procedures to sign DD Form 577 Certifying Officer appointments in accordance with FMR Vol 5, Ch 5.	None	None	DD 577 Appointing Authority Registers for PIEE Access & Requests Role	No
17	GPC Help Administrator (HAM)	- Individuals providing help desk support to GPC program officials	- May be granted to contractor personnel (Note 8)	None	GPC Help Administrator Registers for PIEE Access & Requests Role	No

	GPC JAM & PIEE Roles	Who Submits Request	Additional Guidance/Information	JAM Appointment Issued	How is the Process Initiated? PIEE Registration (Note 1) / Self-Initiate or Nominate (Note 2)	Warrant Issued
18	GPC Auditor	- Individuals granted access to PIEE GPC functionality for purposes of reviewing the GPC program	- GPC Auditor required to load a scanned copy of audit letter during PIEE registration process. Each request must specify the purpose/scope of the review, define the organizational access required, and state the desired access period (start and end dates) - Access requests must be approved by the GPC Agency Program Management Office or Component Program Manager	None	Self-Initiate	No
19	GPC View Only Access	- Individuals requiring view only access to GPC PIEE data and single sign-on access to GPC systems (e.g., bank, Bank Electronic Access System (EAS)) o Can be assigned at any level by Group or DoDAAC of the hierarchy with downward access o May be granted to contractor personnel (Note 8)	None	None	Self-Initiate	No

Notes:
1. Individuals who already have active PIEE accounts do not need to "register," but rather self-initiate adding a role, or respond to request to add a role(s) for which they have been nominated (i.e., Certifying Officer, A/BO and CH).
2. Most PIEE applications require users to self-initiate their PIEE role request. Some GPC JAM roles, as indicated in this column, are nominated by A/OPC (Level 4), OA/OPC (Level 3) or DD577 Appointing Authority. For roles that are nominated, the nominator and other individuals in the nominee's hierarchy with the appropriate permissions need to initiate the appointment once the supervisor approves the role request.
3. GPC Delegation of Authority and Appointment Letter is equivalent to appointment on an Standard Form (SF)-1402, Certificate of Appointment (i.e., Contracting Officer Warrant)
4. GPC Delegation of Authority and Appointment Letter is equivalent to appointment on an SF-1402, Certificate of Appointment (i.e., Contracting Officer Warrant)
5. Also called Billing Accounts.
6. If the Component Resource Manager does not have PIEE access, (s)he can accomplish their tasks by clicking on a link in an email within three (3) business days. However, without PIEE access (s)he cannot run reports or see the status of pending, current or terminated delegations.
7. Supervisors receive email notifications with links to complete tasks.
8. All contractor personnel must have signed appropriate nondisclosure statements.

A2.3. JAM Cardholder Special Designation Authority Types. Table A2.2 summarizes the ten (10) JAM Cardholder Special Designation Authority Types, and provides the authorizing regulatory citation(s), maximum dollar value authorized, and a description of when each type would be appropriate for use. GPC CH JAM appointments are initiated when the OA/OPC (Level 3) or A/OPC (Level 4) nominates the prospective CH for their role using JAM. CHs then respond to JAM generated email direction to register for (or update their existing) PIEE access using the identical email address entered during the nomination process. Use of the identical email enables pre-population of the 'role request' and DoDAACs that were specified by the OA/OPC (Level 3) or A/OPC (Level 4) into the CHs PIEE profile.

Table A2.2. GPC Cardholder Special Designation Authority Types.

	Authority Type	Delegation Authority	Delegation NTE Limit (Note 1)	Scope of Authority Limits	Warrant Issued
1	Micro-Purchase CH	FAR 1.603-3(b) FAR 13.201 DFARS 201.603-3(b)	$10,000	• Grants authority to make authorized GPC purchases valued below the micro-purchase threshold **using simplified acquisition procedures** (see FAR 2.101 "micro-purchase" definition) • Includes **FedMall Market Place** transactions. See paragraph 5 below • **Note**: CHs who will place orders against any contract, including GSA FSS orders using GSA Advantage and orders against FedMall contracts, will also require a Contract Ordering Official CH Appointment	X
2	Micro-Purchase Convenience Check Writer	FAR 1.603-3(b) FAR 13.201 DFARS 201.603-3(b)	$5,000	• Grants authority to make authorized convenience check purchases valued below the micro-purchase threshold using simplified acquisition procedures (see FAR 2.101 "micro-purchase" definition)	X
3	Higher Education Micro-Purchase CH	FAR 1.603-3(b) FAR 13.201 DFARS 201.603-3(b) Class Deviation 2018-O0013	$10,000 - but HCA determination can result in higher value (unlimited)	• Grants authority to make authorized open market micro-purchases using the GPC up to any applicable "Higher Education" micro-purchase threshold (See MPT definition at FAR 2.101 & Class Deviation 2018-O0013) • This authority is generally limited to $10,000 but FAR 2.101 MPT definition allows for higher threshold after appropriate Head of Contracting Activity determination • **Note**: CHs who will place orders against any contract, including GSA FSS orders using Advantage Orders or orders against FedMall contracts, will also require a Contract Ordering Official CH Appointment. • Not for use to make payments against approved SF-182s	X
4	Micro-Purchase Contingency Contracting CH	FAR 1.603-3(b) FAR 13.201 FAR 13.201(g) DFARS 201.603-3(b)	$20,000 Inside the US $35,000 Outside the US	• Grants authority to make authorized open market micro-purchases using the GPC up to the applicable "Contingency" micro-purchase threshold (See MPT definition at FAR 2.101) • If intent to authorize CH to place orders against any contract, including GSA FSS orders using	

	Authority Type	Delegation Authority	Delegation NTE Limit (Note 1)	Scope of Authority Limits	Warrant Issued
				Advantage Orders or orders against FedMall contracts, then a Contract Ordering Official CH is also required	X
5	Warranted Contingency Contracting CH	FAR 1.603-3(a) DFARS 201.603-3(b) DFARS 213.301(3) FAR 2.101 MPT FAR 2.101 SAT	$1,500,000 Outside the US	• Grants Contingency Contracting Officers authority to make authorized GPC purchases outside the United States for use outside the United States using simplified acquisition procedures up to the applicable Simplified Acquisition threshold (SAT). (See FAR 2.101 definitions of MPT and SAT) • The GPC appointment letter may only be issued to individuals who have previously been issued an SF 1402 delegating them authority sufficient to serve as a Contingency Contracting Officer	X
6	Contract Ordering Official CH (Note 2)	FAR 1.603-3(a)	Simplified Acquisition Threshold (Note 3)	Grants authority to place and pay for authorized GPC purchases against: • • Indefinite Delivery, Time-and-Material, or Labor-Hour contracts that have firm fixed prices and pre-arranged terms and conditions that were awarded by a warranted contracting Officer (KO) who designated the CH, by name, to place orders. The CO is responsible for performing compliance oversight and reporting any concerns to the A/OPC • GSA FSS between $1 and SAT • Includes FedMall Commercial Ordering. See paragraph 5 below This Appointment can only be granted to individuals who have completed training commensurate with their delegated authority and as approved by the CPM (i.e., completion of CLG -0010 is not sufficient) (Note 4)	✓
7	Overseas Simplified Acquisition CH (Note 2)	FAR 1.603-3(a) > MPT FAR 1.603-3(b) < MPT DFARS 213.301(2)	$25,000	• Grants authority to make authorized GPC purchases valued up to $25,000 using simplified acquisition procedures when the CH is outside the U.S. for items/services to be used outside the U.S., and that comply with the requirements of DFARS 213.301(2)	✓
8	Contract Payment Official CH	FAR 13.301(c)(2)	Unlimited	• Grants authority to make contract payments when authorized by the contracts terms and conditions	
9	SF-182 Training Payments CH	DoD Government Purchase Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs DoD FMR Vol 10, Ch 12, Sec 120323	$25,000	• Grants authority to make payments for commercial training requests using the SF 182, valued at or below $25,000, in lieu of an employee reimbursement by miscellaneous payment in accordance with the procedures to directly pay the provider in DoD FMR Volume 10, Chapter 12, Section 120323, and DoDI 1400.25, Volume 410	

	Authority Type	Delegation Authority	Delegation NTE Limit (Note 1)	Scope of Authority Limits	Warrant Issued
		DoDI 1400.25, Volume 410			
10	Inter/Intra-Governmental Payment Official CH		$24,999 ($9,999)	• Grants authority to make payments to another government entity in lieu of using a MIPR or IPAC • Includes payments to: o DLA Document Services o Department of Agriculture offered training o FedMall GPC Requisitioning. See paragraph 5 below. o GSA Global Supply requisitioning	

Notes:
1. Dollar value subject to change, See Department of Defense Government Charge Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs for most current guidance, which can be found at the DPC website https://www.acq.osd.mil/asda/dpc/ce/pc/docs/guides-docs/DoD_Govt_Charge_Card_Guide_06_03-20.pdf.
2. GPC Delegation of Authority and Appointment Letter is equivalent to appointment on as SF-1402, Certificate of Appointment (i.e., Contracting Officer Warrant).
3. CHs who have previously been issued an SF 1402 may be authorized to place orders using the GPC up to their delegated authority.
4. See Component procedures. Note to A/OPC (Level 4) - Known available courses for consideration are identified at. https://www.acq.osd.mil/asda/dpc/ce/pc/training.html.

A2.4. JAM GPC Delegation Authority Signatories (DAS). As shown in **Table A2.3** below, there are four (4) approaches available for identifying individuals authorized to sign JAM GPC Delegation of Authority /Appointment Letters. Collectively, these four (4) roles are referred to as Delegation Authority Signatories (DASs). All individuals accessing PIEE/JAM to sign GPC Delegations of Authority / Appointment Letters using the first two approaches listed below must have been formally delegated authority/authorized to perform their functions outside of JAM in accordance with applicable DoD and Component procedures. Individuals using the third and fourth approaches are delegated necessary authority to sign GPC Delegation of Authority Letters as a direct result of their JAM appointment; OA/OPC (Level 3) with Delegating Authority and A/OPC (Level 4) with Delegating Authority JAM GPC Appointment letters are equivalent to appointment via SF-1402 *Certificate of Appointment*.

A2.4.1. GPC Component-level policies addressing who may be authorized to delegate procurement authority must be adhered to.

A2.4.2. Recognizing that many GPC Components retain the authority for signing warrants and GPC Delegation of Procurement Authority letters at the Heads of Activity / Directors of Contracts level (many of whom are not regular PIEE users) the JAM application was designed to allow DAAs to complete their task either with (Internal DAA) or without (External DAA) a PIEE Role (i.e., having to maintain an active PIEE account by logging into the system every 30 days).

A2.4.3. Below are factors to consider when a DAA decides which approach to choose.

Table A2.3. GPC Delegating/Approving Authority Approaches.

	Type of DAS	Responsibilities/Authority/Tasks	Warrant Issued?
1	Internal Delegating/Appointing Authority (DAA) (User has PIEE Role)	• Individuals authorized to sign GPC appointment letters who register for the PIEE DAA role. • Will receive one (1) email for each appointment they have to complete, but can log in to PIEE once and complete multiple appointments from their task list. • Has access to run reports and see the status of pending, current or terminated delegations. • JAM presents them as an authorized DAA for that organization on a picklist for OA/OPCs or A/OPCs to choose from when they initiate JAM appointments.	Outside JAM
	External DAA (User does not have PIEE Role)	• Individuals authorized to sign GPC appointment letters but who do not register for the PIEE DAA role. • Will receive a tokenized email for each appointment they have to complete. Can only accomplish their required tasks one-at-a-time by clicking on the link provided in each email. This link is valid for three (3) business days, and a new email with an updated link is sent every three (3) days (for up to 30 days) until the appointment is approved. • Cannot run reports or see the status of pending, current or terminated delegations. • OA/OPCs or A/OPCs initiating JAM appointments will have to correctly enter the External DAAs email for every appointment (improper email entry will result in required rework).	Outside JAM
	Oversight A/OPC with Delegating Authority	• Individuals authorized to sign GPC appointment letters as documented in their JAM Delegation of Authority Letter. • This Delegation of Authority Letter is equivalent to appointment as a Contracting Officer with the limit of signing the types of GPC delegations indicated therein. • Perform all their JAM functions after logging into PIEE.	JAM Appointment
	A/OPC with Delegating Authority	• Individuals authorized to sign GPC appointment letters as documented in their JAM Delegation of Authority Letter. • This Delegation of Authority Letter is equivalent to appointment as a Contracting Officer with the limit of signing the types of GPC delegations indicated therein. • Perform all their JAM functions after logging into PIEE.	JAM Appointment
Note: Once an individual registers for any PIEE Role (JAM, WAWF, EDA, etc.), they no longer have the option to accomplish their task using the email-driven approach to signing GPC Delegation of Authority / Appointment Letters.			

A2.5. JAM Appointments for FedMall Shoppers.

A2.5.1. FedMall currently allows use of the GPC for three (3) types of actions:

A2.5.1.1. FedMall MarketPlace – These are true commercial open market micro-purchases. Vendors can make dynamic changes to their catalog prices. There is no underlying schedule. GPC transactions in the MarketPlace are limited to the applicable MPT.

A2.5.1.2. FedMall Commercial Ordering – These are orders placed against contracts signed by a warranted contracting Officer that have fixed prices and pre-arranged terms and conditions. GPC FedMall Commercial Ordering transactions are limited to the CHs delegated authority.

A2.5.1.3. FedMall Requisitioning – These are intergovernmental transactions because DLA has previously acquired these items and the CH is ordering them from existing government stock. GPC FedMall Requisitioning transactions are limited to $24,999 in accordance with Treasury Financial Manual Announcement Number A-2014-04 dated July 2014.

A2.5.2. Since it is not apparent to FedMall users which action type they are making while shopping, GPC CHs who will be shopping on FedMall should receive appropriate training (as specified in Component procedures) and be granted the three (3) following GPC Cardholder Special Designation Authority Types:

A2.5.2.1. Micro-purchase CH;

A2.5.2.2. Contract ordering official CH;

A2.5.2.3. Inter/intra-governmental payment official CH.

A2.6. Additional Resources . Please visit the DPC Training webpage for One Pagers to learn more about each role and other detailed guidance https://www.acq.osd.mil/asda/dpc/ce/pc/training.html. Please visit PIEE Joint Appointment Module (JAM) - Web Based Training webpage for video walkthroughs that display the 'point and click' JAM appointment process for each role: https://wawftraining.eb.mil/wbt/xhtml/wbt/jam/index.xhtml

Attachment 3

DETERMINATION OF FAIR AND REASONABLE PRICING

Figure A3.1. Sample Determination.

Contract / Order Number _____

1. Operational contracting units may authorize use the GPC as the primary ordering vehicle for obtaining supplies above the micro-purchase threshold in accordance with FAR 13.301(c)(2).

In accordance with the above policy and FAR reference, I have determined the proposed prices of the subject GPC order to be fair and reasonable, based on the following:

Requirement Type:

☐ "DoD" and "Non-DoD" contracts and agreements (e.g., FSS; BPA; IDIQ contracts)
☐ DAF Mandatory Sources (e.g., NETCENTS)
☐ FAR Part 8 Federal mandatory sources (e.g., Federal Prison Industries, AbilityOne Procurement List; GSA; DLA; Veterans Affairs, and military inventory control points

Fair and Reasonable Determination:

☐ Competitive quotations or offers (FAR 13.106-3(a)(1)) *(see attached abstract of received quotes)*
☐ Current price lists, catalogs, or advertisements (FAR 13.106-3(a)(2)(iii)) *(see attached abstract of contracts or agreements)*
☐ Any other reasonable basis (FAR 13.106-3(a)(2)(vii)) *(see determination on next page)*

2. *[If the determination of fair and reasonable pricing is based on other factors, provide a brief statement explaining your determination.]*

_____ _____
NAME DATE
Contracting Officer

Attachment 4

COMMERCIAL PURCHASE CARD (GPC) ROLE SPECIFIC TRAINING REQUIREMENTS

A4.1. Purpose . This document lists the Government-wide Commercial Purchase Card (GPC) role specific training requirements.

A4.2. Required DAF GPC Role Specific Training Requirements. **Table A4.1** lists DAF role specific training requirements and their frequency.

TABLE A4.1. DAF GPC Role Specific Training Requirements.

	Training	Roles	Frequency
1	CLG 0010 – DoD Government-wide Commercial Purchase Card Overview **(T-0)**	- CPM - OA/OPC - A/OPC - AO - Certifying Officer - CH - Convenience Check Writer	Every 2 years
2	CLG 003 – Overview of Acquisition Ethics (or Agency Provided Annual Ethics Training). **(T-1)**	- OA/OPC - A/OPC - AO - CH - Convenience Check Writer	Annually
3	Micro-Purchases and Section 508 Requirements **(T-1)**	- A/OPC - AO - CH - Convenience Check Writer	Initial
4	CLM 023 - AbilityOne Contracting **(T-1)**	- A/OPC - AO - CH - Convenience Check Writer	Initial
5	CLC 046 - DoD Sustainable Procurement Program (Green Procurement) **(T-1)**	- A/OPC - AO - CH - Convenience Check Writer	Initial
6	CON 237 – Simplified Acquisition Procedures **(T-1)**	- AO with $25,000 transaction limit - CH with $25,000 transaction limit	Initial
7	CLG 006 Certifying Officer Legislation Training for Purchase Card Payment **(T-0)**	- CPM - Certifying Officer	- CPM (Initial) - Certifying Officer (Annual)
8	US Bank Access Online Training (Role Specific) **(T-1)**	- A/OPC - AO - CH	Initial *May occur after account establishment but must be completed prior to performance of duties
9	IOD-ABO - IOD Case Management Course for A/BOs **(T-0)**	- AO	Initial *May occur after account establishment but must be completed prior to performance of duties
10	IOD-A/OPC_CPM - IOD Case Management, Completing Monthly Checklist, and Performing Oversight Functions **(T-0)**	- CPM - A/OPC - AO	Initial *May occur after account establishment but must be completed prior to performance of duties

Attachment 5

GOVERNMENT PURCHASE CARD (GPC) MICRO-PURCHASE THRESHOLD (MPT)

A5.1. Purpose . The following table lists the current MPTs applicable to DoD from the Department of Defense Government Charge Card Guidebook for Establishing and Managing Purchase, Travel, and Fuel Card Programs.

TABLE A5.1. GPC Micro-Purchase Thresholds.

	Function	Threshold	Authority
1	Federal-Wide Open Market	$10,000	FAR 2.101, FAR 13.2
2	Construction subject to 40 U.S.C. chapter 31, subchapter IV, Wage Rate Requirements (Construction)	$2,000	FAR 2.101, FAR 13.2
3	Services subject to 41 U.S.C. chapter 67, Service Contract Labor Standards	$2,500	FAR 2.101, FAR 13.2
4	GPC Contingency (Inside U.S.)	$20,000	FAR 2.101, DFARS 213.270(c)(3), DFARS PGI 213.201
5	GPC Contingency (Outside U.S.)	$35,000	FAR 2.101, DFARS 213.270(c)(3), DFARS PGI 213.201
6	Federal-Wide Higher Education Open Market	$10,000 or greater	Class Deviation 2018-O0018
7	GPC Convenience Checks (General – Unrelated to Contingency and Other Emergency Uses)	$5,000	P.L. 115-91, National Defense Authorization Act for Fiscal Year 2018, Sec. 806(b)
8	GPC Convenience Checks for Contingency and Other Emergency Uses (Inside U.S.)	$10,000	P.L. 115-91, National Defense Authorization Act for Fiscal Year 2018, Sec. 806(b)
9	GPC Convenience Checks for Contingency and Other Emergency Uses (outside U.S.)	$15,000	P.L. 115-91, National Defense Authorization Act for Fiscal Year 2018, Sec. 806(b)